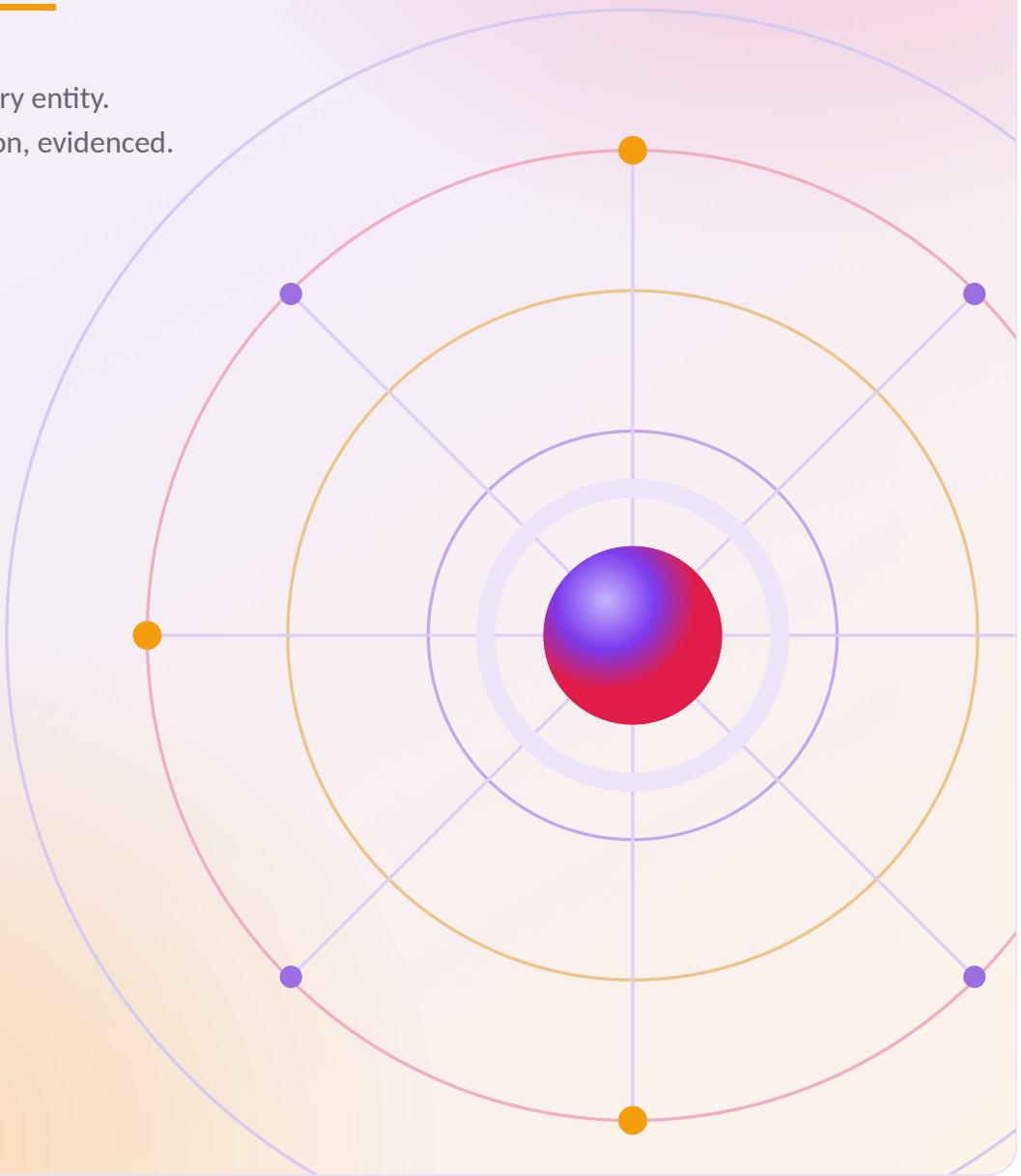
REQUIREMENT SPECIFICATION

TIQACC

Cloud Accounting & Financial Management System

One ledger. Every entity.
Every transaction, evidenced.



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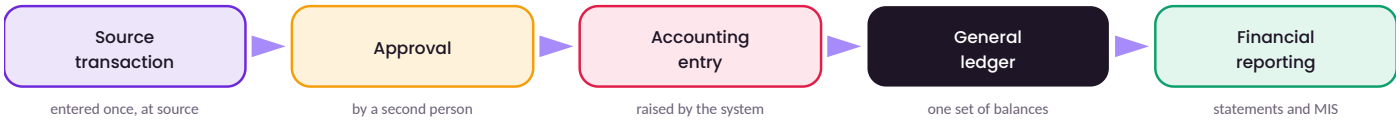
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TIQACC system overview

TIQACC is to be a cloud-hosted, web-based accounting system: a single centralised platform on which the entity records, processes and reports every financial transaction. It is accessed through a browser from any location with no local installation, automates the accounting workflow end to end, keeps financial data accurate and consistent across every module, maintains compliance with the regulatory requirements of each jurisdiction the group operates in, and gives management real-time visibility of financial performance.

TIQACC captures transactions from the business processes that generate them — sales, purchases, payments, receipts, payroll and banking activity. Each transaction is validated, classified and auto-posted to the general ledger through predefined accounting rules; adjustments can also be made by manual journal posting where required, under approval and with the supporting working attached. From the general ledger the system produces the income statement, statement of financial position, statement of cash flows, statement of changes in equity, trial balance and management reports. Every transaction carries a complete audit trail, supporting transparency, compliance and audit requirements.

Accounting posting flow



Audit trail — user, time, before and after values, and the supporting document — attached at every stage above, permanently

Supporting evidence — the scan, the approval and the calculation stay with the transaction, not on a shared drive

Source transaction	What the system posts, without a manual journal
Supplier invoice	Expense or inventory, recoverable tax, and the accounts payable balance
Customer invoice	Revenue, output tax, the accounts receivable balance, and the cost of goods sold with the stock issue
Payment processing	Settlement of the liability, the bank movement, and any tax withheld at payment
Payroll processing	Salary and employer-contribution expense by department, net pay payable and statutory payroll liabilities
Bank transactions	Cash movement, coded by rule, and the reconciliation of the bank account

Key functional requirements

The proposed system must provide the following. Each is specified clause by clause in the section shown.

Functional area	Section	Covers
General ledger	2.2	Delivered standard chart of accounts or the entity's own, journals, period close, prepayment and accrual schedules
Accounts receivable	2.3	Order to cash, credit control, receipt allocation, ageing
Invoicing — tax and non-tax	2.4	Document type determination, statutory gapless numbering, issue and delivery
Accounts payable	2.5	Procure to pay, two-, three- and four-way matching, payment runs, withholding tax
Bank and cash management	2.6	Automated feeds, statement upload, coding rules, reconciliation

Tax management — VAT, GST, WHT and others	2.7	Tax rules per entity and country, returns built from the ledger
Fixed asset management	2.8	Register and capitalisation, six depreciation methods across multiple books, revaluation and impairment, lease right-of-use assets, maintenance, verification and capital budgeting
Inventory management	2.9	Multi-warehouse and bin-level stock, batch, lot and serial control, four costing methods and landed cost, procurement and sales integration, production and planning
Payroll and workforce	2.10	Configurable country rule sets, labour law and leave, optional attendance and time capture, benefits, multi-frequency and multi-currency runs, bank files, self-service
Audit trail and supporting documents	2.1, 2.2, 2.11	Immutable audit log, change history on every posted entry, evidence attached to each transaction, audit pack
Balance sheet reconciliation	2.12	Every balance supported, prepared and reviewed, close control
Approval workflows and user access control	2.1, 2.5	Role-based access, segregation of duties, value-based approval matrix
Project and cost centre accounting	2.2	Cost centre, profit centre, department, business unit, location, project and entity-defined dimensions on every line
Multi-language and localisation	2.1.8	User, entity and country language settings, translated master data, documents in the recipient's language, local date, number and currency formats
Multi-currency management	2.2	ISO 4217 currencies, a preferred rate source set by the entity with a manual company rate behind it, historical rate retention, realised and unrealised differences, revaluation
Budgeting and forecasting	2.2, 2.6	Budget by account and dimension, variance reporting, cash flow forecast
Financial reporting and dashboards	2.13	Standard statement library, drag-and-drop report builder, reports built from a written instruction, scheduled distribution, drill-down to source
CFO and executive dashboard	2.15	Role-based executive KPIs, cash and exposure, compliance status, governance view of period, dimension and configuration changes, alerts and drill-down to source
Intercompany transactions and consolidation	2.14	Entity-level books, mirrored intercompany entries, eliminations, translation

Section 2 specifies each area in the same order: what it stores, the flow and its states, the controls, the accounting entries the system must raise unaided (tables with green headings), the outputs, and the acceptance tests it must pass. Square brackets mark values confirmed before issue. Every clause is answered in Annexure A as **S** standard, **C** configurable, **X** customisation with cost, or **N** not available.

1 Purpose and scope

This document sets out, clause by clause, what the entity requires from TIQACC, its cloud-based financial accounting system. It is the specification against which the system is to be built or configured, demonstrated and accepted.

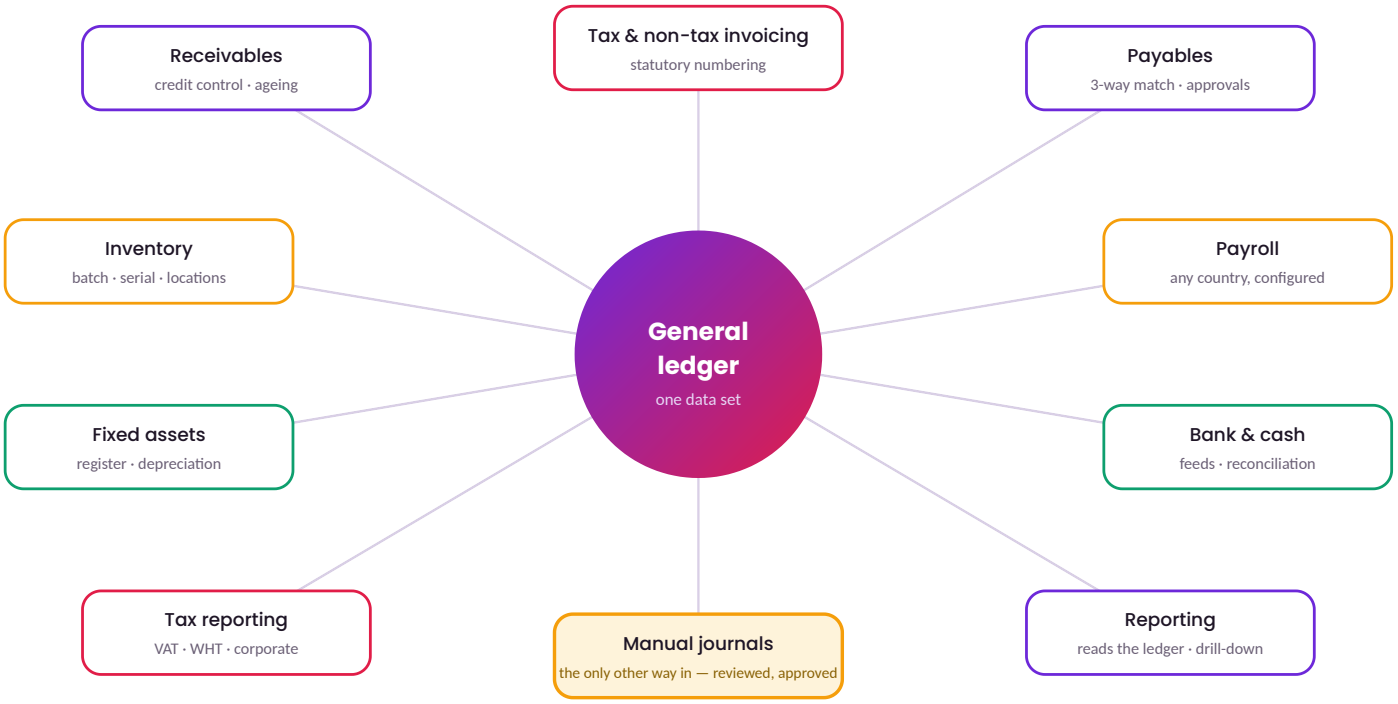
How to read this specification

Convention	Meaning
Every clause is a requirement	Written in the present tense — "the system calculates", "the entry posts automatically" — and each one is to be delivered. There are no suggestions or preferences in this document
Square brackets	A value the entity confirms before this document is issued for build: a role such as [role], a period such as [7] years, a threshold such as [30] days. Every bracket is to be replaced with the entity's own value; none is to be interpreted by the developer
Each module reads in the same order	The master data the system holds, the transaction flow and the states a document passes through, the controls it enforces, the accounting entries it raises on its own, its outputs, and the acceptance tests it must pass
Entry tables	A table headed "the entry the system auto-posts" states the posting the system raises without a user keying a journal. Account names are indicative and map to the chart of accounts at configuration
Cross-references	A requirement is specified once and referenced elsewhere. A reference such as 2.6.10 points to where that requirement is specified in full; it is not a second version of it
Acceptance tests	The tests at the end of each module are the basis on which that module is accepted, under the protocol in 2.16.4
Module activation	Every module in this document is to be built. Which modules an entity activates is that entity's decision, per 2.1.7 — not a decision about what is delivered

Scope of the requirement

Item	Coverage
Entities and sites	[No.] legal entities · [No.] branches or locations · [No.] warehouses
Users	[No.] named users, [No.] concurrent
Modules in scope	General ledger · Receivables · Tax and non-tax invoicing · Payables · Bank, cash and reconciliation · Tax reporting and compliance · Fixed assets · Inventory · Payroll and workforce · Supporting documents · Balance sheet reconciliation · Reporting · Group accounting and consolidation · CFO and executive dashboard
Out of scope, phase 1	[Service management, native CRM, e-commerce storefront] — on the vendor roadmap, quoted separately; see the module catalogue in 2.1.7
Deployment	Cloud-hosted; vendors to quote on-premise as an alternative
Data migration	Opening balances, all masters, [No.] years of transaction history

The system in one picture



Each module raises its own accounting entries as its transactions are approved, and the manual journal is the only other way into the ledger. Nothing is re-keyed between modules, and every figure drills back to the document that produced it.

2 Module-wise requirement

Each module below is specified in the same order: the master data the system must hold, the transaction flow and the states a document passes through, the validations and controls that must be enforced, the accounting entries the system must raise on its own, the outputs it must produce, and the acceptance tests it must pass before that module is signed off.

> **How to read the accounting entry tables.** Every posting shown is auto-posted by the system from the transaction named. No user journal is acceptable as a substitute. Account names are indicative and map to our chart of accounts at configuration.

2.1 Platform, access and security

2.1.1 Deployment and access

1. Cloud-hosted, multi-tenant or single-tenant, accessed through a current browser with no local installation and no browser plug-in.
2. Three environments to be provided and kept in step: production, test or sandbox refreshed from production on request, and training.
3. Mobile application, or a responsive mobile browser view, covering at minimum: approval of requisitions, purchase orders, payments and leave; expense and bill photo capture; dashboard viewing.
4. Offline behaviour: the system must fail safe. A dropped connection during data entry must not create a partial or duplicate transaction.
5. Session timeout after [30] minutes of inactivity, with unsaved work recoverable on re-login.

2.1.2 User roles and segregation of duties

Roles are built by the entity's administrator, not fixed by the vendor. One user may hold several roles, and the rules on which roles may not be combined are maintained by the administrator to suit the company's own structure and headcount.

How a role is built

1. A role is a named set of granular permissions, each permission being a module, an object and an action — view, create, amend, approve, post, cancel, export or administer. Permissions are not bundled into fixed packages that the entity cannot take apart.
2. Permissions can be scoped as well as granted: to one or more entities, locations, departments, cost centres, projects, bank accounts or document types, so that the same role can mean different things in different parts of the business.
3. Value limits are part of the role — an approval permission carries the band it applies within, as set out in 2.5.5.
4. Roles can be created from scratch, copied from an existing role and adjusted, or built by the administrator to mirror a position in the organisation chart.
5. Changes to a role take effect for every user holding it, are effective-dated, and are written to the audit log with before and after values.

Users and multiple roles

1. A user may be assigned any number of roles. Their effective permissions are the union of those roles, except that an explicit denial in any role overrides a grant in another.
2. Roles can be assigned per entity, so one person may be, for example, a preparer in one company and an approver in another, within the same login.
3. Assignment is effective-dated, supports temporary assignment with an automatic end date, and supports delegation during absence without sharing credentials. The delegate acts under their own login, and documents show that they acted as delegate and for whom.
4. A user's effective permissions can be viewed on one screen — every permission they hold, and which role grants it — and exported for audit.
5. Roles can be assigned in bulk by position, department or location, and a leaver is disabled in one action across every entity.

Segregation of duties, configured by the administrator

1. The administrator maintains a segregation of duties matrix: the pairs or groups of permissions that must not be held by the same user. The matrix is the entity's own, and is editable without vendor involvement.
2. The system checks the matrix when roles are assigned and warns or blocks, as the administrator sets per rule, naming the conflicting permissions rather than giving a generic refusal.
3. Where the company is too small for full separation, a conflict can be accepted as a documented exception: approved by [role], given an expiry date, recorded with the compensating control relied on, and listed on a standing exceptions report.
4. A conflict report can be run at any time across all users and entities, and forms part of the audit pack in 2.11.6.
5. Two controls are enforced by the system itself and cannot be switched off by any role configuration: a user cannot approve a document they raised, and no role can amend or delete the audit log.
6. Every other separation — including preparing and reviewing the same reconciliation, and closing a period and approving its reopening — is enforced by default but can be released for a named user as a documented exception under the rule above, so that a small finance team with one qualified person is not blocked from operating. A released separation is approved by [role], carries an expiry date and a compensating control, appears on the standing exceptions report, and every transaction processed under it is identifiable.

Starting role set

The roles below are supplied as a starting point and are expected to be renamed, split, merged or extended to match the company's structure. The "must not do" column is the default segregation matrix, which the administrator then adjusts.

Role	May do	Must not do
Preparer	Create and amend documents, journals and master data within the modules assigned	Approve anything, including their own work
Data entry — sales	Raise quotations, orders, delivery notes and invoices	Amend customer master, allocate receipts, cancel invoices
Data entry — purchases	Raise requisitions, record goods receipts and supplier invoices	Approve purchase orders, release payments, amend supplier bank details
Stores	Record receipts, issues, transfers and count entries	Authorise count adjustments, amend item cost
Payroll officer	Maintain employee master, run payroll, produce payslips	Approve the payroll run, release the bank file
Approver	Review and approve within an assigned value band, entity and department	Approve a document they raised, or amend it after approval
Finance manager	Post journals, open and close periods, override credit blocks	Amend the audit log, delete a posted transaction
Administrator	Configuration, user and role maintenance, period control and the segregation rules	Amend or delete the audit log or transaction history, or approve a document they raised
Auditor	Read every module and export any report	Create, amend or approve anything

Acceptance: an administrator creates a new role, scopes it to one location and one value band, and assigns it alongside two existing roles to the same user; the user's effective permission screen shows every permission and its source role; assigning a pair barred by the matrix is refused with the conflicting permissions named; an approved exception with an expiry date permits it and appears on the exceptions report; a role delegated for a dated period lapses automatically and the approvals made under it name both users; and in every case the user still cannot approve a document they raised.

2.1.3 Security controls

1. Single sign-on against [identity provider], with multi-factor authentication compulsory for any access from outside the office network.
2. Password policy, failed-login lockout and forced periodic re-authentication configurable by the entity, not fixed by the vendor.
3. Encryption in transit and at rest, with the standard stated in the vendor response.

4. Data residency in each jurisdiction whose law requires it; the vendor states where data and backups physically sit.
5. Named-user licensing with the ability to disable a leaver immediately and retain their transaction history intact.

2.1.4 Audit log

Every create, amend, delete, approve, reject, cancel, export and login event is written to a log that no user or administrator can edit. It runs alongside, and does not replace, the change history held on each transaction under 2.2.6. Each entry records:

Field	Content
Timestamp	Date and time to the second, with time zone
User	Login identity, not a shared or system account
Action	Create, amend, delete, approve, reject, cancel, login, failed login, export
Object	Module, document type and document number, or master record identifier
Before and after	Field-level old value and new value for every changed field
Source	Screen, import, API or scheduled job

The log is queryable by user, date, module and document, exportable to Excel, and retained for [7] years.

2.1.5 Search and enquiry

A single search box, present on every screen, that finds any record in the system from any identifying detail a user can remember.

Searchable by	Detail
Document number	Invoice, credit note, quotation, sales order, delivery note, purchase requisition, purchase order, goods receipt, supplier bill, payment, receipt, journal, asset tag, payroll run
Reference and narrative	Customer or supplier reference, bank statement narrative, journal narration, line description, cheque number
Party	Customer, supplier, employee — by code, registered name, trading name, tax registration number, email or telephone
Item	Item code, description, barcode, batch number, serial number
Amount and date	Exact amount, amount range, date, date range, due date, posting date
Dimension	Cost centre, department, location, project — alone or combined
Attachments	File name and the text inside the document, so an invoice can be found from a number printed on the scan
Audit trail	User, action and date, for enquiry into who did what

1. Partial words, exact phrases and wildcards are supported, and a search for a number finds it whether it was entered with or without prefixes, leading zeros or separators.
2. Results are grouped by record type, show enough detail to identify the right one without opening it, and open directly to the document.
3. Results are filtered after the fact by module, document type, status, date range, dimension and user.
4. Search respects permissions absolutely. A user who cannot open payroll records is never shown one in results, not even as a title.
5. Searches can be saved and re-run, and recent searches are retained per user.
6. From any result the user reaches the document, its attachments, its approval trail and its ledger postings without a second search.
7. Results return within [3] seconds across the full retained history, not only the current year.

Acceptance: a user finds a two-year-old supplier invoice from the invoice number printed on the scan alone; from the cheque number alone; and from the supplier name and approximate amount alone.

2.1.6 External system integration and connectivity

TIQACC is the accounting record of the group, and it is expected to sit alongside systems the entity already runs. Anything another system produces that has an accounting consequence reaches the ledger through this interface, is validated and posted by the rules in 2.6.10, and is traceable back to the system that sent it. Nothing arrives in the ledger from outside without a record of where it came from.

How systems connect

Method	Requirement
Open REST API	The primary route. Documented, versioned and published, covering every master record and transaction type the system holds — at minimum customers, suppliers, items, employees, assets, projects, dimensions, accounts, sales orders, invoices, receipts, purchase orders, goods receipts, supplier invoices, payments, journals, stock movements, payroll results and balances
Web services	For systems that cannot consume the API directly, with the same operations and the same controls
File import and export	Excel, CSV, XML and JSON, against published templates and schemas, by upload or by collection from a monitored location
Database connection	A read interface for reporting and extraction tools, exposing a documented and stable view rather than the physical tables, so a schema change in a release does not break it
Scheduled synchronisation	Any interface can be run on a schedule, per interface and per entity, with its own calendar and retry policy
Real-time synchronisation	Event-driven, where the sending system calls as the transaction happens, or where TIQACC notifies a subscriber that something has changed

Systems to be integrated

The system integrates with, at minimum, the following, whether they are the entity's own or a third party's:

System	System	System
Procurement management	Inventory and warehouse management	Payroll and workforce management
Sales and billing	Customer relationship management	Fixed asset management
Banking and treasury	Project management	Manufacturing and production planning
E-commerce and point of sale	Tax authority portals of each country, linked per jurisdiction	Existing ERP platforms
Middleware and integration platforms	Industry-specific applications	Any other business application

1. Where a module of this specification is activated, the corresponding external system is not required; where it is not activated, the external system takes its place and feeds TIQACC through this interface. Both arrangements are supported in the same group, entity by entity.
2. A transaction received from an external system updates the relevant module as though it had been entered in it — a received sales invoice updates receivables and the customer balance, a received stock movement updates inventory and valuation — and raises its ledger entries through the posting rules in 2.6.10. There is no separate ledger for integrated data.
3. An interface is configured, not coded: field mapping, value translation, posting rules, schedule and error handling are all set up without development, and a new interface of a supported type is added the same way.
4. Named integrations required at go-live: [bank statement feed], [POS or e-commerce], [attendance device, where used], [tax authority e-filing portal where applicable].

Master data synchronisation

Record	Requirement
Customers · suppliers · employees	Created and amended in either system and kept in step, with the system of record stated per field
Inventory items · fixed assets · projects	Code, description, category and status synchronised; financial attributes remain TIQACC's
Cost centres · profit centres · financial dimensions	Synchronised so the external system codes transactions to dimensions TIQACC recognises
Chart of accounts	Published to the external system so it can code at source, and never amended by it

1. One system is nominated as the system of record for each record type, and for individual fields where the two differ. The other system receives, and does not overwrite, what it does not own.
2. A record created externally is matched to an existing record before a new one is created, on code, registration number or another stated key, so synchronisation does not produce duplicates.
3. A record received for a code that does not exist is created only where the interface is configured to create; otherwise it is held as an exception for a user to resolve.
4. A master record that a dual-authorisation rule governs — a customer, a supplier, a bank account — is created by an interface as a pending record and takes effect only when authorised in TIQACC, per 2.3.1 and 2.5.1. An interface cannot be used to bypass an approval.
5. Deletion is never synchronised. A record withdrawn externally is blocked in TIQACC, and its history is retained.

Controls on every interface

1. Validation on receipt against the same rules as manual entry — account, dimensions, period, tax, currency, entity and authorisation — per 2.6.11. An interface is not a route around a control.
2. A message failing validation is rejected with the specific reason, held in the integration exception queue with an owner and an age, and reprocessed once corrected. Nothing is dropped, and nothing posts partially: a batch is accepted in full or rejected in full.
3. Duplicate protection: a message already received is identified by its source reference and is never processed twice, including on a resend or a replayed file.
4. Every message is logged with its source system, direction, time, payload reference, the user or service account it came from, its result and any error. The log is retained under 2.11.4 and cannot be edited.
5. Every transaction created by an interface is identifiable as such on screen, in reports and in the audit log, and names the system that sent it; it is drillable from the ledger entry back to the external reference.
6. Approval workflows apply to integrated transactions exactly as to keyed ones. Where a transaction type requires approval, an integrated instance is created in the state that requires it, not posted.
7. Reconciliation of each interface: counts and totals sent against counts and totals posted, per interface and per period, with any difference itemised. A control report shows each interface's last successful run, volumes, failures and backlog.
8. Authentication by a named service account with its own permissions, keys or tokens that expire and rotate, and access restricted by address where the entity requires it. A service account's rights are no broader than the interface needs.
9. An interface that stops running, falls behind its schedule, or exceeds a failure threshold raises an alert to [role]; silent partial synchronisation is not acceptable.

Open framework

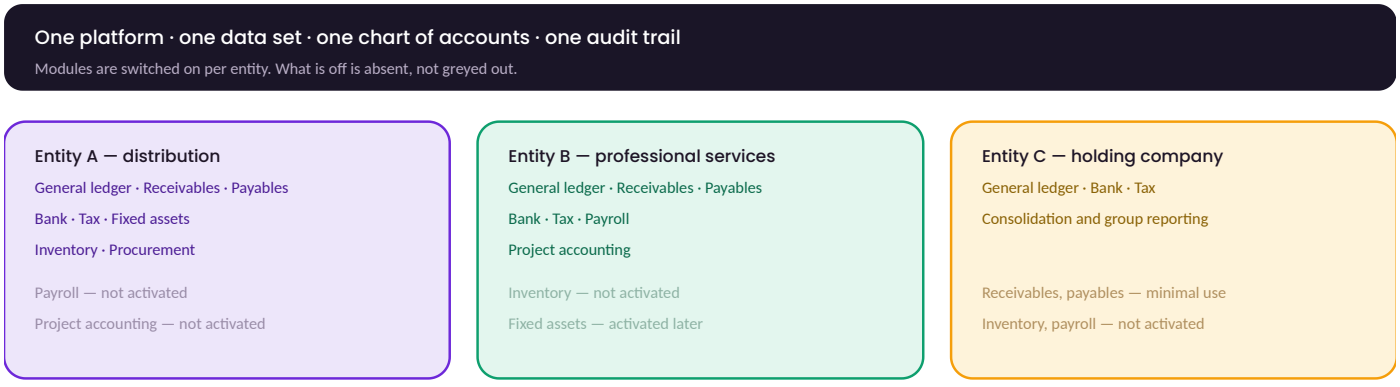
1. The API is the same interface the system's own screens use, so anything a user can do, an integration can do, within the same permissions.
2. It is versioned, with a stated support period for each version, so an integration built today is not broken by a release.
3. Documentation, a schema reference and a test environment with sample data is provided, so a third party can build against it without the vendor writing the integration.
4. A future integration of a supported type requires configuration and the published interface alone, with no customisation of the system and no change to its source code.

5. Scheduled and on-demand export of any listing to Excel and CSV, by any user with access to that listing, without vendor involvement.

Acceptance: a sales invoice posted by an external billing system appears in receivables with its ledger entries raised by rule, carries the sending system and its reference, and drills from the statement line back to that reference; the same message sent twice is processed once; a message with an invalid cost centre is rejected with that reason, appears in the exception queue, and posts correctly once the dimension is corrected; a customer created by an interface cannot be transacted on until it is authorised in TIQACC; an interface stopped for a day raises an alert and its backlog is visible; and the counts and totals sent by each interface in a period agree to what posted.

2.1.7 Modular architecture, industry configuration and activation

The system is one platform whose functions are switched on per entity. An entity takes only the modules its operation needs, configured for the way its industry works, and adds more later without disruption to what is already running.



Three entities of one group, each running the modules its operation needs, consolidating together under 2.14.

Modular deployment

1. Every module operates independently and integrates automatically with the others that are active, without a separate interface or synchronisation step between them.
2. An entity subscribes to, licenses and implements only the modules it requires; licensing and user access are configurable at module level, so a user may hold access to some modules and not others.
3. Implementation can be phased. A further module is activated at any stage — from an effective date — without disrupting live operations, without re-implementation and without data migration.
4. A module switched off is absent: it appears on no screen, menu, report or search result for that entity, rather than appearing greyed out, and none of its postings arise.
5. Deactivating a module never removes history. Where an entity activates a module later, earlier periods are unaffected and remain reportable as they were.
6. No module requires the purchase of the whole system. A module is licensed, implemented and operated on its own, and the commercial and technical dependency on any other module is stated — not assumed.

Standalone module deployment

Each of the following is to be implementable and operable as a product in its own right, by an organisation that runs the rest of its finance function elsewhere. A module deployed alone holds its own master data, enforces its own controls and approvals, and produces its own accounting output.

Module deployed alone	Operates on its own	Accounting output where the ledger is not licensed
General ledger · 2.2	Chart of accounts, journals, periods, dimensions and statements	Receives postings from external systems through 2.1.6
Accounts receivable · 2.3	Customers, invoices, receipts, allocation, credit control, collections, ageing	Summary or detailed posting file, or API feed, to the customer's own ledger

Invoicing — tax and non-tax · 2.4	Document determination, statutory numbering, issue and delivery, e-invoicing	Sales and output tax postings fed to the customer's own ledger
Accounts payable · 2.5	Suppliers, capture, matching, approval, settlement and payment runs	Purchase, input tax and payment postings fed out
Tax reporting and compliance · 2.7	Tax register, entity profiles, returns, calendar and evidence	Reads transactions from the customer's own system through 2.1.6 and produces the returns from them
Fixed assets · 2.8	Register, capitalisation, depreciation across books, revaluation, disposal, leases	Depreciation and asset movement postings fed out
Inventory · 2.9	Items, warehouses, movements, costing, counts, planning	Stock, cost of sales and variance postings fed out
Payroll and workforce · 2.10	Country rule sets, employees, runs, payslips, bank files, statutory schedules	Payroll journal by dimension fed out
Bank and cash · 2.6	Accounts, statement import, coding rules, reconciliation, treasury	Bank and cash postings fed out; reconciliation performed against balances imported from the customer's ledger
Budgeting and forecasting · 2.14.11, 2.6.8	Budget preparation, submission, versions, scenarios and roll-up	Actuals imported for comparison; no posting arises
Group accounting and consolidation · 2.14	Structure, mapping, intercompany, eliminations, translation, consolidation runs	Entity trial balances imported from whatever systems the entities run
Reporting and analytics · 2.13	Standard library, report builder, scheduling, distribution	Reads from the customer's own data through 2.1.6; no posting arises

1. A module deployed alone carries the platform services it needs — access and roles under 2.1.2, audit log under 2.1.4, document numbering under 2.1.10, language and localisation under 2.1.8, and the integration framework under 2.1.6. These are part of the platform, not of any one module, and are not separately licensed.
2. Where a module posts and the ledger is not licensed, it maintains its own complete sub-ledger and produces its accounting output as a posting file or an API feed to the customer's existing ledger, summarised or in detail as that system requires, with the posting rules in 2.6.10 determining the accounts and dimensions used.
3. A module running alone reconciles its own sub-ledger to the balance reported by the receiving system, and the difference is itemised rather than assumed to be nil.
4. Controls do not weaken in a standalone deployment: approvals, segregation of duties, audit trail, period control and numbering apply exactly as they do in a full deployment.
5. Where a module alone cannot satisfy a requirement without another — for example consolidated statements without the ledger, or three-way matching without inventory — the specification says so in that module, and the vendor states the dependency in Annexure A rather than discovering it at implementation.
6. Moving from a standalone module to a fuller deployment is an activation, not a migration: the existing module keeps its data, its history and its configuration, and the newly activated module reads what is already there.

Module catalogue

The modules below are available individually or as a fully integrated whole. The right-hand column shows where this document specifies the module; those marked *roadmap* are not specified here and are to be quoted separately with an indicative availability date.

Module	Specified in	Note
General ledger	2.2	Always active — the base of every deployment

Accounts receivable	2.3	Invoicing, receipt allocation, credit control, collections and provisions
Invoicing — tax and non-tax	2.4	Document type determination, statutory numbering, issue and delivery
Accounts payable	2.5	Invoice capture, matching, approval, settlement and payment runs
Bank, cash and reconciliation	2.6	Including treasury, the posting rules engine and suspense control
Tax reporting and compliance	2.7	Per entity and per jurisdiction
Fixed asset management	2.8	Including right-of-use assets and lease accounting
Inventory management	2.9	Multi-warehouse and bin-level stock, batch, lot and serial control, four costing methods, landed cost
Payroll and workforce	2.10	Any country by configuration — tax, statutory schemes, labour law, leave, benefits and self-service; attendance and time capture activated per entity
Supporting documents and audit evidence	2.11	Evidence attached to transactions
Reporting and MIS	2.13	Standard library, self-service report builder and dashboards
CFO and executive dashboard	2.15	Executive KPIs, alerts and the governance view of configuration change
Multi-currency management	2.2.9	Available to every module that holds value
Group accounting and consolidation	2.14	Activated where the group has more than one entity
Budgeting and forecasting	2.2.3, 2.6.8, 2.8.11, 2.14.11	Budget by account and dimension, capital budgets, group budget roll-up, cash flow forecast
Procurement management	2.5.4, 2.9.5	Requisition, request for quotation, supplier quotation, purchase order, receipt and supplier return
Project accounting	2.2.3, 2.3.3, 2.9.3	Project as a dimension on every posting, project billing and project issues of stock; project planning and resource scheduling are *roadmap*
Cost accounting	2.2.3, 2.9.7, 2.9.8	Cost and profit centre reporting, standard costing with purchase price, usage and yield variances
Service management	—	*Roadmap* — job, contract and field service
Manufacturing management	2.9.8	Bill of materials, production orders, work in progress, production variance and material requirement planning
CRM integration	2.1.6	Through the open API and the integration framework; a native CRM module is *roadmap*

Industry configuration

1. Industry-specific workflows and processes are delivered through configuration, never through a change to source code, so two customers in different sectors run the same released version.
2. What is configurable without development: business rules and validations, approval workflows and value bands, document and form layouts, numbering series, report and dashboard content, the chart of accounts and dimension model, tax rules, and which stages of each transaction flow are mandatory.

3. Industry templates are supplied to accelerate implementation and carry sector practice: a starting chart of accounts, dimension set, document templates, approval structure, report pack and activated module set. A template is a starting point that the entity then adjusts, not a fixed configuration.
4. Templates are to be available for, at minimum: trading and distribution, manufacturing, retail, logistics and shipping, technology and software, professional services, construction and projects, healthcare, hospitality, non-profit organisations, property management, telecommunications, and education.
5. An entity's industry selection also proposes its likely tax obligations, as set out in 2.7.2, and activates the industry tax set for that sector in that country — the levies the sector attracts, each with its rate, its base, its order of application against the transaction tax, its account and the documents it prints on. From that moment those levies appear on every document they cover and in every return that reports them, without a template being edited. The composition of a set is configuration, and the entity confirms it against its own registrations before it is used.
6. Templates are versioned. Applying a newer template to an existing entity is a reviewed change, never an overwrite of configuration already in use.

Entity-level configuration

Activation and configuration are per entity, not per group. Each entity independently holds:

Held per entity	Note
Activated modules	One entity may run inventory while another runs services only, in the same deployment
Workflows and approval hierarchies	Named approvers and value bands per entity, under the role model in 2.1.2
Tax settings and registrations	Only the taxes that entity is registered for, per 2.7.2
Chart of accounts	A group chart with entity-specific extension accounts mapped to it, so consolidation stays automatic
Reporting structures	Statement layouts and dimension values valid for that entity
Functional currency	Per 2.2.9, with translation to the group currency on consolidation
Document types and numbering	Series, templates and the tax registration shown, per entity and location
Business profile	Inventory-based, service-based or mixed, as below; and whether attendance and time capture are used in payroll, per 2.10.4

Group-wide control sits above this: the administrator sets which modules the group has licensed, and the entity administrator activates from within that set.

Business profile

Within the activated module set, each entity carries a business profile — inventory-based, service-based or mixed — which determines whether individual document stages and their postings arise.

Element	Inventory-based entity	Service-based entity	Note
Inventory module (2.9)	Active	Not activated	Items are held as non-stock service items on the item master, for pricing and description only
Delivery note (2.3.2)	Required	Not used	Revenue is recognised on the invoice, or on milestone or timesheet approval where the contract says so
Goods receipt note (2.5.4)	Required	Replaced by service acceptance	A confirmation that the service was delivered, recorded by the requisitioner

Purchase matching (2.5.6)	Three-way match	Two-way match	Purchase order against invoice, with service acceptance as the third check where the entity chooses to use it
Cost of sales posting	On stock issue	On supplier invoice or payroll posting	No stock postings arise in a service entity
Stock count and valuation (2.9.9)	Required	Not applicable	Removed from the close checklist and from the reconciliation scope in 2.12
Landed cost (2.9.7)	Applies	Not applicable	Freight and duty are charged directly to expense

1. The accounting entries in this document that depend on stock — cost of sales on issue, inventory on receipt, stock variances — arise only where the inventory module is active. For a service entity, cost is recognised when the supplier invoice or payroll cost is posted, and no stock posting arises at any point.
2. The profile is set at implementation and changed later under approval by [role], from an effective date.

Scalability and expansion

1. A new module is deployed without system redesign, without re-implementation and without migrating existing data.
2. On activation, a module reads the master data and transaction history already present rather than requiring its own copy — the same customers, suppliers, items, employees, accounts and dimensions.
3. The platform supports growth from a single standalone module, to a single-entity accounting deployment, to a multi-entity, multi-jurisdiction environment, without changing product and without a re-implementation at any step.
4. A module added later integrates with the modules already running and with the third-party systems already connected, with no change to either.
5. Vendors state in Annexure A which modules are available today, which are on the roadmap with indicative dates, and the commercial basis on which each is licensed.

Acceptance: a single module — payroll, fixed assets or receivables — is implemented on its own, operates with its own master data, controls and approvals, and delivers its accounting output to an external ledger through the integration framework, with its sub-ledger reconciled to what that ledger reports; activating a second module later leaves the first unchanged and requires no migration; an entity configured for services alone completes quotation to receipt with no inventory screen, report or posting anywhere in the flow; activating inventory for that entity three months later leaves every prior period unchanged and requires no data migration; two entities of the same group run different module sets, different approval hierarchies and different functional currencies while consolidating together; applying an industry template produces a working configuration that is then adjusted without touching code; and a user licensed for some modules cannot reach the others through any screen, report, search or API call.

2.1.8 Multi-language and localisation

Users in different countries operate the system in their own language against one centralised accounting database. Language and locale are presentation settings: they change how a figure is labelled and formatted, never the figure itself, the code it is held under or the ledger it posts to.



The language a user chooses changes what they read, never what is stored. The same account, the same invoice, the same balance.

Where language is set

Level	Sets	Behaviour
Group	The default language of the platform	Applies wherever no narrower setting exists
Country	The default for all entities in that country	Carries the country's formats and statutory terminology
Entity	The default for that company	Set independently of other entities in the same group
User	The language that user works in	Overrides the levels above for that user alone

1. The narrowest setting wins: user over entity, entity over country, country over group.
2. A user changes their own language from their profile at any time; the change takes effect immediately on the next screen, with no re-installation, no re-configuration of the entity and no change to stored data.
3. Users of the same organisation work simultaneously in different languages against the same records. Two users reading the same invoice see the same amounts, the same account code and the same approval state, each in their own language.
4. A document raised by a user in one language is read, approved and reported on by a user in another without conversion or re-entry.

What is translated

Area	Requirement
Menus and navigation	Every menu, label, button, tab and field name
Screens and forms	All data entry screens, including validation prompts and field help
Reports and dashboards	Report titles, column headings, totals, filters and dashboard tiles

Notifications and alerts	On-screen, email and system alerts
Workflow and approval messages	Approval requests, rejections, reasons and escalation notices
System messages	Errors, warnings and confirmations — in the user's language, with the same meaning in each
Standard documents and templates	Invoices, statements, purchase orders, remittances, payslips and other system-generated documents
Help documentation	In-product help and user guidance

1. Scripts beyond the Latin alphabet are supported in full — Arabic, Chinese, Japanese, Korean, Cyrillic and others — in entry, storage, search, sorting, printing and export.
2. Right-to-left languages render the whole screen right-to-left, not merely the text within a left-to-right layout.
3. Terminology is held as data. An entity can amend a term it uses differently and add a language without vendor development or a software release.
4. Where a term has not been translated, the screen falls back to the group default language and the untranslated term is reported, rather than showing a blank or an internal code.

Country-specific formats and terminology

Configured per country or entity	Note
Date and time format	Including the calendar convention and first day of the week used locally
Number format	Decimal separator, thousands separator and digit grouping
Currency format	Symbol, its position, and minor-unit precision per 2.2.9
Tax terminology	VAT, GST, SSCL, WHT or the local name, as used in that jurisdiction per 2.7
Statutory reporting terminology	Statement captions and account descriptions in the words the local framework uses
Address and name conventions	Address block layout, postcode position and name order
Regulatory requirements	Document content, numbering and disclosure obligations of that country, per 2.4.3 and 2.7

1. These settings are held per country and per entity, and changing them for one entity has no effect on any other entity in the group.
2. Format is presentation only. The stored value is unchanged, so a figure entered under one format and read under another is the same figure.
3. Export to Excel and CSV carries the user's format, while the underlying value remains numeric and calculable.

Master data in more than one language

Master records carry one code and as many descriptions as the group needs. The code is the identity and never changes with language.

Record	Translatable
Chart of accounts	Account name and description, against one unchanged account code
Customers	25,000
Suppliers	Name and trading name
Inventory items	Description, unit of measure and item group
Fixed assets	Asset description and category
Departments · cost centres · other dimensions	Dimension value descriptions, against one unchanged dimension code

Reports and dashboards	Report names, section captions and saved view names

1. A record is created once. Adding a language adds a description to the existing record; it never creates a second record.
2. Consolidation, reconciliation and reporting match on the code, so a group consolidates correctly whatever language each entity works in.
3. Search finds a record by any of its descriptions, in any language, as well as by its code.
4. Where a description is missing in the user's language, the record displays in the entity's default language and is flagged for translation.

Documents and reports in the recipient's language

1. A preferred language is held on the customer, the supplier and the employee, and the document issued to them is produced in that language regardless of the language of the user who raised it.
2. Financial reports, invoices, credit notes, statements, purchase orders, remittance advices and payroll documents can each be produced in the user's language, the counterparty's language, or both side by side on one document where a jurisdiction requires it.
3. Statutory and regulatory output is produced in the language the receiving authority requires, independently of the language of the preparer.
4. The language a document was issued in is retained with it, so a reprint reproduces the document as it was sent.
5. Amounts, codes, dates and references are identical across every language version of the same document.

Languages supported

The platform supports the major international business languages, and a further language is added as configuration rather than as a customisation. At a minimum:

Language	Language	Language
English	Arabic — right-to-left	Chinese — Simplified
Chinese — Traditional	Japanese	Korean
French	German	Spanish
Portuguese	Russian	Italian
Dutch	Norwegian	Swedish

1. Adding a language requires no change to source code, no new instance and no migration of data; the vendor states in Annexure A which languages are delivered complete and what a further language involves.
2. A language can be activated for the group, for a country, for an entity or for named users only.
3. Translations are versioned and can be amended by the entity, with the change recorded under 2.1.4.

Acceptance: two users of the same entity, one in English and one in Arabic, open the same invoice and see the same amount, account code and approval state, each in their own language and layout; a user changes language in their profile and the next screen is translated without re-login, re-configuration or any change to stored data; an account carries descriptions in three languages under one code and consolidates as one account; an invoice raised by an English-speaking user is issued to a French customer in French, and its reprint a year later reproduces the French version; a date entered under one country format and read under another is the same date; and a new language is activated for one entity without affecting any other entity in the group.

2.1.9 Assistants and automated analysis

Several modules specify an assistant: a facility that examines the entity's own data and reports what it finds — exceptions, forecasts, rankings, draft commentary. The rules below govern every one of them, and a module's own assistant section adds only what is specific to that module.

1. An assistant reads data and produces information. It posts nothing, approves nothing, releases nothing and changes no master record, rate, rule or limit. Everything it produces is a proposal that a named user acts on.

2. Every statement it makes names the figures behind it and opens the records concerned. An observation that cannot be traced to the data is not made.
3. It decomposes and ranks movements; it does not assert a cause it cannot evidence. Where a movement is not explained by the data, it says so rather than offering a narrative.
4. A score, probability or forecast states the factors and assumptions it was built from and is presented as an estimate, not as a fact.
5. Draft commentary is attributed to the system and is reviewed and approved by [role] before it is circulated, filed, or issued to a board, an auditor or any other external party.
6. An assistant answers only within the access rights of the user who asked, exactly as a report would, and does not disclose through a narrative what a report would withhold.
7. A finding about a transaction, a user or a counterparty is raised for review. It is never expressed as an accusation and never blocks a transaction on its own.
8. Questions asked, answers given and findings raised are recorded under 2.1.4 with the user and the time.
9. Where a module requires an assistant to be switched off, it can be, per entity, without affecting any other function.

2.1.10 Document numbering

Every document the system issues carries a number the system generates. No user types, chooses, edits or re-uses a number anywhere in any module.

What is numbered

Module	Documents numbered
Sales and receivables · 2.3, 2.4	Quotation, sales order, delivery note, tax invoice, non-tax invoice, credit note, debit note, receipt, refund, customer statement
Procurement and payables · 2.5	Requisition, request for quotation, purchase order, goods received note, supplier invoice reference, debit note, payment, remittance advice, payment run
General ledger · 2.2	Journal, by journal type — manual, recurring, reversing, adjustment, accrual, intercompany, year-end and upload batch
Bank and cash · 2.6	Receipt, payment, fund transfer, petty cash voucher, statement import batch, reconciliation
Inventory · 2.9	Goods receipt, goods issue, transfer, return, adjustment, write-off, count sheet, production order
Fixed assets · 2.8	Asset code, capitalisation, transfer, revaluation, impairment, disposal, depreciation run
Payroll · 2.10	Payroll run, payslip, bank file, statutory schedule, final settlement
Tax · 2.7	Return, remittance, assessment and correspondence reference
Consolidation · 2.14	Consolidation run, elimination journal, group adjustment

How a series is composed

Element	Requirement
Prefix and suffix	Free text, of any length the entity needs
Entity and country code	Inserted from the entity record, so a group's documents are distinguishable without the user supplying anything
Branch or location code	From the location the document is raised at
Financial year and period	In the format the entity states, with the year taken from the document date, not the date of entry
Sequence	Length, starting number, increment and leading-zero padding, all set by the administrator

Separators	Any character, or none
Custom elements	Any further element a jurisdiction, a regulator or the entity prescribes, placed anywhere in the number
Reset rule	Never, annually at the financial year end, or at the start of each period — set per series

A format is built from these elements on a configuration screen and previewed against sample data before it is saved. No format is written into the software, and every format shown elsewhere in this document is illustrative.

How series are separated

1. A separate sequence is held per entity, per country, per branch or location, per module and per document type, and per any combination of those the entity requires.
2. Two entities, two branches or two document types never draw from the same sequence, so a number issued in one place can never collide with a number issued in another.
3. A series can also be separated by any further attribute where a jurisdiction requires it — by tax treatment, by currency, or by business unit.

Uniqueness and sequence

1. Numbers are generated by the system at the moment the document is issued — never on save of a draft, never reserved in advance, and never typed by a user.
2. The number issued is unique within its series, and the combination of entity, series and number is unique across the whole system.
3. Concurrency is handled by the system: two users issuing at the same moment in the same series receive consecutive numbers, with no gap, no duplicate and no failure.
4. A number is never reused, renumbered or reassigned, including after cancellation, deletion of a draft, or a failed transmission.
5. A cancelled document keeps its number and remains visible as cancelled, so the sequence stays intact and auditable.

Statutory sequences

1. A series can be marked statutory. A statutory series is gapless by enforcement, not by convention: the system does not permit a number to be consumed and discarded, and a document issued against it cannot be deleted at any stage.
2. A gap-detection report runs on demand and on a schedule across every series, listing any missing or out-of-sequence number with its series, date and the user who issued either side of it. For a statutory series it must return nil, and a non-nil result is reported to [role] and to management under 2.15.8.
3. Where a tax authority issues or approves number ranges, the range is loaded, its consumption tracked, and exhaustion of a range raised as an alert before the last number is reached, not after.
4. A statutory series cannot be changed, reset, re-pointed or closed without approval and a recorded reason, and the change is reported.

Formats prescribed by an authority

1. Where a tax authority prescribes the composition of a document number, that composition is held as configuration against the instrument that prescribes it — the gazette, regulation or ruling reference — and the date it takes effect, and is applied to documents issued on or after that date.
2. A prescribed format cannot be edited into non-compliance. The elements the authority fixes are locked; the elements it leaves to the entity, such as a branch or unit code, stay configurable within the length and character set the authority allows.
3. Where the authority later amends the format, the amended format is loaded as a new version with its own effective date. Documents issued before it keep the number and format they were issued under, and where the authority allows an interim period both versions stay active.
4. Where the authority permits more than one reading of a rule — for example a separator shown one way in the specification and another in its worked example — the element is configurable, defaults to the specification, and the number is stored exactly as it is printed.
5. Where the authority prescribes whether a sequence continues across months or restarts, the choice is made once per entity before the first document is issued and can afterwards be changed only with approval and a recorded reason.

*Worked example. A format prescribed as **YYMMM_QQQQ_XXXXX** resolves as: two digits of the calendar year of issue; the first three characters of the month in uppercase; an alphanumeric code of one to fifteen characters identifying the branch, unit, project or other classification; and a numeric serial of digits only, continuing from the last number issued in the preceding month unless the entity has elected to restart monthly or annually. The whole number carries no spaces and is at most forty characters. The entity supplies only the classification code; the system composes the rest.*

Control over numbering

1. Creating, amending, resetting or closing a series is restricted to the administrator role and is a separate permission from ordinary configuration; it is not held by default.
2. Every change is recorded with the user, the date and time to the second, the format or next number before and after, the reason given, the approval reference and the effective date, and cannot be edited or deleted by anyone including an administrator.
3. A change to a format takes effect from an effective date and applies only to documents issued after it. Documents already issued keep the number and format they were issued under.
4. Changes to numbering appear to management on the governance panel in 2.15.8 without anyone being asked to report them.
5. Setting a sequence backwards — to a number already issued — is refused outright, by any role.
6. Every series is listed on one screen with its format, next number, last number issued, last issue date and whether it is statutory, so the whole numbering configuration of a group can be reviewed in one place.

Acceptance: an administrator defines a new series from prefix, entity code, branch code, year and a six-digit sequence and previews it before saving; two users issuing in the same series simultaneously receive consecutive numbers with no gap or duplicate; a cancelled document keeps its number and the gap report still returns nil; a sequence cannot be set backwards by any role; a format change applies only to documents issued after its effective date; a statutory series refuses deletion of any document issued against it; and every change to a series is on the audit trail with its user, reason and approval reference.

2.1.11 Acceptance tests

1. A user holding an incompatible role pair cannot be saved.
2. An amended posted document shows a complete before-and-after entry in the audit log and in its change history, and neither can be edited by an administrator.
3. A leaver disabled mid-period retains all prior transactions and appears correctly in reports.

2.2 General ledger and core accounting

2.2.1 Chart of accounts management

The chart of accounts is the entity's own, maintained by Finance in the system, and mapped once to the statutory financial statements so that reporting needs no manual regrouping.

Element	Format	Rule
Account code	[6] digits	Fixed length and numeric throughout; no alphabetic or variable-length codes
Class	First digit	1 assets, 2 liabilities, 3 equity, 4 income, 5 expense; determines the natural balance and the statement the account appears in
Group and sub-group	Up to [4] levels	Every account sits in a group that rolls up for reporting; groups themselves never accept postings
Account name	Text	Follows the naming standard in 2.2.2; abbreviations and personal shorthand are not permitted
Control account flag	Yes or no	Receivables, payables, inventory, payroll, fixed asset, tax and bank control accounts accept sub-ledger postings only; manual journals to them are blocked
Statement mapping	Line and note reference	Each account maps to a line of the income statement or statement of financial position and to its supporting note, so statements and notes are produced without regrouping
Cash flow classification	Operating, investing, financing	Held on the account so the cash flow statement is generated rather than compiled by hand
Default tax code	Optional	Proposed on entry, always overridable within the rules in 2.4
Dimension rules	Per dimension	Each dimension set to mandatory, optional or blocked for that account, and enforced on posting
Currency restriction	Optional	An account can be restricted to a single currency, for example a foreign bank account
Reconciliation requirement	Yes or no, with frequency	Drives whether the account appears in the balance sheet reconciliation scope in 2.12
Status	Active, blocked, archived	An account with any history can be blocked but never deleted





No dimension is encoded into the account code, in any configuration. One overtime account serves every department and location; a separate code per branch or per department is expressly not acceptable. The entity and the country are different: they are segments around the account, not dimensions inside it, and are covered below.

The account reference — natural account, entity and country

The six-digit code is the natural account: what the balance *is*. It means the same thing in every entity in the group, which is what allows a consolidation to add like to like without a mapping table that somebody has to maintain. Whose balance it is, and which country it reports in, are segments presented around that code — never digits inside it.

Segment	Requirement
Natural account	Numeric, fixed length, [6] digits by default and settable between four and ten at implementation. Identical across every entity in the group
Entity segment	Identifies the entity the balance belongs to. Two to six characters taken from the entity record. Switched on for group, consolidated and multinational operation and off for a single entity
Country segment	The country the entity reports in, as the ISO 3166 two-letter code or a code of the group's own. Switched on where the group operates in more than one country
Order and separator	Which segments appear, in what order, and the character between them, are set by the administrator. `122010`, `01-122010` and `LK-01-122010` are the same account presented three ways
Where it appears	Reports, printed documents, enquiry screens and extracts, each switchable. What a user keys or selects is always the natural account alone

1. Segments are composed by the system from the entity and the country on the posting. A user never types one, and a segment cannot be edited on a transaction.
2. Nothing in the software parses the reference to establish which entity or country a posting belongs to. The entity is an attribute of the posting, as it must be for consolidation, elimination and translation to work; the segment is a presentation of it.
3. Switching a segment on or off changes how every account is presented, across history as well as going forward, and changes no balance and no posting.
4. Where an entity needs a local account the group chart does not carry, it is created as an extension mapped to a group account, as below. The extension takes the same segments.
5. A multi-currency entity does not take a currency segment. An account restricted to one currency says so in its own attribute, and the balance is held in both transaction and functional currency on every posting under 2.2.9.

Expanding the chart without renumbering

1. Accounts are allocated in steps of [10] inside a sub-group, so nine codes stay free between any two neighbours and a new account can be inserted in its proper place rather than appended at the end of the group.
2. When an account is added, the system proposes the next free code between the two accounts either side of where it belongs, so it sorts and reports in position from the day it is created.
3. Sub-groups are allocated in blocks, leaving whole ranges free inside each class. Where a block fills, a new sub-group is opened in the free range of the same class. An account never moves to another class to find space.
4. A spare range is reserved outside the five classes for accounts that do not fit the delivered structure, so an unusual requirement never disturbs a reserved range.
5. No account is renumbered to make room. A code issued is a code kept, because documents, reports and reconciliations already issued refer to it.
6. Where the account length set at implementation later proves too short, it is widened across the group as one approved operation: every code is re-padded, every reference updated, and the former code retained as an alias so historic documents still resolve. It is a controlled migration rather than an everyday change, which is why the gap policy above exists.

Starting the chart — a delivered standard, or the entity's own

An entity never begins with an empty chart. The system is delivered with a standard chart of accounts that follows the structure in established international practice — numeric codes in reserved class ranges, a group hierarchy that rolls up to the statutory statements, and control accounts already identified — so a new entity can transact on the day it is created.

Route	Requirement
Use the delivered standard chart	A complete chart supplied with the system, covering assets, liabilities, equity, income and expenses, with every account already mapped to a statement line, a note and a cash flow classification, and with the control accounts for receivables, payables, inventory, payroll, fixed assets, tax and bank already flagged
Use a delivered industry variant	Variants of the standard chart for the sectors listed in 2.1.7 — a manufacturer's chart carries work in progress and production variance accounts that a service entity's does not. The variant is selected at entity set-up and is a starting point, not a fixed configuration
Upload the entity's own chart	The entity's existing chart imported from Excel or CSV against a published template, mapped column by column, validated in full and previewed before anything is committed. Opening balances load against it under 2.16.2
Start from the delivered chart and amend it	The common case: take the standard or the industry variant, then rename, regroup, add and block accounts until it fits the entity
Copy another entity's chart	An entity joining a group adopts the group chart, or copies a sister entity's, with its extension accounts carried or left behind as the user chooses

1. Whichever route is taken, the result is the entity's own chart. The delivered chart is a starting point and is never locked: no account in it is undeletable, unrenameable or beyond the entity's control, and nothing in the software depends on a particular account code existing.
2. An uploaded chart is validated before it commits — code format and length, class against code range, every account sitting under a group, no duplicate codes or names within a group, statement line and note present, and dimension rules stated. The import reports every failing row with its reason, and posts nothing until the file is accepted in full.
3. Where an uploaded chart does not meet the structural rules above — codes of varying length, dimensions encoded into the code, accounts with no group — the import reports it and proposes a mapping to a compliant structure. It does not silently reshape the chart, and it does not refuse the file outright.
4. The delivered chart is versioned. A later version is offered as a reviewed change showing what would be added, renamed or reclassified; it is never applied over a chart already in use.
5. The chart is exportable to Excel at any time for review and re-importable after approval, with the system reporting what would change before anything is committed.

Every change passes the same approval

1. Once a chart is in use, every subsequent addition, amendment, reclassification or blocking of an account — whether the chart started as the delivered standard or as the entity's own — follows the request, duplicate check, review and approval process in 2.2.2. There is no second route by which an account can appear.
2. That applies to bulk changes as much as to single ones: an amended chart re-imported from Excel passes the same validation and the same approval, with every change previewed before it commits.
3. Adopting a delivered chart or an industry variant at entity set-up is itself approved, by [role], and recorded with the version adopted.
4. Selecting a route does not bypass any rule in this section: codes stay numeric and fixed-length, dimensions stay out of the code, groups stay unpostable, and every account carries its statement mapping before it can be approved.

Structure and hierarchy

1. Code ranges are reserved by class at design, with unused numbers left between accounts as set out above, so that a new account can be inserted in the right place rather than appended at the end.

2. The hierarchy is used for reporting roll-ups, so a new account added under an existing group appears in every report and in the financial statements without any report being edited.
3. A single group chart of accounts applies across all [No.] entities. Where an entity needs a local account, it is created as an extension mapped to a group account so consolidation remains automatic.
4. Changes to the chart are effective-dated. Reports for a prior period present the structure in force at that date.
5. Posting is blocked to: group and header accounts, blocked accounts, any account whose dimension rules are not satisfied, and control accounts by manual journal where control enforcement is set to Enforced, as below.

Control accounts — what they are, and the level at which they apply

A control account is one whose balance is owned by a sub-ledger rather than by the general ledger. Trade receivables control must always equal the sum of every open customer invoice; the ledger account is a summary of detail held elsewhere. Two attributes carry this: a flag marking the account, and the sub-ledger that owns it — receivables, payables, inventory, payroll, fixed assets, tax or bank. The posting engine uses the second to find the account a sub-ledger transaction posts to, so it is a fixed list and never free text.

What the flag *causes* is not fixed. It is set per entity and per control type by the administrator, because an organisation running the ledger alone has no sub-ledger for a control account to be controlled against, and enforcement there would block work and protect nothing.

Level	Behaviour
Not applied	No account is treated as a control account. Any account accepts a manual journal. The flag and the type remain recorded, so the level can be raised later without the chart being rebuilt
Advisory	A manual journal to a control account is allowed, requires a reason selected from a configurable list, and appears on an exception report to [role]. Optionally it also requires approval by a second person
Enforced	A manual journal to a control account is refused. Only the owning sub-ledger posts to it, and the balance is reproducible from that sub-ledger at any past date

Organisation	Delivered default	Reason
Single entity, general ledger only	Not applied	No sub-ledger exists to control against
Single entity running sub-ledgers	Advisory, and Enforced for bank	The detail now exists and must stay equal to the ledger; an unreconciled bank balance is the hardest error to unpick later
Multi-entity group or consolidated reporting	Enforced	A control balance feeds consolidation, intercompany elimination and the statements of more than one entity
Multinational, multi-currency or high volume	Enforced, and lowering it is reported	Across currencies an unattributable difference is also an unexplained translation movement

1. The level is held per entity and per control type, so an entity can enforce receivables, payables and bank while leaving inventory advisory during an implementation, and raise it when the stock ledger is trusted.
2. Activating a module proposes that the matching control type be raised to Enforced and states what that will change. It does not raise it silently, and it does not leave the question unasked.
3. Lowering a level from Enforced requires approval, a recorded reason and an effective date, and is reported to management on the governance panel in 2.15.8 without anyone being asked to report it.
4. An account ceasing to be enforced stays on the reconciliation schedule in 2.12. The balance still needs proving; only the posting restriction has changed.
5. At Advisory level the exception report lists every manual journal posted to a control account in the period, with the user, the reason, the value and the approver where one was required, and is reviewed as part of period close.
6. Changing the flag or the type on an account is a change to the chart and passes the approval in 2.2.2 like any other.

Acceptance: an entity set to Not applied posts a manual journal to receivables control without obstruction; the same entity moved to Advisory posts it only with a reason, and the journal appears on the exception report; moved to Enforced, the posting is refused and names the sub-ledger that owns the account; activating the receivables module proposes the level be raised and states what will change; lowering a level from Enforced is refused without approval and, once approved, appears on the governance panel; and an account whose level is lowered remains on the reconciliation schedule.

2.2.2 GL code creation and maintenance

Account proliferation is the main cause of unusable management reporting. Creation is therefore a controlled process, not a field a user fills in mid-transaction.

Stage	Requirement
Request	Raised in the system by any finance user, stating the purpose of the account, the class and group it belongs to, the statement line and note it maps to, the dimension rules and whether it needs reconciling
Duplicate check	The system searches existing accounts on name and purpose and displays close matches before the request can be submitted, so an existing account is used where one already fits
Review and approval	Maker–checker: created by one user, approved by [role]. The account does not exist and cannot be posted to until approved
Code assignment	The system proposes the code; a code keyed by a user is accepted only within the correct range, only by [role], and only if it is free. A code already taken is refused, with alternatives offered, as below
Activation	The account becomes postable from an effective date, and appears immediately in every roll-up, report and financial statement mapping

A code already taken, and what is offered instead

No two accounts share a code. The check runs when a code is keyed, again when the request is submitted, and again at the moment of approval, because an account approved in between may have taken the code in the meantime.

What counts as taken	Requirement
An active account	In use and postable
A blocked or archived account	Still holds its code. A code is never freed by blocking or archiving, because documents, reports and reconciliations already issued refer to it
A deleted account	A code once issued is never reissued to a different account, in any circumstance, including where the account was deleted before a transaction was posted to it
A code on a pending request	Reserved from the moment the request is raised until it is approved or withdrawn, so two requests in flight cannot claim the same code
A reserved code or range	Held back deliberately by [role] for a planned use, and shown as reserved rather than free
A code used elsewhere on the same chart	Where entities share a group chart, a natural account means the same thing in every one of them, so a code used in any entity cannot be given a different meaning in another. Where an entity runs its own chart, the check stops at that entity — see below

1. Where a code is refused, the system states why in terms the user can act on: the account that holds it, its name, its status, the entity it belongs to, and who created it and when. It does not refuse without saying what is in the way.
2. The refusal is absolute. There is no override, for any role, because a reused code makes two different balances indistinguishable in history.

How far the check reaches

The scope of the check follows the chart the entity runs on, and is not a preference set against it. An entity managing its own financial data independently is checked within itself; an entity posting to a shared group chart is checked across every entity on that chart.

The entity runs on	The check reaches	Why
Its own chart — independent financial data management, no consolidation onto a shared chart	That entity only	Nothing outside the entity reads its codes, so a code used in another entity carries no meaning here. Two independent entities may each use the same code for different accounts
A shared group chart — consolidated, intercompany or group reporting	Every entity on that chart	The consolidation adds balances by account. A code meaning one thing in one entity and another elsewhere makes that impossible without a mapping table, which is the cost set out in 2.14.3
A shared group chart, with its own extension accounts	Every entity on that chart, including the extension ranges	An extension account is part of the same chart and maps to a group account, so its code is taken group wide like any other

1. A single entity, and an entity running standalone modules under 2.1.7, are checked within the entity. The group-wide check is neither applied nor implied, and nothing in the interface asks the user about a group that does not exist for them.
2. Which chart an entity runs on is set at entity set-up by [role] and shown on the chart screen, so the user can see the scope of the check they are working under rather than inferring it from a refusal.
3. Where an independent entity is later brought onto a group chart — on acquisition, on a restructure, or where consolidation begins — the system reports every code that exists in both with a different meaning, before the move, and the clash is resolved by mapping or by renumbering. Consolidation cannot be switched on while an unresolved clash exists.
4. An entity may not be moved from a group chart to its own chart while it is within a consolidation, because the codes are already carrying group meaning in issued statements.
5. Within whichever scope applies, every rule above holds unchanged: no code is reused, the refusal names what holds it, there is no override, and alternatives are offered ranked and in position.

The next best code

A refusal is always accompanied by alternatives, ranked, so the user can accept one rather than guess again.

Offered	Requirement
The next free code in position	The first free code after the account the new one belongs beside, preserving the allocation step, so it sorts and reports in its proper place
The nearest free code between two accounts	Where the account must sit between two existing ones, the free code between them, so the order of the group is preserved
The next free code in the sub-group	Where position does not matter, the next code in the correct sub-group at the standard step
A code in a reserved block	Where the sub-group is full, the first code of a free sub-group in the same class, with the system stating that the original block is exhausted

1. Each option is shown with the accounts either side of it, so the user can see where the new account would sit before choosing.
2. The user accepts an option or raises the request against a different group; a code is never allocated silently in place of the one asked for.
3. Where every option would place the account out of position, the system says so plainly and proposes a code length change or a new sub-group rather than offering a code that sorts in the wrong place.
4. An account is never renumbered to free a code for a new one.

Near duplicates, which are the more common problem

1. A clash of codes is caught by the rules above. A duplicate of *purpose* is caught at the duplicate check: the system searches on name, on the words in the stated purpose, and on the statement line and note the request maps to, and shows close matches before the request can be submitted.

2. A name identical to another account in the same group is refused. A name close to one elsewhere in the chart is shown as a warning with the account it resembles, and the user confirms the request is not a duplicate before it can be submitted.
3. Where the request maps to the same statement line, the same note and the same control type as an existing account, it is flagged for the approver with that account named, because that combination is where unnecessary accounts come from.
4. An account created despite a near-duplicate warning records the warning, the account it resembled and the reason given, so the pattern is visible when the chart is reviewed.

In bulk

1. An uploaded or re-imported chart is checked for clashes row by row before anything is committed. Every clashing row is reported with the code, the account that holds it and a proposed alternative on the same row.
2. The file is accepted in full or not at all. A partial load leaving some rows rejected is not permitted, because a chart half loaded is harder to correct than one refused.
3. A corrected file can be re-submitted with the proposed codes already applied, so the user does not key them again.

Acceptance: two independent entities each create an account on code 122010 for different purposes and both are accepted, with neither refusal nor warning; the same two codes on a shared group chart give one allocation and one refusal; bringing an independent entity onto a group chart reports every code that exists in both with a different meaning and refuses to start consolidation until they are resolved; a user keying a code held by a blocked account is refused, and the refusal names that account and its status; the same code keyed against an archived or deleted account is refused on the same terms; two users requesting the same code at the same moment result in one allocation and one refusal with alternatives, never two accounts; the alternatives offered sort in the correct position within the group and are shown with the accounts either side; a sub-group with no free code left returns a code in a reserved block and says the block is exhausted; an upload containing three clashing codes reports all three with proposed alternatives and commits nothing; and no role anywhere in the system can override a code clash.

Attributes required before an account can be approved

Attribute	Mandatory	Rule
Class and group	Yes	Determines the code range; cannot be changed once a transaction exists
Account name	Yes	Unique; follows the naming standard; no duplicate names within a group
Statement line and note	Yes	An unmapped account cannot be approved
Cash flow classification	Yes, for balance sheet accounts	Operating, investing or financing
Dimension rules	Yes	Mandatory, optional or blocked, per dimension
Control account flag	Yes	Once set, cannot be changed while the account carries a balance
Owner	Yes, for balance sheet accounts	The person responsible for reconciling it under 2.10
Reconciliation frequency	Yes, for balance sheet accounts	Monthly, quarterly or annual

Amendment, blocking and reclassification

1. The account code itself can never be changed. The name and description can be changed, with the previous version and the reason retained, and reports for prior periods showing the name in force at the time.
2. Class, group and control-account status cannot be changed once transactions exist. A misclassified account is corrected by opening the correct account and reclassifying the balance by journal, with the working attached.
3. An account is blocked rather than deleted. Blocking an account with a balance is refused; blocking an account with history but no balance is permitted and the history remains fully visible.
4. A controlled reclassification tool can move history from one account to another, restricted to [role], requiring approval, posting a visible journal rather than rewriting history, and recorded in the audit log.

5. No user can create a general ledger account from within a transaction screen. Creation is only through the request process above.
6. Bulk creation and bulk amendment are supported by import, subject to the same approval and the same validation as a single account, with a preview of every change before it commits.

Ongoing hygiene reports

Report	Purpose
Dormant accounts	Accounts with no movement for [12] months, for review and blocking
Unmapped accounts	Accounts not mapped to a statement line, note or cash flow category — must always return nil
Similar accounts	Accounts with closely matching names, to catch duplicates created over time
Accounts without an owner	Balance sheet accounts with no person responsible for reconciling them
Chart change log	Every creation, amendment, blocking and reclassification in a period, with user, date and before-and-after values

Acceptance: a journal file whose headings differ entirely from the template is mapped on screen, the mapping saved, and a second file from the same source uploaded with no mapping step; a file carrying the source system's own cost centre codes loads once those values are mapped, and an unmapped value is named with the rows it appears on; a file with a header row that is not the first row, blank rows and a trailing total row loads without the user editing it; a file with dates as 03/04/2026 is not interpreted until the user states the order; a mandatory column left unmapped stops the upload and is named; the preview shows the first rows as mapped with the batch totals before anything posts; a file with three invalid rows is rejected in full and the validation report returns in the same format carrying the original row numbers and reasons; and an account is added between two existing accounts and the system proposes the next free code in that gap, after which the account reports in position without any report being edited; switching the entity and country segments on presents every account as LK-01-122010 across history as well as going forward, changing no balance and no posting, and switching them off returns every account to 122010; a new entity is created, adopts the delivered standard chart and posts a transaction the same day, with the statements produced from it without a report being edited; an entity's own chart imported from Excel is validated in full, every failing row named, and nothing committed until the file is accepted; an uploaded chart carrying branch codes inside the account code is reported with a proposed mapping rather than silently reshaped or refused; a request for an account duplicating an existing one is stopped at the duplicate check; an account cannot be approved without a statement line mapping; a user cannot create an account from within a journal screen; a newly approved account appears in the financial statements in the correct line with no report being edited; and an attempt to block an account carrying a balance is refused.

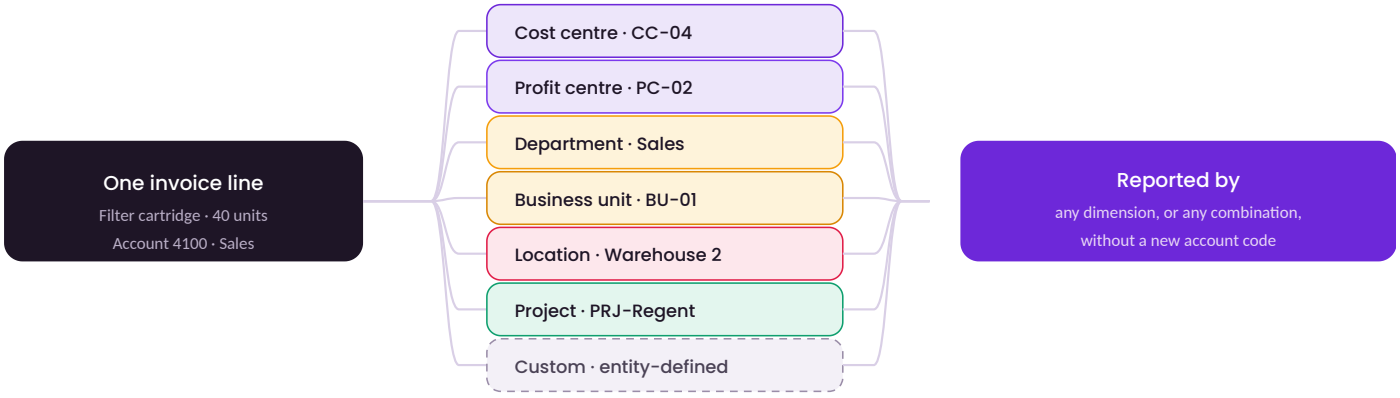
2.2.3 Dimension model

Dimensions are carried at line level on every transaction in every module, independent of the account code. Entity is not a dimension but a mandatory attribute of every transaction, as set out in 2.14.2.

Dimension	Code	Mandatory on	Used for
Cost centre	[CC-nn]	All income and expense lines	Responsibility reporting
Profit centre	[PC-nn]	All income and expense lines	Contribution and margin by revenue-owning unit
Department	[DP-nn]	All income and expense lines	Departmental profit and payroll cost
Business unit	[BU-nn]	Where the entity operates more than one	Divisional or segment reporting
Location	[LC-nn]	All transactions	Branch and warehouse performance, document numbering series
Project	[PR-nnnn]	Where flagged on the customer, item or expense account	Project profitability

Custom dimensions	Entity-defined	As the entity sets	At least [4] further dimensions the entity defines, named and coded by it, behaving exactly as those above

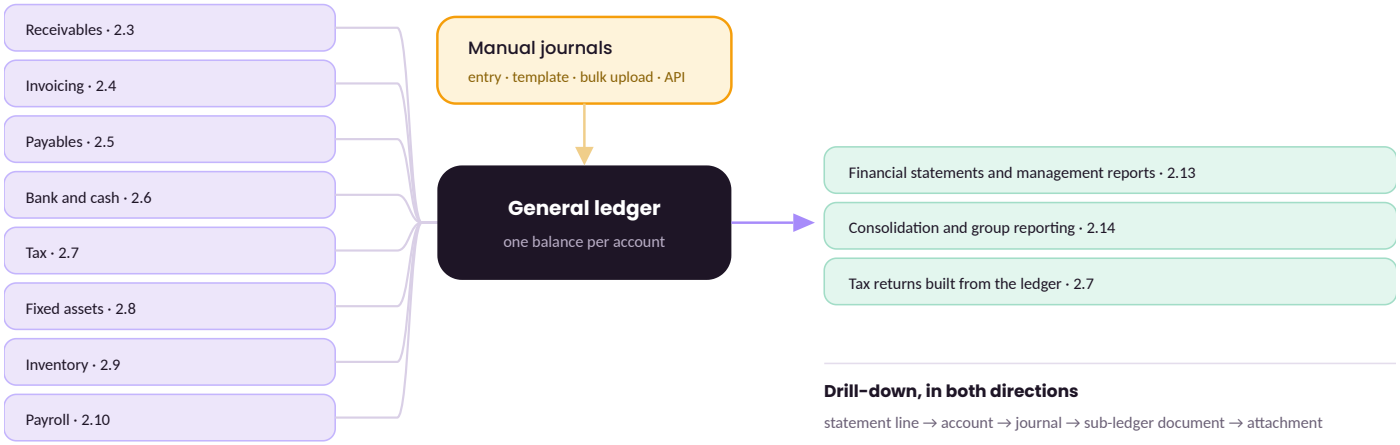
1. Any dimension can be made mandatory, optional or blocked per account, and the system rejects a posting that breaches the rule.
2. Every report and enquiry can filter and subtotal by any dimension, or any combination, without vendor involvement.
3. Dimension values can be added, blocked and renamed by the entity; history retains the value in force at the transaction date.
4. Dimension values can be restricted per entity, so a value valid in one company is not offered in another.
5. Default dimension values can be held on the customer, supplier, item, employee, asset and account, and are proposed on entry rather than typed.
6. A dimension carrying history is blocked, never deleted.



Every dimension must be available on the same line and reportable singly or in combination. Two dimensions is not sufficient, and a new analysis must never require a new account code.

2.2.4 General ledger data sources and posting controls

The general ledger is the single accounting repository. Every module posts into it automatically from the transaction that gave rise to the entry; nothing is re-keyed, and no module keeps a second set of balances of its own.



What each module posts

Source	Transactions that generate ledger entries
Manual journal processing	Journals created on screen, from a template, by bulk upload, or imported from an external system through the API — each validated and approved before posting
Receivables · 2.3	Customer invoices, credit notes, debit notes, receipts, refunds, allocations, bad debt write-offs, expected credit loss provisions and customer adjustments

Invoicing, tax and non-tax · 2.4	Tax invoices, non-tax invoices, e-invoicing output where applicable, output tax by rate, tax adjustments and reversals
Payables · 2.5	Supplier invoices, credit and debit notes, payments, advances and deposits with their set-off, accruals, withholding tax deducted, and supplier adjustments
Bank and cash · 2.6	Deposits, withdrawals, fund transfers, bank charges, interest received and paid, petty cash, and the clearing entries arising from reconciliation
Tax · 2.7	Current and deferred tax charges, turnover levies, withholding tax payable, remittances, and penalties or interest flagged disallowable
Fixed assets · 2.8	Acquisition and capitalisation, depreciation, revaluation, impairment, transfers, disposals and the gain or loss arising
Inventory · 2.9	Receipts, issues, transfers, adjustments, write-offs, revaluation, landed cost, cost of goods sold, and production transactions where manufacturing is activated
Payroll · 2.10	Salaries, allowances, deductions, overtime, bonuses, statutory contributions and withholding for the jurisdiction, payroll accruals, provisions and employee reimbursements
Consolidation · 2.14	Elimination journals, consolidation adjustments, currency translation and non-controlling interest — posted in the consolidation ledger, never in an entity's own books

The precise entry raised by each transaction is specified in that module's own entry table.

Posting controls

1. Every sub-ledger transaction generates its ledger entries automatically at the moment it is approved. A transaction that cannot produce a complete, balanced entry is refused at source rather than posted and corrected later.
2. Posting rules — which account each transaction type, item category, customer group, supplier group, tax code or asset class posts to — are configurable by the entity, held as data, and maintained under maker–checker. The rules engine that produces every module's entries is specified in 2.6.10.
3. Validation runs before posting is confirmed and reports what would fail: an unbalanced entry, a missing mandatory dimension, a blocked or group account, a closed period, a breach of the segregation matrix, or a rule with no account configured.
4. Entries post in real time. Where volume requires batching, the batch is visible with its status and any failed item is reported individually rather than silently dropped.
5. A posting rule with no account configured raises an exception at set-up, not a suspense posting at month end, per 2.6.10.

Bulk journal upload and import

1. Journals can be uploaded from Excel or CSV against a published template, or imported through the API from an external system.
2. The published template is downloadable from the upload screen, carries the system's own column headings, and states for each column whether it is mandatory, its format and its permitted values. It is the same template the validation is written against, so a file prepared from it loads without mapping.
3. A file that does not use those headings is mapped rather than rejected. The user is shown the columns found in the file beside the system's own headings and maps one to the other, column by column, on screen.
4. Mapping works on the header name, on column position where the file has no headers, and on a saved profile. A column whose heading matches a system heading, or a known synonym of one, is proposed automatically and the user confirms or changes it.
5. A mapping is saved as a named template and reused. Templates are held per source — a bank's payroll extract, a subsidiary's ledger, a user's own working file — and are shared, edited and versioned like any other configuration. The second upload from the same source requires no mapping at all.
6. Values are mapped as well as columns. Where the source file carries its own account codes, cost centre codes, department codes or currency codes, a value mapping table translates them to the entity's own, so a file does not have to be re-coded before it is uploaded. An unmapped value is reported by name with the rows it appears on.

7. The mapping handles the shape of a real working file: a chosen worksheet in a workbook of several, a header row that is not the first row, blank rows, trailing total rows, merged cells, and columns the entity does not use. Extra columns are ignored and reported rather than causing a failure.
8. Date, number and decimal formats are read according to the format stated for the file, not guessed. A date of 03/04/2026 is never interpreted without the user having stated which order the file uses, and amounts carrying thousand separators, trailing minus signs or parentheses for negatives are read correctly.
9. A debit and credit pair, or a single signed amount column, are both accepted, and which the file uses is part of the mapping.
10. The user previews before anything commits: the first [20] rows exactly as the system has read and mapped them, the batch total debit and credit, the line count, and every warning. Nothing posts until that preview is accepted.
11. A mandatory column left unmapped stops the upload and is named. The file is never partially interpreted, and the system never substitutes a default for a mandatory value the user did not supply.
12. The file is validated before anything posts — account exists and accepts postings, dimensions valid and complete against the rules for that account, period open, entity permitted, currency and rate present, tax code valid where the account is tax bearing, and the batch balances — and a validation report lists every failing line with its row number in the original file and the reason.
13. The validation report is downloadable in the same format as the file uploaded, with the reason against each failing row, so the user corrects the file in place and re-uploads it rather than transcribing errors.
14. Nothing partially posts: either the batch is accepted in full or it is rejected in full.
15. An accepted batch enters the same approval route as a journal keyed on screen, carries the uploaded file as its attachment, and shows who uploaded it, when, and which mapping template was used.
16. A posted batch can be reversed as a batch, under approval, with each reversal referencing its original.
17. The same upload and mapping mechanism serves every bulk route in the system — opening balances, the chart of accounts, budgets, customer and supplier masters, stock counts and fixed asset registers — so a user learns it once.

The template column set

The columns below are what the published template carries and what the validation is written against. A file prepared from the template loads with no mapping; a file using other headings is mapped to these. The header columns repeat on every line of the same journal, and lines are grouped into journals on the journal reference, or on a change of header values where no reference is given.

Journal header — repeated on every line of the journal

Column	Mandatory	Format	Rule the validation applies
Entity code	Yes	Text, as the entity record	An entity the uploading user may post to. A file may carry lines for several entities only where the user is permitted in all of them
Journal date	Yes	Date, in the order stated at upload	The posting date, whose period must be open for that entity. Never inferred from the file name or the date of upload
Journal type	Yes	From the configured list	Manual, accrual, prepayment, reversing, adjustment, intercompany, revaluation or year end. Drives the approval route and the numbering series
Journal reference	No	Text, up to [40] characters	Groups lines into one journal. Left blank, the system assigns its own number under 2.1.10 and groups on a change of header values
Journal description	Yes	Text	The narration carried on the journal header. A blank, or a placeholder repeated down the file, is refused
Currency	Yes	ISO 4217, three letters	A currency the entity transacts in. Every line of one journal carries the same currency
Exchange rate	No	Decimal	Left blank, the rate is taken from the entity preferred source for the journal date under 2.2.9. Supplied, it is treated as a manual rate and reported as an override

Reversal date	Conditional	Date	Required where the journal type is reversing. Falls in a later open period than the journal date
Batch name	No	Text	A label the uploader gives the batch, carried on every journal in the file for later enquiry

Journal line

Column	Mandatory	Format	Rule the validation applies
Line number	No	Integer	Names a failing line in the validation report. Supplied or not, the report also carries the row number in the original file
Account code	Yes	Natural account, as the chart	Exists, is active and accepts postings. A group or header account is refused, and a control account is refused where the entity enforcement level is Enforced
Line description	Yes	Text	Carried on the posting and shown in every enquiry and drill-down. Not defaulted from the header
Debit amount	One of	Decimal, [2] places	Debit and credit as two columns, or a single signed amount column instead; which the file uses is part of the mapping. A line carrying both is refused
Credit amount	One of	Decimal, [2] places	Thousand separators, trailing minus signs and parentheses for negatives are all read correctly
Cost centre	Per account	As the dimension	Mandatory, optional or blocked according to the dimension rule on the account being posted to, not according to the file. A value against a blocked dimension is refused
Profit centre	Per account	As the dimension	As above
Department	Per account	As the dimension	As above
Project	Per account	As the dimension	As above
Location	Per account	As the dimension	As above
Business unit	Per account	As the dimension	As above
Tax code	Per account	From the tax register	Required where the account is tax bearing, and valid for the entity, the country and the journal date
Tax amount	No	Decimal, [2] places	Checked against the tax the code would calculate; a difference beyond the configured tolerance is reported rather than silently accepted
Partner entity	Per account	Entity code	Required where the account is an intercompany control account, so the elimination in 2.14.4 has its counterparty
Document reference	No	Text	The source document the line relates to — an invoice, a contract, a payroll run — carried for traceability
Document date	No	Date	The date of that source document where it differs from the journal date
Due date	No	Date	Where the line creates an item that ages, such as an accrual to be released
Analysis reference	No	Text	A free reference the entity uses for its own analysis

Attachment file name	No	Text	A file in the same upload package, attached to that journal as its evidence under 2.11

1. **Yes** means the column cannot be left unmapped and cannot be blank on any row. The system never substitutes a default for a mandatory value the user did not supply, and never derives one from another column or from the file name.
2. **One of** means the file carries either the debit and credit pair or a single signed amount column, and the preview states which has been read.
3. **Per account** means the column is required, optional or refused according to the rule held on the account each line posts to, under 2.2.1 — not according to the file and not according to the uploader. A cost centre supplied against an account that blocks it is refused on that line, with the account and the rule named.
4. **Conditional** means required only where another value makes it so, and the condition is stated in the rule.
5. Columns the entity does not use are omitted from its own template. Columns present in a file but not in the template are ignored and reported, never silently dropped.
6. An entity may add columns of its own to the template where it holds further analysis on a journal line, and those columns pass the same validation as any other.

A worked file — one balanced journal of three lines

Entity	Journal date	Type	Description	Ccy	Account	Line description	Debit	Credit	Cost centre
LK-01	31/07/2026	Accrual	July utilities accrual	LKR	530030	Electricity — July, invoice awaited	184,500.00		CC-FAC
LK-01	31/07/2026	Accrual	July utilities accrual	LKR	530040	Water — July, invoice awaited	22,800.00		CC-FAC
LK-01	31/07/2026	Accrual	July utilities accrual	LKR	222010	Accrued expenses — utilities		207,300.00	

The journal reference is left blank, so the system assigns one from the series in 2.1.10 and groups the three lines on their common header values. No exchange rate is given, because the journal currency is the entity functional currency. The accrual line carries no cost centre, because the account it posts to blocks that dimension. The batch balances at 207,300.00, which the preview states before anything commits.

Traceability

Every figure is traceable in both directions without leaving the system:

From	To
A line of the income statement or statement of financial position	The accounts behind it
An account balance	The journals and sub-ledger postings that make it up, for any period or date range
A ledger posting	The sub-ledger document that produced it — invoice, receipt, payslip, stock movement, depreciation run
A sub-ledger document	Its supporting evidence under 2.11, its approval trail, and its correction history under 2.2.6

1. The chain runs the other way too: from a supplier invoice to the ledger entries it produced and the statement lines it contributed to.
2. Drill-down is available on screen and retained in the exported report, so a figure can be explained from the export without opening the system.
3. Consolidated figures drill through the consolidation worksheet to the entity column, the entity account and the entity transaction, per 2.14.9.

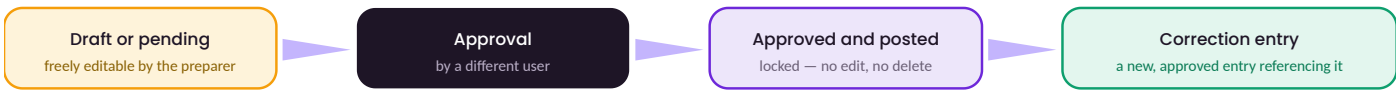
Acceptance: an invoice, a payment, a payslip, a depreciation run and a stock issue each produce their ledger entries without a user raising a journal; a bulk upload with one invalid line posts nothing and names that line; a posting rule with no account configured is reported at set-up; any statement line reaches its source document and its attachment in no more than four steps; and the sum of every sub-ledger agrees to its control account continuously, per 2.12.1.

2.2.5 Journals and approval

Journal type	Behaviour	Approval before posting
Manual	Free entry, must balance by entity and by currency	Second user, always
Template or standard entry	A saved layout of accounts and dimensions, with or without amounts, used to key a repeating entry consistently	Second user, on each use
Recurring	Template with a schedule and an end date; generates a draft each period	On the template, and on release
Reversing	Auto-reverses on the first day of the next period, or on a stated date	Second user
Adjustment	Raised in the period's adjustment period for closing or audit adjustments, reportable separately	Finance manager
Accrual and prepayment	Amortises over a stated number of periods from a start date	Second user, on set-up only
Intercompany	Raises the matching entry in the counterparty entity with a shared reference, per 2.14.4	Second user in each entity
Foreign currency	Entered in any currency, converted at the rate in force under 2.2.9, with the rate and its source retained	Second user
Year-end closing	Rolls income and expense to retained earnings; run in draft, committed once	Finance manager
Bulk upload or import	Excel, CSV or API, validated in full before posting, per 2.2.4	Same route as a keyed journal
Sub-ledger	Raised by the system from a source document	Approval sits on the source document

2.2.6 Correcting an entry — before and after approval

Approval is the point at which an entry becomes a record of account. Before it, the entry is working material and can be changed. After it, the entry is fixed: it cannot be edited and it cannot be deleted by any user, including an administrator. Corrections are made by raising an adjustment or correction entry, which passes through the same approval as any other.



The approval event is the boundary. Everything before it can be changed; nothing after it can, and the trail covers both sides.

Before approval

1. A draft or pending entry can be edited by its preparer, or by another user with the same permission, as many times as needed. No approval is required to change it, because it has not yet entered the accounts.
2. A pending entry affects no balance, no ageing, no stock valuation and no tax return, and does not appear in any report other than a pending or exception listing.
3. An entry returned by an approver — rejected with a reason — goes back to this state and can be corrected and resubmitted.
4. An approver may amend a pending entry rather than return it, so that a minor correction does not require a round trip. The amendment records the value before and after, the field changed, the user and the time, and the entry is flagged as approver-amended on the journal and on a standing report.
5. An amendment by the approver beyond a configurable threshold — by value, by account, or by a change of entity or period — returns the entry to the preparer for resubmission rather than being approved by the user who made it.
6. An amendment made by the preparer to a document already submitted for approval returns it to the start of the approval chain. The approver route above is the only exception, and it is bounded by its own threshold.

After approval

1. An approved and posted entry is locked. No screen, import, API call or administrator action can change its value, account, date, dimensions or party, and none can delete it.
2. A correction is made by a new entry — a reversal, an adjustment journal, a credit note or a debit note as the case requires — which references the original document number, carries its own reason, and is approved by someone other than the person raising it.
3. The correction is dated in the current open period, so figures already reported for a closed period are never restated behind the reader's back.
4. The original and its correction are linked in both directions on screen, so opening either one shows the other.
5. Narrative, internal reference or dimension changes that alter no value and no account may be permitted after approval where the entity chooses, under approval by [role], with the change recorded. This is set per entity and may be switched off entirely.

The correction route, by document type

Approved document	How it is corrected
Journal or sub-ledger transaction, open period	Reversing journal or adjustment journal in the current period, referencing the original
Entry in a closed period	Dated adjustment journal in the current open period, reported as a prior-period item
Issued tax or non-tax invoice	Credit note or debit note under 2.4.6; the document number is never reused
Transaction in a period whose tax return is filed	The prescribed adjustment route in 2.7.4, reported as a prior-period adjustment
Approved payroll run	Supplementary or off-cycle run under 2.10.8; closed payslips are never altered
Reconciled bank line	The reconciliation is reopened under approval first, per 2.6.6, then corrected
Posted depreciation	Adjustment journal with the working attached; the run itself is not re-run
Any approved entry	Never deleted. Deletion is not available to any user or administrator in any module

Transaction history

Every entry carries its own history, reachable from the transaction in one click, covering both sides of the approval boundary:

Recorded	Detail
Edits before approval	Each change with the user, the date and time to the second, and the field values before and after
Submission and approval	Who submitted, who approved or rejected, when, and any comment or reason given
Corrections after approval	The correcting document, its number, its reason, its approver, and a link to it from the original

Attachments	Documents added or replaced at any stage, with earlier versions kept

1. History is written by the system, cannot be edited or deleted by any user including an administrator, and is retained for [7] years.
2. A corrections report lists every approved entry corrected in a period, by user, module and value, and forms part of the audit pack in 2.11.6.
3. Repeated correction of the same original beyond [n] times is flagged for review by [role].

Acceptance: an approved invoice cannot be edited or deleted from any screen, import or API call, by any role including the administrator; the only route offered is a credit or debit note; a draft entry can be edited freely and affects no balance until approved; a correction entry links back to its original and both are visible from either; and the history of a transaction shows the edits made before approval, who approved it, and every correction raised against it afterwards.

2.2.7 Schedules, prepayments and system-generated reversal

Amounts that belong to more than one period are spread by a schedule the system posts on its own. A user creates the schedule once and does not raise a journal again for that item.

Creating a schedule. A schedule can be raised from a supplier invoice line, a sales invoice line, a payment or a manual journal, and holds:

Element	Requirement
Type	Prepayment, deferred income, accrual, or a straight allocation across periods
Holding account	The balance sheet account carrying the unreleased amount — prepayments, deferred income or accruals
Target account	The income or expense account each release posts to
Dimensions	Every dimension carried on every scheduled posting, and capable of being split across dimensions by percentage
Period covered	Start date and end date, or start date and number of periods
Frequency	Monthly, quarterly, half-yearly, annual, or a custom set of dates through the period
Basis	Equal instalments, pro-rated by actual days in each period, or manual amounts entered per period
Rounding	Difference on rounding placed in the first or final period, by configuration, so the schedule always totals the original amount exactly

1. The full schedule is previewed line by line — date, amount, accounts and dimensions — and confirmed before anything is committed.
2. Posting behaviour is set per schedule: auto-post on the scheduled date, or generate a draft for release by [role]. Automatic postings are flagged as system-generated.
3. Postings dated in a hard-closed period are held and reported rather than forced through, and are released into the next open period on approval.
4. A schedule can be terminated early, extended, suspended or revised at any time — including a change in the underlying payment plan, instalment dates, amounts or period covered. The remaining balance is re-spread over the remaining periods, or released in full, or written off — chosen by the user. Postings already made are never altered.
5. A revision records what changed, who changed it and why, keeps the superseded version of the schedule, and reprints the revised schedule for confirmation before it takes effect.
6. The source document, the schedule and every posting it has made are linked in both directions, so any release can be traced back to the original invoice and its attachment.
7. A schedule register lists every open schedule with its original amount, amount released, balance remaining and next posting date. The total balance remaining must agree to the holding account, and that agreement is one of the reconciliations in 2.12.

System-generated reversal. Any journal can be marked to reverse itself.

1. The reversal date is set on the journal: the first day of the next period, the last day of a stated period, or any specific date chosen by the user.
2. The system generates the reversal on that date, carries the original journal reference, states that it is a reversal, and cannot be edited or deleted independently of the original.
3. A pending reversal can be cancelled before its date by the preparer or by [role], with a reason recorded. The original journal then stands and is reported as such. Whether cancellation additionally requires approval is configurable per entity; it is not required by default, because nothing has yet posted.
4. A pending reversal report lists every journal awaiting reversal with its date, so nothing sits unreversed unnoticed.
5. Accrual journals default to system-generated reversal on the first day of the following period, and the default is configurable per journal type.

Event	Entry the system auto-posts
Prepayment recognised on the supplier invoice	Dr Prepayments · Dr Input tax · Cr Trade payable
Each scheduled prepayment release	Dr Expense, by dimension · Cr Prepayments
Deferred income recognised on the sales invoice	Dr Trade receivable · Cr Deferred income · Cr Output tax
Each scheduled income release	Dr Deferred income · Cr Revenue, by dimension
Accrual raised at period end	Dr Expense · Cr Accruals
System-generated reversal on the stated date	The exact opposite of the original entry, referencing it
Early termination of a schedule	Dr Expense or Cr Revenue for the balance released · Cr or Dr the holding account

Acceptance: a twelve-month insurance premium paid in advance posts eleven further releases without a user touching it; a quarterly schedule over eighteen months posts on the correct six dates; an accrual marked to reverse on a stated date reverses on that date and appears on no pending report thereafter; and the prepayment account balance equals the schedule register balance at every month end.

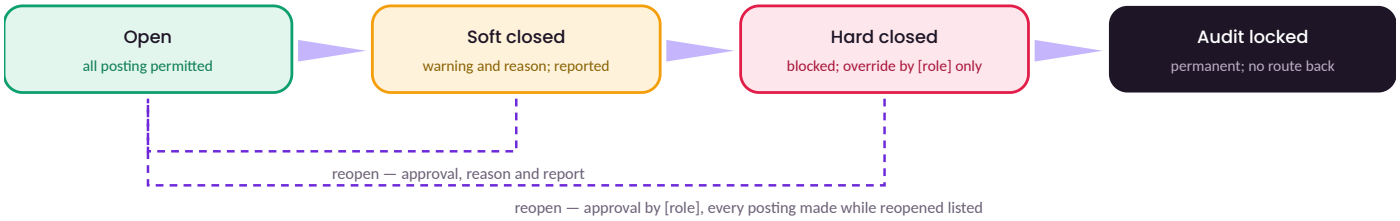
2.2.8 Period control and financial period management

Transactions post only into periods the entity has authorised, and a period that has been reported on cannot change without that change being visible. Period control is the mechanism that protects every figure already published.

Period structure

Element	Requirement
Financial year	Defined per entity with its own start and end dates; a short or long first year is supported, and entities in the same group may have different year ends
Fiscal periods	Monthly, quarterly, half-yearly or annual, generated for the year on creation; a 4-4-5 or similar calendar is supported where the entity uses one
Adjustment period	An additional period dated at the year end, outside the twelve, for closing and audit adjustments so that December's operating figures stay distinguishable from year-end entries
Special audit adjustment period	A further period reserved for adjustments arising from the external audit, reportable separately so that the pre-audit and post-audit positions can both be produced
Future periods	Created in advance but not open; posting into a period not yet opened is blocked

Period states



Audit locked is one-way. Once the audit is signed off, that period cannot be reopened by anyone, including an administrator.

State	Effect	Set by
Open	All posting permitted within the module and entity	Finance manager
Soft closed — *optional*	Posting permitted with a warning and a mandatory reason; every instance appears on a report. An entity that does not want an intermediate state switches this off, and a period then moves from open directly to hard closed	Finance manager
Hard closed	All posting blocked — from the screen, from an import, from the API and from every scheduled job. Exceptional entries only through the override route below	Finance manager
Audit locked	Permanent. No posting, no override, no reopening, by any role including the administrator. Applied once the audit of that year is finalised	[role], with approval

1. Posting is blocked into a closed period, into a future period not yet opened, and into any audit-locked period, with a message naming the period and its state rather than a generic refusal.
2. A period can be reopened from soft closed or hard closed, but never from audit locked.
3. Which states an entity uses is configured per entity. Open, hard closed and audit locked are always available; soft closed is used only where the entity turns it on.

Independent control by module

Period state is held per module and per entity, so operational modules can continue while the general ledger is being closed.

Module with its own period state	Typical use
General ledger	Closed first for reporting while sub-ledgers finish
Accounts receivable · Accounts payable	Closed to new documents while cash application continues
Inventory	Closed after the count is authorised and valuation agrees
Fixed assets	Closed after the depreciation run is posted
Payroll	Closed on approval of the run, ahead of the ledger
Cash and bank	Closed when the reconciliation is approved under 2.6.6
Project accounting	Closed when project costs for the period are complete

A module cannot be left open in a period the general ledger has hard-closed; the system blocks that combination and names it.

Who may change a period state

1. Opening, closing, reopening and audit-locking are restricted to named roles, assigned per entity, and follow the approval hierarchy in 2.1.2.
2. Reopening a closed period requires management approval, a mandatory reason, and produces an entry on a standing reopened-periods report.
3. Every posting made while a period is reopened is listed separately, so what changed after the original close is identifiable without comparing reports.
4. The user who closes a period cannot be the one who approves its reopening. Where the finance team is too small for that separation, it is released as a documented exception under 2.1.2 rather than being worked around.
5. Scheduled notifications are sent ahead of each period close to the owners of outstanding activities.

Exceptional posting to a closed period

1. An authorised finance administrator may post an exceptional journal into a hard-closed period through an override route, which is a separate permission from ordinary posting and is not granted by default.
2. The override requires a reason and an approval reference before the entry can be submitted.
3. Every override posting automatically generates an audit record, a notification to [role] and management, and an entry on the exception report for that period.
4. Override is unavailable for an audit-locked period, by any role.

Year-end processing

1. Year-end close is run from the system, not assembled by hand: it posts the closing entries, rolls income and expense to retained earnings, and carries opening balances forward into the new year.
2. Year-end adjustment journals are raised in the adjustment period, and audit adjustments in the special audit adjustment period, so the trial balance can be produced before adjustments, after management adjustments, and after audit adjustments.
3. Prior-year balances are archived and remain fully reportable, with comparatives available without reopening the year.
4. The new financial year can be opened and transacted in before the prior year is closed; the closing entries post retrospectively and the opening balances update automatically.
5. Year-end close can be run in draft any number of times and is committed once, under approval.

Close monitoring

1. A close dashboard per entity shows the current period and its state by module, which periods are open and closed, the pending close activities with their owners, outstanding reconciliations drawn from 2.12, and attempted postings that were blocked.
2. A configurable period-end checklist drives the close, with each task owned, dated and signed off: bank reconciliations, receivables and payables reconciliations, inventory reconciliation, fixed asset and depreciation review, foreign currency revaluation under 2.2.9, accrual and prepayment schedules, and completion of journal approvals.
3. A period cannot be hard-closed while a mandatory checklist task is incomplete, unless [role] records an exception with a reason.
4. Historical periods can be reported on at any time without reopening them.
5. Period control applies across every entity in the group, and the group close can be monitored on one screen.

What is recorded

Event	Recorded against it
Period opened, closed, reopened or audit-locked	User, date and time to the second, the state before and after, the reason given and the approval reference
Posting into a soft-closed period	User, document, reason, and an entry on the soft-close report
Override posting into a hard-closed period	User, approver, reason, approval reference, notification sent and exception report entry
Blocked posting attempt	User, period, module and time — so repeated attempts are visible

These records cannot be edited or deleted by any user, including an administrator, and are retained for the period set under 2.11.4.

Acceptance: posting into a future, closed or audit-locked period is refused from the screen, an import and the API alike; an audit-locked period cannot be reopened by any role; reopening a hard-closed period requires approval and a reason, and every posting made while it is reopened appears on its own report; the general ledger can be closed while receivables remains open, but not the reverse; an override posting generates its audit record, notification and exception entry without the user doing anything; year-end close carries opening balances and retained earnings forward and can be re-run in draft before it is committed; and a prior year can be reported on in full without being reopened.

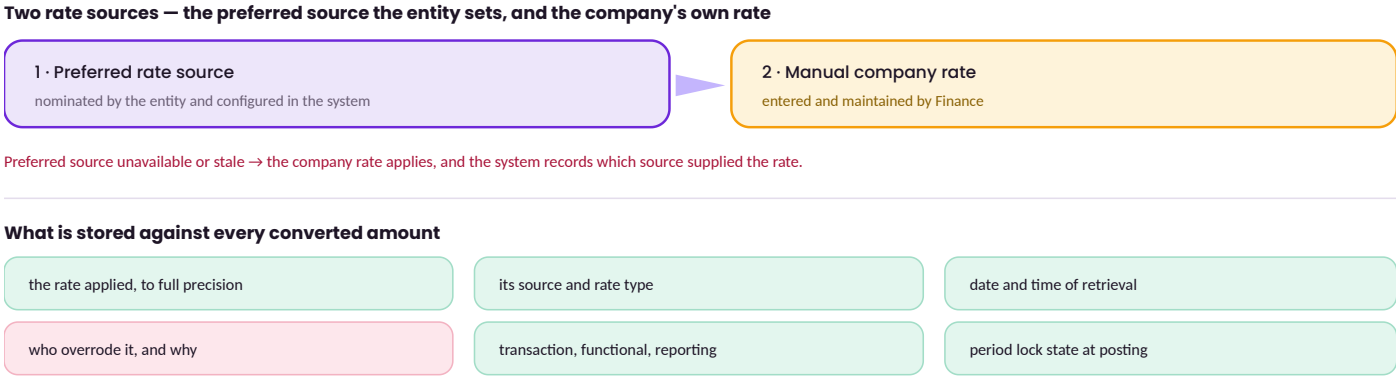
2.2.9 Multi-currency management

The system supports trading, holding balances and reporting in any currency, with every converted amount traceable to the rate that produced it and the source that supplied it.

Currency master

1. All currencies of the ISO 4217 standard are supported, held with their three-letter code, numeric code, name, symbol and minor-unit precision, and maintained as the standard is revised.
2. Each entity nominates its functional currency, fixed once transactions exist, and the group nominates a reporting currency.
3. Multi-currency is available to every entity without being licensed or installed separately. An entity that trades in one currency simply activates that currency alone, and no currency selection, rate or revaluation appears anywhere in its screens or reports.
4. Currencies are activated or deactivated per entity, at implementation and at any time afterwards, so a user is offered only those the entity actually deals in; a currency carrying history is deactivated, never deleted.
5. Rounding and precision follow the currency's minor unit, with the treatment of zero-decimal and three-decimal currencies handled correctly.

Rate sources



Source	Requirement
Preferred rate source	The rate source the entity nominates and configures. It may be a published rate page or feed the entity links to by address, an automated provider feed, or any other source the entity relies on. Set per entity, and able to differ by currency and by rate type
Manual company rate	A rate entered and maintained by Finance. This is the normal case where the entity transacts at a bank's negotiated or special rate, which no published feed carries. Also used for budget and standard-cost purposes, and wherever no preferred source is configured or available

1. The preferred rate source is set at company level and can be overridden at transaction level where required, with the override recorded.
2. No other source is imposed on the entity. Where the entity uses a published or bank rate, it is configured as the preferred source rather than being a separate option the system maintains of its own.
3. Where the preferred source is unavailable, returns no rate for that date or returns a stale one, the manual company rate applies. The system records which source supplied the rate and reports the fallback so it is visible rather than silent.
4. Rate types are held separately and used for their own purpose: transaction rate, month-end closing rate, average rate for the period, historic rate and budget rate.

Synchronisation, history and period locking

1. Rates are synchronised automatically each day, per currency pair and per rate type, with the retrieval logged and a failure raised to [role] rather than passing unnoticed.
2. Every rate ever held is retained with its effective date, its source and the date and time it was retrieved. Rates are never overwritten, so any historical transaction can be re-explained with the rate that was actually in force.
3. Rates for a closed or locked accounting period cannot be changed. Finance can lock the rate table for a period so that a late rate update cannot alter transactions already reported; unlocking requires approval by [role] and is reported.
4. A rate enquiry shows, for any currency pair and date, every rate held, its source, its type and which transactions used it.

Currency held on every transaction

Level	Requirement
Transaction currency	The currency the document was raised in, retained as entered with its original amount
Functional currency	The entity's own currency, converted at the rate in force on the document date
Reporting currency	The group currency, where it differs, for consolidated reporting under 2.14.8

All three are stored on the transaction, not derived later, so a report produced today for a past period reproduces the figures that period was reported on.

Exchange differences

1. Realised gains and losses are calculated at line level on settlement, allocation or part-settlement, and posted by the system.
2. Unrealised gains and losses are calculated on every foreign-currency monetary balance at period end, posted, and reversed automatically in the following period.
3. Revaluation runs at month end and year end across receivables, payables, bank balances, intercompany balances and any other monetary account flagged for it, with a preview before posting and the working retained.
4. Non-monetary balances — inventory, fixed assets, prepayments — are held at historic rate and excluded from revaluation, with the distinction configured per account rather than assumed.
5. The treatment of each difference is configurable to profit or loss or to other comprehensive income, as the applicable accounting standard requires.

Event	Entry the system auto-posts
Realised exchange gain on settlement	Dr Bank or Trade payable · Cr Exchange gain
Realised exchange loss on settlement	Dr Exchange loss · Cr Bank or Trade receivable
Unrealised revaluation at period end	Dr or Cr the monetary balance · Cr or Dr Unrealised exchange difference, reversed next period
Translation of a foreign entity on consolidation	To the translation reserve within other comprehensive income, per 2.14.8

Coverage and reporting

1. Multi-currency applies across the general ledger, receivables, payables, bank and cash, fixed assets, inventory transactions, payroll where paid in another currency, and intercompany transactions.
2. Financial statements and management reports can be produced in the transaction, functional or reporting currency, using the closing rate, the average rate for the period or a historic rate, selected at run time.
3. Ageing, statements and reconciliations can be viewed in either the original currency or the functional currency, with both totals available.
4. Where a customer or supplier trades in more than one currency, balances are held and aged per currency, and settled only against documents in the same currency unless a cross-currency settlement is explicitly made, with its difference posted.

Audit and parity

1. For every converted amount the system retains the rate applied to full precision, the source it came from, the rate type, the date and time of retrieval, and — where a user overrode the proposed rate — who did so, when and why.
2. An exchange rate audit report lists every rate change, every override and every fallback for a period, and forms part of the audit pack in 2.11.6.
3. The capability set above is to match what established cloud accounting platforms provide as standard — automated rate updates, currency revaluation, retention of historical rates, and full exchange gain and loss accounting — and vendors are asked in Annexure A to state where their product falls short of it.

Acceptance: an invoice raised in a third currency stores all three currency amounts and the rate that produced them; the configured source order is followed and a simulated outage falls through to the next source with the substitution reported; a rate entered after a period is locked does not alter any transaction in that period; settlement at a different rate posts the realised difference without a manual journal; month-end revaluation posts and reverses automatically and excludes non-monetary accounts; and the statement of financial position can be produced at closing rate and the income statement at average rate for the same period.

2.2.10 Consolidation and statutory output

1. Consolidation across [No.] entities with system elimination of intercompany balances, transactions and unrealised profit — specified in full in 2.14.
2. Statutory statements produced from the ledger: the income statement and statement of other comprehensive income, the statement of financial position, the statement of cash flows and the statement of changes in equity, with prior-period comparatives and supporting note schedules.
3. Budget upload by account and dimension, multiple versions, locked once approved, with budget-versus-actual and variance reporting.
4. Drill-down from any statement line to account, journal, source document and attached scan, in no more than four clicks.

2.2.11 Acceptance tests

1. A journal missing a mandatory dimension is rejected with a clear message naming the dimension.
2. A posting attempt into a hard-closed period fails from the screen, from an import and from the API.
3. Profit for a month reported by cost centre, then by department, then by both, agrees in total to the trial balance.
4. A foreign-currency invoice settled at a different rate posts the exchange difference without a manual journal.

2.3 Accounts receivable

Receivables runs from the customer record through invoicing, receipt, allocation, collection and provision, with every step raising its own accounting entry. The receivables control account equals the customer ledger continuously, and no balance in it exists without a document behind it.

2.3.1 Customer master and hierarchy

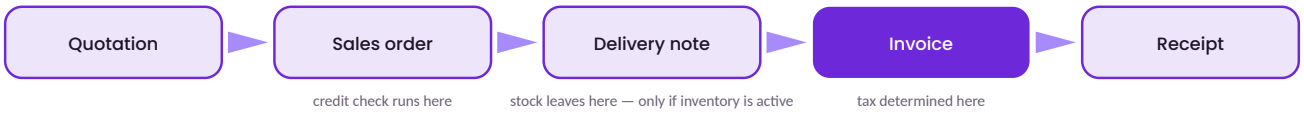
Field	Mandatory	Rule or validation
Customer code	Yes	System-generated in sequence; never reused
Registered name and address	Yes	Prints on the invoice exactly as held; billing and delivery addresses held separately, each permitting more than one
Group, category and industry	Category yes	Drive default terms, credit policy, pricing and reporting segment
Customer type	Yes	Trade, intercompany, employee, related party or other — an intercompany customer links to the counterparty entity under 2.14.4
Tax registration status	Yes	Registered or not registered; drives the document type in 2.4
Tax registration number	If registered	Format-validated per country; the presence of a number is what marks the customer registered

Applicable tax types	Yes	The taxes this customer's supplies attract — selected from the entity's own tax register in 2.7.1, so one customer may carry VAT and a turnover levy while another carries neither. Editable per customer, and defaulted from the customer category
Credit terms and credit limit	Yes	Zero limit means prepayment only; terms drive the due date on every invoice
Risk rating	Yes	Set by Finance or derived from payment history, driving the credit rules in 2.3.5
Collection profile	Yes	Which collection sequence in 2.3.9 applies to this customer
Price list and discount	Yes	Defaults onto orders; line override permitted only to [role]
Currency	Yes	Fixed after the first transaction
Contacts	Yes	By purpose — ordering, invoicing, payment, dispute — each with its own address for document delivery
Status	Yes	Active, on hold, blocked, closed; a change requires a reason and is logged

Hierarchy

1. A customer may have a parent, and a parent may have any depth of subsidiaries, so exposure, ageing and statements are produced either for the single account or for the whole group.
2. Billing and delivery locations are held under the customer, each able to carry its own address, contact, tax registration and document template, without becoming separate customers.
3. A consolidated account bills several locations on one invoice or statement where the customer requires it, while the underlying transactions remain attributed to their own location.
4. Credit limit can be set at the parent, shared across the group, or per account — stated on the record, since the two behave differently on a breach.
5. The customer master is held once for the group; credit limit, terms, price list and tax registration are per entity.
6. Creating a customer requires a second authoriser in the system, at any value and without exception; the record cannot be transacted on until it is authorised. Any subsequent change to name, tax status, tax number, credit limit, risk rating or bank details requires the same second authorisation before it takes effect.

2.3.2 Order to cash — documents and states



Document	States	Effect on posting
Quotation	Draft · sent · accepted · expired · lost	None
Sales order	Draft · approved · part-delivered · delivered · closed · cancelled	None; commits stock as allocated
Delivery note — inventory entities only	Draft · confirmed · returned	Reduces stock and posts cost of sales. Not used by a service-based entity, where revenue is recognised on the invoice
Invoice	Draft · issued · part-paid · paid · cancelled	Posts receivable, revenue and tax
Receipt	Draft · allocated · part-allocated · on account	Posts bank and clears receivable

Credit note	Draft · approved · issued	Reverses revenue, tax and, where goods return, stock

The delivery note stage, and the stock and cost of sales postings attached to it, exist only where the inventory module is active for the entity under 2.1.7. In a service-based entity the chain runs quotation, order, invoice, receipt.

2.3.3 Invoicing and billing

Document control, numbering, mandatory content and the tax or non-tax determination are specified in 2.4. This section covers how invoices arise.

Billing type	Behaviour
Standard tax and non-tax invoice	From a sales order, a delivery, or raised directly; determination per 2.4.2
Proforma invoice	No accounting entry and no number from the statutory series; converts to a tax invoice on acceptance
Recurring invoice	Generated from a template on a schedule, as a draft [n] days ahead for release, so a price or tax change is caught before issue
Milestone billing	Raised on achievement of a defined milestone on a contract, with the milestone recorded and evidenced
Progress billing	Raised on measured progress or certified work, with retention withheld and tracked to its release date
Subscription billing	Periodic charge over a term, with proration on start, change and cancellation
Project billing	From costs, time or a schedule held against the project dimension
Intercompany billing	Raises the matching document in the counterparty entity under 2.14.4
Credit and debit notes	Against a named invoice or standalone, approved before issue, reversing revenue and tax per 2.4.6

1. Numbering is generated by the system per entity, location and document type, gapless, with no user able to set or re-use a number, under 2.1.10.
2. Invoices are raised in the customer's currency and produced in the customer's language, per 2.2.9 and 2.1.8.
3. Invoice templates are configurable per customer, entity and country, so a jurisdiction's required format is a template rather than a development request.
4. Invoices are approved before issue where the entity requires it, by value band under 2.1.2.
5. Issued documents are delivered electronically from the entity's own address, with delivery, open and failure recorded against the invoice, and e-invoicing to a tax authority where the jurisdiction requires it, per 2.4.5.
6. Tax is calculated by the system from the customer, the item and the jurisdiction — including exemption, zero rating and reverse charge — and is never keyed. Withholding deducted by the customer is recorded against the invoice so the residual expected is correct, per 2.7.3.

2.3.4 Revenue recognition

Basis	Treatment
On issue	Revenue recognised when the invoice is issued — the default for goods delivered and services already performed
Deferred	Billed in advance; revenue held in deferred income and released over the period by schedule, per 2.2.7
Accrued	Earned but not yet billed; revenue recognised with a contract asset, cleared when the invoice is raised

Percentage of completion	Recognised on measured progress against the contract, with the basis and the measurement recorded
Milestone	Recognised on achievement of the milestone, independently of when it is billed
Subscription	Recognised evenly over the subscription term, with proration on change

1. The basis is set on the contract, the item or the invoice line, not assumed from the document.
2. Deferred and accrued revenue are maintained as schedules that post automatically each period and are reconciled to their balance sheet account under 2.12.
3. Billing and recognition are separate events; the difference between them is reportable at any date as deferred income or contract asset.
4. A change to a recognition schedule requires approval, carries a reason, and never restates a closed period.

2.3.5 Credit control

What is held

1. Credit limit, credit terms, risk rating and risk classification per customer, each effective-dated.
2. Credit exposure computed live as open invoices, plus undelivered orders, plus delivered but unbilled, less unallocated receipts and credit notes — so exposure is the real position, not the invoiced balance alone.
3. Temporary credit limit increases with a start date, an expiry date and an approver; the limit reverts automatically on expiry rather than by someone remembering.
4. Credit insurance per customer — insurer, cover limit, expiry — with uninsured exposure reported separately.

Rules engine

Rule	Checked at
Exposure plus this document against the credit limit	Sales order, delivery and invoice, each configurable
Outstanding balance against a threshold	Order and invoice
Oldest unpaid invoice against maximum overdue days	Order and invoice
Balance in a stated ageing band	Order and invoice
Risk rating requiring approval	Order, invoice and customer reactivation
Customer-specific or industry-specific policy	Wherever the entity sets it

1. Every rule is configurable by entity, customer, customer group, risk category and industry, and each can be set to warn or to block.
2. On breach the system places the customer on credit hold where configured, preventing further orders, deliveries or invoices as the entity determines, and leaving receipts and credit notes always permitted.
3. A hold escalates to the approver for that value and risk band, and notifies the collection and finance owners named on the customer.
4. A block is released only by [role], with a reason, and every release appears on a standing override report. Where the entity requires it, release of a credit block is set to need two approvers rather than one, configurable by value and by customer risk rating.
5. Credit limit approval, temporary extension, hold release, high-risk transactions and customer reactivation each pass their own workflow under 2.3.16.

2.3.6 Receipts

Receipt type	Treatment
Bank transfer, cheque and cash	Each with its own clearing treatment; a cheque clears on the bank statement, not on entry

Card and online payment	Gross receipt recorded with the processor's charge recognised separately, and the settlement matched to the deposit
Advance receipt	Held as a customer advance, not as revenue, and allocated against future invoices
Security deposit	Held as a liability until refunded or applied, with its own balance and age
Partial and full payment	Allocated under 2.3.7
On-account receipt	Recorded against the customer without allocation where the payer has not advised what they are paying
Customer refund	Repays a credit balance or an overpayment, approved before release and matched to the balance it clears

1. Receipts are created from a bank feed, from a bank statement upload, or keyed, per 2.6.3 and 2.6.4.
2. A receipt is never posted without a customer; an unidentified credit stays in suspense under 2.6 until it is identified.
3. Receipt in a currency other than the invoice currency is supported, with the exchange difference computed on allocation.

2.3.7 Allocation and settlement

Matching

1. The system proposes the allocation automatically from the remittance advice, the payment reference, the invoice number, the exact amount, or a combination, and the proposal is a draft a user confirms.
2. Allocation rules are configurable: by invoice number, by reference, by due date, oldest invoice first, by the customer's own instruction, or a rule the entity defines.
3. Manual allocation is always available, and bulk allocation processes many receipts against many invoices in one action with the result shown before it is committed.

What allocation must support

1. Part settlement of an invoice, leaving the correct residual.
2. One receipt across many invoices, and many receipts against one invoice.
3. An advance or credit balance applied to a future invoice.
4. Overpayment held as a credit balance, refunded or applied, never written off silently.
5. An unallocated difference within [Currency X] is flagged as a minor difference and proposed for write-off to a nominated account. It posts only when one approver releases it — never automatically, since a difference can equally be an allocation made in error. A difference above that threshold stays open and is not proposed.
6. Reallocation of a posted allocation under approval, with the original and the replacement both retained.

Settlement status

Every invoice carries its original value, the amount allocated, the amount received, the outstanding balance, its due date, its collection status and its ageing band, and is in exactly one state: open, partly paid, fully paid, disputed, overdue or written off. The state is derived by the system; no user sets it directly.

Reconciliation of receipts

1. Bank receipts match automatically to recorded receipts under 2.6.6, and an unmatched payment is reported with its age and owner.
2. Allocation history is retained in full for every invoice and every receipt — what was allocated, by whom, when, and what changed since.
3. Unallocated and partly allocated receipts older than [30] days appear on a standing exception report.
4. Payment exceptions — short payment, overpayment, payment against a disputed invoice, payment in the wrong currency, duplicate payment — are reported by type rather than as one undifferentiated list.

2.3.8 Ageing

1. Ageing is computed live from the open items, at any date including a back-dated cut-off, and agrees to the receivables control account at that date.
2. Default buckets: current, 1–30, 31–60, 61–90, 91–120, 121–180 and over 180 days. Buckets are configurable, and more than one bucket set can be held — one for management and one for the provision matrix.
3. Ageing is reportable by customer, customer group, entity, business unit, cost centre, department, country, sales representative, currency and industry segment, and by any entity-defined dimension.
4. Ageing is available by due date and by document date, stated on the report, since the two give different answers.
5. Collection prioritisation identifies high-risk customers, long outstanding balances, repeatedly late payers, large overdue accounts and probable bad debts, each as a ranked list rather than a flag.
6. Alerts are raised for invoices approaching due date, newly overdue invoices, material movements between ageing bands, credit limit breaches and deteriorating payment patterns, each configurable by threshold and routed to a named owner.

2.3.9 Collections and recovery

Stage	Trigger and action
Courtesy reminder	Before due date, where the collection profile calls for it
Due date reminder	On the due date
Overdue notice	At [7] days overdue
Collection escalation	At [30] days, to the named owner and the account manager
Final demand	At [60] days, requiring release by [role]
Legal recovery	On approval, with the case, its stage, its cost and its recoveries tracked against the customer

1. The stages, their timing and their wording are configurable per collection profile, so different customers follow different sequences.
2. Statements of account are produced per customer or per customer group, in the customer's language and currency, on a schedule or on demand.
3. Reminders and letters are sent automatically by email, with SMS where the entity uses it, and every item sent is recorded against the customer with its date, its content and its delivery result.
4. Collection notes and activities are recorded against the customer and the invoice, with the full communication history visible on one screen.
5. Promise to pay is recorded with its date and amount, suppresses escalation until that date, and raises an exception if it is broken.
6. A disputed invoice is marked with the reason, the owner and the amount in dispute; it is excluded from automatic chasing, stays in ageing, and is reported separately.
7. Collection performance is measured per collector and per customer — promises kept, days to collect, amount recovered.

2.3.10 Bad debt and provisions

1. Expected credit loss is computed on a provision matrix maintained by Finance — loss rate by ageing band, customer group or risk rating — with the calculation visible line by line rather than as a single figure.
2. The provision is recalculated each period and presented for review with its workings. It posts only on approval; it is never posted automatically. Its movement between opening and closing is explained on the same screen that approves it.
3. A specific provision can be raised against a named customer or invoice in addition to the matrix, with the reason recorded.
4. Write-off requires approval by value band, carries evidence and a reason, and clears the receivable against the allowance already held.
5. A written-off debt remains visible against the customer; recovery after write-off is recorded against the original debt and posted to recovery income.
6. Provision adjustments and write-offs post their ledger entries automatically.

2.3.11 Multi-currency receivables

1. An invoice is held in the customer currency, the entity's functional currency and the group reporting currency at once, per 2.2.9.
2. Realised exchange difference is computed on allocation at line level, from the rate on the invoice and the rate on the receipt, and posted automatically.
3. Unrealised exchange difference is computed on every open foreign-currency balance at period end, posted, and reversed in the following period.
4. Revaluation runs across all open receivables, per currency, with the workings reportable per invoice.
5. Statements and ageing are produced in the customer currency, the functional currency, or both.

2.3.12 System-generated accounting entries

Transaction	Entry the system auto-posts
Delivery note confirmed — inventory entities	Dr Cost of sales · Cr Inventory, at the costing method in 2.9. In a service-based entity no entry arises at this point
Tax invoice issued	Dr Trade receivable (gross) · Cr Revenue (net) · Cr Output tax payable
Non-tax invoice issued	Dr Trade receivable · Cr Revenue
Invoice billed in advance	Dr Trade receivable · Cr Deferred income · Cr Output tax payable
Deferred income released	Dr Deferred income · Cr Revenue, by schedule
Revenue earned but not billed	Dr Contract asset · Cr Revenue, cleared when the invoice is raised
Receipt allocated	Dr Bank or cash · Cr Trade receivable
Receipt on account or advance	Dr Bank · Cr Customer advances
Security deposit received	Dr Bank · Cr Customer deposits
Withholding tax deducted by the customer	Dr Withholding tax recoverable · Cr Trade receivable, on allocation
Realised exchange difference on allocation	Dr or Cr Exchange gain or loss · Cr or Dr Trade receivable
Unrealised revaluation at period end	Dr or Cr Exchange gain or loss · Cr or Dr Trade receivable, reversing next period
Credit note with goods returned	Dr Revenue · Dr Output tax payable · Cr Trade receivable · and Dr Inventory · Cr Cost of sales
Debit note issued	Dr Trade receivable · Cr Revenue · Cr Output tax payable
Customer refund	Dr Customer advances or Trade receivable · Cr Bank
Expected credit loss provision	Dr Impairment loss on receivables · Cr Loss allowance
Bad debt written off	Dr Loss allowance · Cr Trade receivable
Recovery of a written-off debt	Dr Bank · Cr Bad debt recovered

1. Every posting carries entity, department, cost centre, profit centre, business unit, location, project and any entity-defined dimension, taken from the customer, the item or the document line.
2. Which account each transaction uses is configurable per customer group, item category and entity, held as data and maintained under maker–checker.
3. Drill-down runs from the statement line to the ledger balance to the customer ledger to the document and its attachment.

2.3.13 Period-end processing

1. Receivables reconciliation: the customer ledger total agrees to the control account, with any difference itemised automatically, per 2.12.1.

2. Foreign currency revaluation of all open balances, per 2.3.11.
3. Revenue recognition schedules released for the period, and deferred and accrued balances reconciled.
4. Expected credit loss recalculated and the provision adjusted.
5. Ageing recalculated and the period's ageing retained as reported.
6. Customer statements generated and sent.
7. Customer balance confirmation letters produced for audit, with responses recorded against each customer.
8. Each step is a task on the close checklist in 2.2.8, owned, dated and signed off, and every approved adjustment posts automatically.

2.3.14 Dashboard and reports

Dashboard

Total outstanding receivables and its ageing; overdue balance by band; collection performance and efficiency; days sales outstanding and its trend; top outstanding customers; expected collections for the coming period; bad debt exposure; credit utilisation and breaches; revenue trend; unallocated and partly allocated receipts. Every tile reads live and drills to the documents behind it; the executive view is in 2.15.4.

Standard reports

Report	Report	Report
Customer ledger	Ageing analysis	Customer statement
Outstanding invoices	Open invoice report	Collection performance
Receipt allocation	Unallocated receipts	Partial settlement
Balance confirmation	Credit note register	Debit note register
Bad debt report	Provision and ECL working	Revenue analysis
DSO analysis	Credit exposure	Foreign currency revaluation
Receivables reconciliation	Disputed invoices	Credit override report

Each is filterable by any dimension in 2.3.8 and drillable to source. Custom reports are built under 2.13.2 and 2.13.3.

2.3.15 Receivables assistant

Produces	Basis
Collection probability per invoice	Customer payment history, age, value, dispute status and promises kept
Expected cash inflow forecast	Open items by due date adjusted for that customer's observed payment behaviour, feeding the cash forecast in 2.6
Payment behaviour analysis	Average days to pay, trend, and change against the customer's own history
Bad debt and credit risk indications	Deteriorating payment pattern, rising exposure, broken promises, balances ageing past their usual band
Customer risk scoring	A score built from the factors above, with the factors and their weight shown
Collection prioritisation	A ranked work list — value at risk against likelihood of recovery
Questions in ordinary language	"customers overdue more than 90 days", "predict next month's collections", "customers exceeding credit limits", "high-risk receivables by entity", "explain the increase in DSO this quarter"

Draft commentary	A written draft explaining the period's receivables movement, for review

1. Every output names the figures behind it and drills to the customers and invoices concerned. An observation that cannot be traced to data is not made.
2. A score or probability states the factors it was built from and is presented as an estimate, not as a fact. It informs a decision; it does not make one.
3. The assistant places no customer on hold, releases no hold, raises no credit note, writes off no debt and changes no credit limit. Everything it produces is a proposal a user acts on.
4. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.3.16 Governance, workflow and audit

Workflow	Configurable by
Customer creation and master data change	Entity, business unit, department
Credit limit approval and temporary extension	Amount, risk category, entity
Invoice, credit note and debit note approval	Amount, customer, entity
Receipt adjustment and reallocation	Amount, entity
Write-off and provision adjustment	Amount, risk category, entity
Credit hold release and customer reactivation	Risk category, entity
Collection escalation and legal recovery	Amount, stage, entity
Receivables period close	Entity

1. Every change to a customer record, credit limit, risk rating, allocation, provision or write-off is recorded with the user, the date and time, the value before and after, the reason and the approval reference.
2. These records cannot be edited or deleted by any user, including an administrator, and every one is drillable to the transaction it affected.
3. Credit limit changes, overrides, write-offs and reallocations appear to management on the governance panel in 2.15.8 without anyone being asked to report them.
4. Segregation of duties: the user who maintains the customer master cannot approve a credit limit, and the user who raises a credit note or a write-off cannot approve it.

2.3.17 Acceptance tests

1. An order that breaches the credit limit is blocked, and the release is captured on the override report.
2. A temporary credit limit increase expires on its stated date without intervention.
3. A part receipt allocated across three invoices leaves the correct residual balance on each, and a later reallocation retains both the original and the replacement.
4. One payment covering four invoices and one invoice settled by three payments both allocate correctly, and the invoice state is derived rather than set.
5. An overpayment is held as a credit balance and cannot be written off without approval.
6. Ageing run today for a cut-off of last month-end agrees to the receivables control account at that date.
7. An invoice billed in advance posts to deferred income and releases to revenue by schedule, and the deferred balance reconciles to the schedule at every period end.
8. A foreign-currency invoice settled at a different rate posts the realised difference automatically, and an unsettled one revalues at period end and reverses the following period.
9. A disputed invoice is excluded from automatic chasing but remains in ageing and in the control account.
10. A broken promise to pay raises an exception and restores escalation.

11. Write-off clears the receivable against the allowance held, and a later recovery posts to recovery income against the original debt.
12. The assistant's collection forecast drills to the invoices it was built from, and placing a customer on hold remains a human action.

2.4 Invoicing — tax invoices and non-tax invoices

Both document types are produced from the same sales transaction. The user does not choose a template and does not type a document number.

2.4.1 Document types and numbering

Document	Series format	When used
Tax invoice	TI-[location]-[YY]-[nnnnnn]	Taxable supply to any customer where the law requires a tax invoice
Non-tax invoice	NTI-[location]-[YY]-[nnnnnn]	Exempt, zero-rated or out-of-scope supply, or where the buyer is not registered and a tax invoice is not permitted
Credit note — tax	TCN-[location]-[YY]-[nnnnnn]	Reversal of a tax invoice
Credit note — non-tax	NCN-[location]-[YY]-[nnnnnn]	Reversal of a non-tax invoice
Debit note — tax	TDN-[location]-[YY]-[nnnnnn]	Additional charge against a tax invoice, carrying the tax the original charged
Debit note — non-tax	NDN-[location]-[YY]-[nnnnnn]	Additional charge against a non-tax invoice, carrying no tax line

1. Every document above exists in a tax form and a non-tax form. The system chooses between them from the document being adjusted or the supply being billed, never from a user selection, and each form draws on its own series. The same split applies to receipts, pro forma invoices and self-billed documents where the country recognises them.
2. Each series is separate, sequential and gapless, restarting at the beginning of each financial year, and is generated by the system on issue — never on save of a draft, and never typed by a user, under the numbering framework in 2.1.10.
3. A monthly gap-detection report lists any missing or out-of-sequence number in every series and must return nil.
4. Numbers are never reused, renumbered or reassigned, including after cancellation.
5. The composition of the number is configured per entity, location and document type as set out in 2.1.10. The formats shown above are illustrative; each is set to meet the regulatory requirement of the country the document is issued in, without development. Sales tax documents are marked as statutory series.
6. Cancelling a document requires a reason selected from a configurable list, with free text where the reason is "other". A cancellation report lists every cancelled document with its number, date, value, the user who cancelled it, the approver and the reason, and is available for any period.

2.4.2 Tax determination matrix

The system determines the treatment from three attributes. The user cannot select the document type directly.

Where a jurisdiction requires a separate document for each tax treatment, the entity sets that rule for the country and an order carrying more than one treatment is split by the system into one invoice per treatment, each correctly numbered in its own series and each cross-referenced to the order and to the other documents raised from it. Where a jurisdiction permits one document with the rates shown separately, the order produces a single invoice with the split on its face. The rule is configuration per country, not a choice made at the point of invoicing.

The rate applied is the one in force on the document date, drawn from the dated rate series in 2.7.1. Each tax in the customer's applicable set is evaluated in turn, so a single invoice may carry a transaction tax and a turnover levy together, each shown separately on the face of the document.

Item tax class	Customer tax status	Place of supply	Result
Standard-rated	Registered	Domestic	Tax invoice, tax at the standard rate
Standard-rated	Not registered	Domestic	[Per jurisdiction rule: tax invoice or non-tax invoice], tax charged as required
Zero-rated	Any	Domestic or export	Tax invoice at zero rate, or non-tax invoice where prescribed
Exempt	Any	Domestic	Non-tax invoice, no tax line
Any	Any	Out of scope or export	Non-tax invoice with the prescribed export wording

The matrix above is configurable, not hard-coded, so a rate or rule change in any jurisdiction is a configuration change and not a development request. Rates and rules are entered and maintained by the entity as dated configuration, per 2.7.1; where a tax authority publishes its rates in a form the system can read, they may be imported rather than keyed, but an imported change takes effect only once it is reviewed and approved like any other. Manual override of the determined treatment is available only to [role], requires a reason, and is written to the audit log and to a monthly override report.

2.4.3 Mandatory content and document templates

The content below is the minimum each document carries. The layout that presents it — wording, order, language, logo, footer and any element a jurisdiction prescribes — is a template configured per entity, location and country, and an entity can upload its own template for a document type rather than requesting one. A template is versioned, and the version used is retained with each document issued.

Tax invoice — generated by the system

- Supplier name, address and tax registration number
- Customer name, address and tax registration number
- Unique sequential number and date, with time of supply where prescribed
- Description, quantity, unit of measure and unit price per line
- Taxable value per line and in total
- Tax rate and tax amount shown separately for each rate applied
- The currency of the document, shown against every value and in the total
- Total payable, and the wording prescribed by [applicable tax law]

Non-tax invoice — generated by the system

- The prescribed document title for that supply type
- Supplier and customer name and address
- Unique sequential number from its own series, and date
- Description, quantity and price per line, the currency of the document, and total payable
- No tax rate, no tax amount, no tax line anywhere on the face
- No tax registration reference where its inclusion is not permitted

Industry levies charged before the transaction tax

Most sector levies are charged on turnover before the transaction tax, so that tax is computed on the value plus the levy. The levies an entity attracts come from the industry it operates in, set under 2.1.7, not from the template it issues on. A statutory template and a branded one carry them identically.

1. A levy in the active set prints above the value of supply, so the value of supply already includes it and the prescribed tax row still reads as the authority worded it. Where an authority prescribes a different presentation, that presentation is configured per country.

2. Each levy states its own rate and its own base. A levy may be charged on the net value while the transaction tax is charged on the net value plus that levy, and a second levy may be charged on neither.
3. An entity operating in more than one industry carries more than one set. Which levy applies is resolved per line from the item or service class, not from the entity, so one document can carry a sector levy on one line and none on the next.
4. A levy that does not apply to a document prints no line at all. Nothing appears as a zero or a dash unless the authority requires it to be shown.
5. A levy may be rate-based, per unit, banded, capped or a fixed amount, and may be charged on total turnover, on a narrower class of supplies, or on a value that already includes another levy.
6. Where a sector charge is not levied per invoice but computed periodically on a different base, it is configured as a periodic tax calculated from the ledger and nothing appears on the sales document.
7. A levy introduced, amended or withdrawn by an authority is a dated configuration change. Documents issued before the effective date keep what they were issued with, and a note against one of them reverses at the levy and rate that applied then.
8. Every levy carries its own account and its own return mapping, so the printed line, the ledger entry and the statutory return are produced from one configuration.

Worked example. An entity in a liable sector issues for a net supply of 822,000. A turnover levy at 2.5% adds 20,550, so the value of supply becomes 842,550. The transaction tax at 18% is charged on that figure, giving 151,659, and the total payable is 994,209. Had the entity been in a sector attracting a further levy on part of the supply only, that levy would print as its own line on its own base and enter the transaction tax base in the same way. The order of application is configuration; no arithmetic is performed by a user.

Taxes on the face of the document

A template does not decide which taxes it shows. The taxes activated for the entity, the country and the supply decide, and the template renders whatever they produce. Activating a tax adds its line to every document it covers, includes it in the calculation and posts it to its account, without a template being redesigned and without a change to the software.

1. Each tax applied prints as its own line, with its own label, its own rate and the base it was charged on. Taxes are never combined into a single tax total unless the country requires that presentation.
2. Lines print in a configured order, because the order of application matters: a levy may be charged on the value of supply while a transaction tax is charged on the value plus that levy. The order is configuration and the printed line names the base it used.
3. A tax that does not apply to a line shows no amount against it and is excluded from its base, so one document can carry three taxes on one line and one on the next.
4. Where a tax applies at more than one rate on the same document, each rate carries its own subtotal and its own tax line.
5. Taxes withheld at source by the customer print as a memorandum beneath the total — rate, amount and net expected — and never form part of the amount charged.
6. Each tax line carries the account it posts to, so the printed line and the ledger entry are produced from one configuration and cannot drift apart.
7. Where an authority restricts what may appear on a statutory document, the permitted tax set is configured per country per document type, and the designer refuses a line the authority does not allow rather than printing it.

Tax mechanic	How it presents and calculates
Percentage on value	Rate applied to the taxable base of the lines it covers
Fixed amount	A stated amount per document or per line, presented on the same footing as a percentage tax
Compound	Charged on the value plus one or more taxes already applied, in the configured order
Banded or tiered	Different rates by value band, quantity band or item class, resolved per line
Capped or floored	Subject to a maximum or minimum per line, per document or per period
Per unit	An amount per unit of quantity, volume or weight
Reverse charge	Tax lines print at zero with the prescribed wording and the liability is recorded against the recipient
Zero-rated and exempt	No tax amount, with the coded reason carried from the tax register onto the document

Withheld at source	A memorandum beneath the total, outside the amount charged
Rounding	Per line or per document, to the precision the country prescribes, with the difference posted to its configured account

1. A tax an authority introduces is set up as configuration: its name in each document language, its mechanic from the table above, its rate, its base, its order of application, the supplies and customers it covers, the account it posts to, the documents it prints on and the date it takes effect. From that date it appears on every document it covers and in every return that reports it.
2. A rate change is a dated change to the same tax. A document issued before the change keeps the rate it was issued at, and a credit or debit note against it reverses or raises at that same rate rather than at today's.

Currency and exchange rate on the document

1. Where the document currency differs from the entity functional currency, the exchange rate, the source it came from and the date it applies to print on the document, together with the total and **each tax amount** in the functional currency, because tax is declared and paid in that currency.
2. The block is suppressed entirely where the two currencies are the same, so a domestic document is not cluttered by it.
3. Where a country requires the rate from a named source — a central bank rate for the date of supply, for instance — that source is configured per country under 2.2.9 and the rate is taken from it rather than from the entity default.
4. A further currency may be shown alongside where a customer or a group reporting requirement asks for it, without affecting the posting.
5. A credit or debit note against a foreign-currency document is issued in that currency and carries the rate the original carried, so the tax reversed in the functional currency agrees with the tax originally charged.

Payment and remittance details on the document

A document a customer is expected to pay carries the detail needed to pay it. The details come from the entity's bank accounts under 2.6.1, not from text typed into a template, so an account closed or added in the bank module is reflected on the next document issued.

Printed	Requirement
Account name	The name the account is held in, so the payer can confirm it matches the supplier on the face of the document
Bank and branch	Bank name and the branch the account is held at
Account number	In the local form, and as an IBAN where the country uses one
SWIFT or BIC	Printed wherever the document may be settled from outside the country
Domestic routing code	Where the country uses one, and for each method it differs by — a wire code and an automated clearing code where they are not the same
Payment reference	What the payer must quote. Where a virtual or per-customer account number is used, that number prints in place of the general account
Currency of the account	Stated, because the account printed is the one held in the currency of the document
Terms and due date	The payment terms and the calculated due date, where the entity shows them
Alternative methods	Mandate reference and collection date for a direct debit; a payment link or scannable payment code where the country supports one

1. An entity holds as many bank accounts as it needs, and the account printed is selected by the currency of the document, the country of the entity and the customer where a dedicated account is held for that customer. The user does not choose it at the point of issue.

2. Where no account is held in the document currency, the document prints the account the entity has nominated for that currency and states the currency it is held in, rather than printing an account the payment cannot be made to.
3. More than one account may print where the entity offers a choice of method, each labelled with the method it serves.
4. Bank details are suppressed on a document that is not a request for payment — a delivery note, or a receipt for a payment already made.
5. Bank details print on a pro forma invoice and on a statement of account, because both are issued precisely so that a payment can be made.
6. On a credit note the block states how a balance not set off will be refunded, rather than inviting a payment.

Control over the remittance details

1. Changing a bank account held against an entity, or the account a document type prints, is a restricted permission, requires approval by a second person under 2.1.2, and is recorded in the audit log with the before and after values, the user, the approver and the reason.
2. The change takes effect from an effective date and is reported to [role] and on the governance panel in 2.15.8 without anyone being asked to report it, because an invoice carrying altered remittance details is a known route for fraud.
3. Bank details are never captured on the invoice itself as free text. A template may position the block and label it, but cannot hold account data of its own.
4. Where an entity's details have changed within a configurable period, the document may carry a notice saying so and directing the customer to verify by a channel other than the document, and that notice is configuration rather than a template edit.
5. A supplier's bank details held for outgoing payment follow the same controls in 2.5.3; this section governs only the entity's own details as printed to its customers.

The delivered template library

No entity begins by designing an invoice. The system is delivered with a template for every document type in 2.4.1, and with a statutory template for each country the group operates in, so an entity can issue a compliant document on the day it is created.

Delivered for	What the template carries
The country's statutory tax invoice	The layout, the field set and the wording the tax authority prescribes, held against the gazette, regulation or ruling that prescribes it and the date it takes effect
A non-tax invoice for that country	Titled as that country requires, carrying the coded reason no tax is charged, and drawing on its own series
Credit note, debit note, receipt, delivery note, pro forma invoice and customer statement	One template each, consistent with the invoice template for the country, each on its own series
A cross-border commercial invoice	Incoterms, ports, harmonised system code, country of origin, weights and package marks, for an export where no domestic tax is charged

1. Where the group operates in a country no delivered template covers, the entity builds the template in the designer or uploads its own, and the mandatory field set for that country is configured alongside it so the same validation applies to it as to a delivered one.
2. A delivered template is a starting point and is never locked. An entity issues on it as delivered, brands it, amends it, or replaces it with its own.

Designing and holding templates

1. An entity designs a template in the system, without development: logo, trademark, header and footer, colours, typeface, field placement, column selection, added columns and rows, wording, language and page size.
2. An entity can equally upload a template it already uses, map its fields, and preview it against real data before it is activated.

3. An entity holds as many templates as it needs. Templates are held per entity, per country, per document type, per branch and per customer, each saved, versioned and separately activated. A default is set at each level and the most specific match applies at the point of issue.
4. Every template is previewed against live data before activation, and is printable to PDF and to the formats the jurisdiction accepts for electronic delivery.
5. A template is versioned. Each document issued retains the template version it was produced under, so a document reprinted years later reproduces exactly as it was issued.

What a template may not change

1. A field the country marks mandatory cannot be removed, renamed so that its meaning changes, or left to print blank where a value exists.
2. A prescribed document title, numbering format, date format or tax presentation is fixed. The designer refuses to save a template that breaks one, and reports which rule it breaks.
3. A changed template saves as a draft, is validated against the mandatory field set for its country and document type, and requires approval under 2.1.2 before it can be made active. An invalid template can be saved but never issued against.
4. Access to the designer is a separate permission and is not held by default.

When a statutory format changes

1. Where an authority amends a prescribed format, the delivered template is reissued as a new version carrying the new reference and its effective date, and the entity is notified before that date.
2. Entity templates derived from the amended one are flagged for re-validation against the new field set, with the differences named.
3. Documents already issued are untouched and continue to reproduce under the version they were issued on.
4. Where the authority allows an interim period in which either format may be used, both versions are active and the entity chooses which applies from which date.

2.4.4 Worked example — the two documents side by side

Tax invoice — registered customer · taxable supply

[Company Name]
[Address]
Tax reg. no. [TRN]

No. TI-C1-26-000418
Date 09 Sep 2026
Time of supply 14:20

Bill to **Regent Distributors (Pvt) Ltd**
Tax reg. no. [Customer TRN]

Item	Qty	Rate	Taxable	Tax
Filter cartridge FC-200	40	1,850	74,000	13,320
Service kit SK-12	6	4,200	25,200	4,536
Freight	1	3,000	3,000	540
Taxable value				102,200.00
Tax @ 18%				18,396.00
Total payable				**120,596.00**

Prescribed wording under [applicable tax law] printed automatically.

Non-tax invoice — exempt supply · unregistered buyer

[Company Name]
[Address]
no tax reg. no. shown

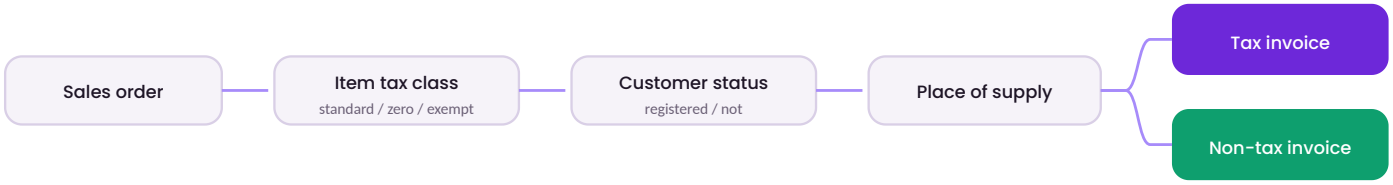
No. NTI-C1-26-001073
Date 09 Sep 2026

Bill to **Silverline Traders**
not registered

Item	Qty	Rate	Amount
Filter cartridge FC-200	12	1,850	22,200
Exempt consumable EC-4	20	640	12,800
Delivery	1	1,500	1,500
Sub-total			36,500.00
No tax charged — exempt supply			—
Total payable			**36,500.00**

Separate series. Gap-detection runs monthly on both series.

Illustrative figures and an 18% rate for demonstration only. Actual rates, document titles and prescribed wording follow the rules of the jurisdiction concerned and are confirmed in user acceptance testing.



Determination is made by the system. Override is limited to [role] and written to the audit log.

2.4.5 Issuing and sending invoices

An issued invoice is sent from the system itself. Downloading a PDF and attaching it to a personal email is not an acceptable process.

Element	Requirement
Sending address	A general entity address such as [invoices@entity], configurable per entity and per location, used as the sender on every outgoing invoice — never the individual user's mailbox
Reply handling	Reply-to set to a monitored address, so customer queries reach the shared inbox rather than one person
Mail authentication	Sender domain configured for SPF, DKIM and DMARC alignment so invoices are not rejected or filed as spam
Templates	Branded templates per document type — invoice, credit note, statement, reminder — with merge fields for customer name, document number, amount and due date, maintained by the entity
Attachments	The invoice PDF, plus optional supporting documents held against the transaction such as the signed delivery note or timesheet
Recipients	One or more addresses held on the customer master by purpose (accounts payable, purchasing, project manager), with copy and blind copy, and the ability to add a one-off recipient at send
Payment link	Online payment link embedded where enabled, with the receipt auto-posted on payment

1. Sending is available on issue, individually, and as a batch for a day's invoices or a full statement run.
2. Delivery status is tracked and shown on the invoice: queued, sent, delivered, bounced and, where the mail service supports it, opened. A bounce raises an exception for [role] rather than failing silently.
3. Every send is recorded on the document with date, time, sending user, recipients and the template used. Resending is permitted and is recorded separately, so the number of times a customer was chased is visible.
4. An invoice that has not been sent within [1] working day of issue appears on an exception report.
5. Statements, reminders and credit notes follow the same mechanism, the same address and the same tracking.

Acceptance: an invoice issued and sent shows a delivery status on the document; a bounced address raises an exception; and a batch of [50] invoices sends in one action with individual delivery status for each.

2.4.6 Amendment, cancellation and reversal

1. An issued invoice cannot be edited — the statutory exception to the amendment route in 2.2.6. Value, quantity or tax corrections are made by credit note and, where needed, a fresh invoice.
2. Cancellation is permitted only before payment and before the tax return for that period is filed. The document remains visible, marked cancelled, carrying the reason and the user.
3. Every credit and debit note references the original document number and inherits its tax treatment. Its value cannot exceed the value of the original document, and the cumulative value of all notes against one document cannot exceed it either; the system refuses the excess rather than routing it for approval.
4. A correction after the return is filed follows the adjustment route prescribed in that jurisdiction, not a cancellation.
5. A note is issued in a tax form or a non-tax form according to the document it adjusts, each on its own series. The user does not choose between them.
6. A tax note reverses or raises every tax the original document charged, each on its own line, at the rate and on the base that applied when the original was issued.
7. A partial adjustment carries the taxes proportionately, each recalculated on its own base rather than apportioned from a single tax total.
8. The tax effect falls in the period the note is issued, not the period of the original document, and the note is reported in the return for that period.
9. A note against a foreign-currency document is issued in that currency and carries the rate the original carried, so the tax reversed in the functional currency agrees with the tax originally charged.

2.4.7 Tax reporting from sales documents

1. Output tax listing: every document in the period, its number, date, customer, tax registration number, taxable value, rate and tax amount.
2. Input tax listing on the same basis from the payables side, showing only claimable input tax.
3. Reconciliation report tying the output and input tax listings to the movement on the tax control accounts and to the figure to be declared, with any difference itemised.
4. Export in the file format required by each jurisdiction for e-filing or e-invoicing, where applicable, produced from the ledger and not re-keyed. Return preparation and filing across all taxes and entities is specified in 2.7.
5. Each period's return figure is locked once filed, with any later movement on that period reported as a prior-period adjustment.

2.4.8 Acceptance tests

1. A new entity in a configured country issues a compliant statutory tax invoice on the delivered template on the day it is created, without a template being designed first.
2. That entity then adds its logo and a further column, and the amended template passes validation and is activated; an attempt to remove a mandatory field is refused with the rule it breaks named.
3. Templates held per country, per branch and per customer at the same time resolve to the most specific one at the point of issue.
4. An amended statutory format loaded with a future effective date applies only from that date, and documents issued before it reproduce unchanged under the version they were issued on.
5. An invoice in a currency for which the entity holds a dedicated account prints that account, and the same invoice raised in another currency prints the account held in that currency, without a template being changed.
6. A change to an entity bank account is refused without approval by a second person, and once approved appears in the audit log with the before and after values and on the governance panel.
7. A delivery note and a receipt carry no remittance block; a pro forma invoice and a statement of account carry one.
8. Two entities in the same country but different industries issue on the same statutory template and each document carries that industry's levies and no others, with the transaction tax computed on the value including them.
9. An entity operating in two industries issues one document carrying a sector levy on one line and none on the next, resolved from the item class rather than from the entity.
10. A second tax activated for a country appears on the next document issued, on its own line, in the calculation and in the return that reports it, with no template changed and no release.
11. A document carrying a levy charged on the value of supply and a transaction tax charged on the value plus that levy shows both lines, each naming its base, and the two agree to the ledger.
12. An invoice in a currency other than the functional currency prints the rate, its source and its date, and the total and every tax amount in the functional currency; the same invoice issued in the functional currency prints no exchange block at all.
13. A tax credit note against that invoice reverses every tax at the rate the invoice carried, in the invoice currency, and the functional-currency tax reversed equals the tax originally charged.
14. A credit note against a non-tax invoice is issued as a non-tax credit note from its own series and carries no tax line.
15. An order mixing standard-rated, zero-rated and exempt lines for a registered customer produces the correct treatment without user intervention: one invoice with the rates shown separately, or one invoice per treatment, according to the rule configured for that country.
16. An unregistered customer cannot be issued a document carrying a tax registration reference.
17. Two users issuing invoices at the same moment in the same location receive consecutive numbers with no gap and no duplicate.
18. A cancelled invoice leaves a visible cancelled record, its number is not reused, and the gap-detection report returns nil.
19. The output tax listing for a full month agrees to the tax control account to the cent.

2.5 Accounts payable

Payables runs from the supplier record through invoice capture, matching, approval, settlement and payment, with every step raising its own accounting entry. Nothing is paid that has not been matched and approved, and no liability exists in the control account without a document behind it.

2.5.1 Supplier master and hierarchy

Field	Mandatory	Rule or validation
Supplier code	Yes	System-generated; duplicate name, tax number and bank account checked on creation
Registered name and addresses	Yes	Billing and remittance addresses held separately, each permitting more than one
Group, category and industry	Category yes	Drive default terms, approval route, expense coding and reporting
Supplier type	Yes	Trade, intercompany, related party, employee or other — a related party is flagged and reported separately, and an intercompany supplier links to the counterparty entity under 2.14.4
Tax registration status and number	Yes	Determines whether input tax may be claimed on the invoice; format-validated per country
Business registration number	Yes	Held for statutory reporting and supplier verification
Payment terms and method	Yes	Terms drive the due date; override on an invoice requires approval
Bank account details	For payment	More than one account permitted, one flagged default. Change requires maker–checker plus a call-back confirmation flag; every change is reported to [role]
Currency	Yes	Default transaction currency; a supplier may be invoiced in more than one
Withholding tax profile	Yes	Rate and category per country; drives deduction at payment
Risk classification	Yes	Drives the approval route and the monitoring in 2.5.17
Contacts	Yes	By purpose — ordering, invoicing, remittance, dispute
Status	Yes	Approved, on hold, blocked, closed; only approved suppliers can be paid

Hierarchy

1. A supplier may have a parent and any depth of subsidiaries, so exposure, ageing and statements are produced for the single account or for the whole group.
2. Remittance locations are held under the supplier, each with its own address, bank account and contact, without becoming separate suppliers.
3. A consolidated supplier view shows total exposure across every account and entity of the group, which is what supplier concentration is measured on.
4. The supplier master is held once for the group; terms, bank accounts, tax registration and withholding profile are per entity.
5. Creating a supplier requires a second authoriser in the system, at any value and without exception; the record cannot be transacted on or paid until it is authorised. Any subsequent change to name, tax number, bank details, payment terms or risk classification requires the same second authorisation before it takes effect.

2.5.2 Invoice types and controls

Document	Behaviour
Supplier tax invoice	Input tax recognised where the supplier is registered and the document qualifies, per 2.7.3
Supplier non-tax invoice	No input tax; the full amount is cost
Credit note	Against a named invoice or standalone; reduces the payable and reverses input tax
Debit note	Raised by the entity against the supplier — a short delivery, a quality deduction, a recharge
Proforma invoice	No accounting entry; converts to a supplier invoice when the tax document arrives

Recurring supplier invoice	Generated from a template on a schedule as a draft for review, so a rate change is caught before posting
Expense claim	Raised by an employee with receipts attached, approved by the manager, settled through payroll or by payment
Intercompany invoice	Matched to the counterparty's document under 2.14.4
Foreign currency invoice	Held in the transaction currency with the rate retained, per 2.5.12

1. Invoice capture is by email under 2.5.3, by scanning with optical character recognition, by import, or keyed — whichever the entity uses, the original document is attached to the transaction.
2. Duplicate detection runs on every route: same supplier and invoice number, or same supplier, date and amount, is flagged before posting and blocked from double entry.
3. Supplier-specific validation rules are configurable — a required purchase order, a mandatory cost centre, a maximum value, a required attachment — and are enforced at entry rather than found at approval.
4. Internal reference numbering is generated by the system per entity and document type; the supplier's own invoice number is held separately and is what duplicate checking uses.
5. Supporting documents — the invoice, the delivery evidence, the contract, the quotation — are attached under 2.11 and travel with the transaction.

2.5.3 Supplier invoice capture by email

The entity operates a dedicated inbound address for payable invoices. An invoice emailed to it becomes a transaction waiting to be posted, with the original attached, without anyone re-typing it.

Element	Requirement
Inbound address	A dedicated address such as [bills@entity], configurable per entity, location or company code, published to suppliers on the purchase order
What is accepted	PDF, image and Excel attachments, and the body of the email itself where the invoice is in the body; multiple invoices in one email are split into separate drafts
Sender control	Accept from any sender, or only from addresses held on the supplier master — configurable. Mail from an unknown sender is quarantined for review, not discarded
Data extraction	Supplier name and tax registration number, invoice number, invoice date, due date, currency, net, tax and gross value, and any purchase order reference read from the document
Supplier identification	Matched to the supplier master by tax registration number, bank details, sender domain or name, with the match shown and confirmable
Order matching	Where a purchase order reference is found, the draft is linked to that order and lines are proposed against open receipts
Review screen	Extracted fields shown beside the original scan, field by field, so the user confirms rather than reads and retypes; low-confidence fields highlighted
Duplicate detection	Same supplier and invoice number, or same supplier, date and amount, flagged before posting and blocked from double entry
Learning	Corrections made on one supplier's layout improve extraction for that supplier's next invoice

Each item in the inbound queue carries a state, and the queue is a work list rather than a mailbox:

State	Meaning
Received	Email accepted, attachment stored, not yet read

Extracted	Fields read, awaiting review
Matched	Supplier and purchase order identified, ready to post
Needs review	Unknown supplier, failed extraction, possible duplicate or value outside tolerance
Posted	Converted to a supplier invoice, entering the approval and matching flow in 2.5.5 and 2.5.6
Rejected	Returned to the sender with a templated reason, the record retained

1. The original email and its attachments remain permanently attached to the resulting transaction, including the sender address and the time received.
2. Items in the queue are aged, and anything unactioned beyond [5] working days is reported to [role], so invoices cannot sit unseen.
3. Nothing posts to the ledger straight from an email. A user always reviews and confirms before the transaction is created.

Acceptance: an invoice emailed by a supplier appears in the queue within [5] minutes with its values extracted; a duplicate of it is flagged and cannot be posted; an invoice from an unknown sender is quarantined; and the posted transaction carries the original email and PDF.

2.5.4 Procure to pay — documents and states

Document	States	Effect
Requisition	Draft · submitted · approved · rejected · converted	None
Purchase order	Draft · approved · sent · part-received · received · closed · cancelled	Commitment recorded for budget reporting
Goods receipt note — goods only	Draft · confirmed · returned	Increases stock and accrues the liability. For a service purchase this stage is a service acceptance, which accrues the liability without a stock movement
Supplier invoice	Draft · matched · blocked · approved · part-paid · paid	Posts payable and input tax
Payment	Draft · approved · released · reconciled	Clears payable, deducts withholding tax

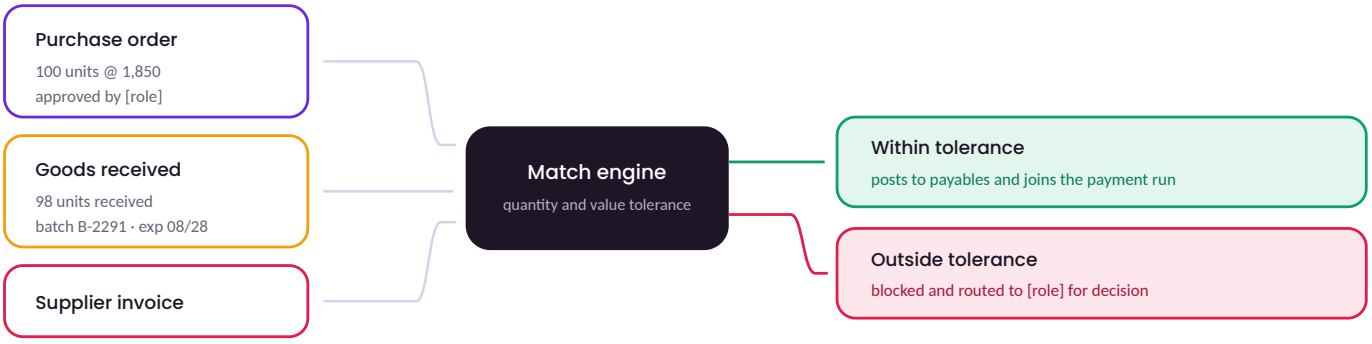
2.5.5 Approval matrix

Value band	Approval required	Applies to
Up to [amount 1]	Department head	Requisition, purchase order, payment
[amount 1] to [amount 2]	Department head, then finance manager	Requisition, purchase order, payment
Above [amount 2]	Department head, finance manager, then [director]	Requisition, purchase order, payment
Any value, capital items	Finance manager and [director], against an approved budget line	Requisition and purchase order

1. Approval is by named user with delegation during absence, dated and time-limited, and the delegate is shown on the document.
2. No user approves a document they raised, at any value.
3. An approved document that is subsequently amended returns to the start of the approval chain.
4. Approval routes are configurable by value, entity, business unit, department, cost centre, supplier category and risk rating, so a high-risk or related-party supplier can require an additional approver at any value.

2.5.6 Purchase matching

Which match applies is determined by whether the inventory module is active for the entity under 2.1.7, and by whether the purchase line is for goods or for services. Three-way matching, and the goods receipt it depends on, exist only where the inventory module is in place.



Where the inventory module is active, no supplier invoice reaches the payment run unless all three documents agree. Without it, the same engine matches the purchase order to the invoice alone, with an optional service acceptance in place of the goods receipt.

Match	Documents compared
Two-way	Purchase order against supplier invoice — the default where no goods receipt exists
Three-way	Purchase order, goods receipt note and supplier invoice
Four-way, where the entity requires it	Purchase order, goods receipt note, inspection or quality approval, and supplier invoice — the invoice cannot pass until the receipt is inspected and accepted

Check	Tolerance	Behaviour outside tolerance
Quantity billed against quantity received — only where a goods receipt exists	[0]%	Blocked; requires a goods receipt correction. Not applied where the inventory module is not active
Price billed against purchase order price	[2]% or [amount]	Blocked; routed to the buyer, then to [role]
Total value against order value	[2]%	Blocked; routed to [role]
Tax charged against the supplier tax status	None	Blocked; input tax cannot be claimed from an unregistered supplier

1. Three-way match applies only where the inventory module is active and the purchase is of goods, so that a goods receipt exists. For purchases of services, and for every purchase in a service-based entity, a two-way match of purchase order against invoice applies, with a recorded service acceptance standing in place of the goods receipt where the entity chooses to require one.
2. The matching rule in force is a property of the entity profile in 2.1.7 and of the purchase line, not a choice made by the person entering the invoice. Where inventory is not activated, the goods receipt stage does not exist at all and the three-way option is not offered.
3. Tolerances are configurable by entity, supplier and item category, separately for quantity, price and total value.

Exception management

Exception	Routing
Quantity variance	To the receiver, then to [role]; requires a receipt correction rather than an approval around it
Price variance	To the buyer who raised the order, then to [role]

Total value variance	To [role]
Duplicate invoice	Blocked at entry, with the original named
No purchase order	Held for retrospective approval by the budget holder, and reported with the requester named
No goods receipt	Held until the receipt is made; the invoice cannot pass on an assurance that goods arrived
Unauthorised invoice	Where the supplier is not approved, the order was not approved, or the claimed tax status is wrong — blocked

Every exception carries a type, an owner and an age, appears on a standing exception report, and is cleared by resolution rather than by approval override. An invoice carrying an unresolved blocking exception cannot reach the payment run.

2.5.7 Invoice status and settlement

Every supplier invoice carries its value, the amount paid, the outstanding balance, its due date, its ageing band, its approval status and its payment status, and is in exactly one state: open, partly paid, fully paid, overdue, disputed or on hold. The state is derived by the system; no user sets it directly.

Settlement	Requirement
Full settlement	One payment clearing the invoice in full
Partial settlement	Leaving the correct residual, with the invoice remaining open and ageing from its original due date
Instalment payment	A schedule agreed with the supplier, each instalment with its own due date and reportable in the cash forecast
Advance set-off	An advance or deposit applied against the invoice, per 2.5.8
Credit note offset	Applied against one or many invoices, or left as a credit balance
Debit note adjustment	Reducing the amount payable, with the reason recorded
Intercompany settlement	Settled by payment or by set-off against the counterparty balance, under 2.14.5
Supplier refund	A credit balance recovered from the supplier, matched to the balance it clears

1. One payment may settle many invoices, and many payments may settle one invoice.
2. A disputed invoice is marked with its reason, owner and disputed amount, is excluded from payment selection, and remains in the payable balance and in ageing.
3. An invoice placed on hold states who placed it and why, and the hold is released only by that authority or above.
4. Unallocated payments and unapplied credit balances older than [30] days appear on a standing exception report.

2.5.8 Advances, prepayments and retentions

1. Supplier advances and deposits are held as an asset, per supplier and per order, never as an expense, and are aged.
2. An advance is offered automatically for set-off when an invoice from that supplier is matched, and set-off requires confirmation rather than happening silently.
3. An advance against a purchase order is tracked against that order, so an advance on a cancelled order is visible for recovery.
4. Retention withheld from a supplier payment is held as its own balance with the release date recorded, and is reported by due date.
5. Prepaid expenses are amortised by schedule under 2.2.7, and the unamortised balance is reconciled each period.
6. Advance recovery, retention release and refund each require approval and carry the evidence of what is being recovered.

2.5.9 Payment processing and payment runs

Methods

Bank transfer and electronic funds transfer, wire transfer for international payments, cheque, direct debit where the supplier holds the mandate, card, and cash for petty payments. More than one bank is supported per entity, and payment may be made in any currency the entity holds, per 2.5.12.

The run

1. Payment runs are scheduled — weekly, monthly, or on a cycle agreed with particular suppliers — and an urgent run can be raised outside the schedule, with its own approval.
2. Selection is by due date, supplier, currency, entity, bank account, payment priority and the available cash position, and the proposal is reviewed and approved before release.
3. The proposal shows, before approval, the total by bank and currency, the cash required, early settlement discounts available and lost, and any invoice excluded with the reason — disputed, on hold, unmatched, supplier not approved, bank details missing or recently changed.
4. Withholding tax is deducted at the point of payment per the supplier profile, with the deduction certificate and the periodic return schedule produced from the same data.
5. Bank upload files are produced in the exact format each bank requires, configurable per bank without development, alongside cheque printing and cash payment vouchers.
6. Remittance advice is sent to the supplier automatically on release, listing the invoices settled and any deduction made.
7. A payment cannot be released to a bank account changed within the last [3] days without a second confirmation.
8. Releasing the payment file is a separate permission from approving the run, and from approving the invoices within it.
9. A payment returned or rejected by the bank is recorded against the supplier, reopens the invoices it was settling, and is reconciled rather than left as an unexplained bank item.

2.5.10 Ageing

1. Ageing is computed live from the open items, at any date including a back-dated cut-off, and agrees to the payables control account at that date.
2. Default buckets: current, 1–30, 31–60, 61–90, 91–120, 121–180 and over 180 days, with configurable buckets and more than one bucket set.
3. Ageing is reportable by supplier, supplier group, entity, country, cost centre, business unit, department, currency and any entity-defined dimension.
4. Ageing is available by due date and by document date, stated on the report, since the two give different answers.
5. Goods received not invoiced is aged alongside payables, since it is a liability incurred but not yet documented, and is reconciled to open receipts.
6. Alerts are raised for invoices approaching due date, newly overdue invoices, invoices blocked beyond a threshold age, exceptions unresolved beyond a threshold, and payments due beyond the available cash position.

2.5.11 Tax on purchases

1. Input tax is calculated by the system from the supplier, the item and the jurisdiction, and recognised only where the supplier is registered and the document qualifies as a tax invoice.
2. Recoverability is determined per expense type: fully recoverable, partly recoverable at the entity's rate, or not recoverable, with irrecoverable tax added to the cost rather than held as an asset.
3. Reverse charge is applied where the jurisdiction requires it, posting both the output and the input side, and is reported separately on the return.
4. Withholding tax is computed on the correct base per the supplier profile and the jurisdiction, deducted at payment, and reported with its certificate.
5. Tax exemption on a supplier or an item is honoured and recorded with its evidence.
6. Tax adjustments against a posted invoice are made by credit or debit note, not by editing the invoice, and feed the return in 2.7.4.

2.5.12 Multi-currency payables

1. An invoice is held in the transaction currency, the entity's functional currency and the group reporting currency at once, per 2.2.9.
2. Realised exchange difference is computed on settlement at line level, from the rate on the invoice and the rate on the payment, and posted automatically.
3. Unrealised exchange difference is computed on every open foreign-currency balance at period end, posted, and reversed in the following period.
4. Revaluation runs across all open payables, per currency, with the workings reportable per invoice.
5. Supplier statements and ageing are produced in the transaction currency, the functional currency, or both.
6. Foreign currency exposure on payables feeds the treasury view in 2.15.3.

2.5.13 System-generated accounting entries

Transaction	Entry the system auto-posts
Goods receipt or service acceptance confirmed	Dr Inventory for goods, or expense for services and in a service-based entity · Cr Goods received not invoiced
Supplier invoice matched and approved	Dr Goods received not invoiced, or expense, inventory or asset where no receipt exists · Dr Input tax recoverable · Cr Trade payable
Irrecoverable input tax	Dr Expense, inventory or asset with the tax included · Cr Trade payable
Reverse charge tax	Dr Input tax recoverable · Cr Output tax payable, both reported on the return
Landed costs applied	Dr Inventory · Cr Accrued freight, duty and clearing
Supplier credit note	Dr Trade payable · Cr Expense or inventory · Cr Input tax recoverable
Debit note raised on the supplier	Dr Trade payable · Cr Expense or inventory
Payment released	Dr Trade payable · Cr Bank · Cr Withholding tax payable · Cr Retention payable where withheld
Early settlement discount taken	Dr Trade payable · Cr Bank · Cr Discount received
Supplier advance or deposit paid	Dr Supplier advances · Cr Bank
Advance set off against an invoice	Dr Trade payable · Cr Supplier advances
Retention released	Dr Retention payable · Cr Bank
Expense claim approved	Dr Expense by dimension · Dr Input tax where claimable · Cr Employee payable
Purchase return	Dr Trade payable · Cr Inventory · Cr Input tax recoverable
Realised exchange difference on settlement	Dr or Cr Exchange gain or loss · Cr or Dr Trade payable
Unrealised revaluation at period end	Dr or Cr Exchange gain or loss · Cr or Dr Trade payable, reversing next period
Accrual for goods or services received, not yet invoiced	Dr Expense or inventory · Cr Accruals, reversing when the invoice arrives
Supplier refund received	Dr Bank · Cr Supplier advances or Trade payable

1. Every posting carries entity, department, cost centre, profit centre, business unit, location, project and any entity-defined dimension, taken from the order line, the requisitioner or the supplier default.
2. Which account each transaction uses is configurable per supplier group, item or expense category and entity, held as data and maintained under maker–checker.
3. Drill-down runs from the statement line to the ledger balance to the supplier ledger to the invoice and its scanned original.

2.5.14 Period-end processing

1. Payables reconciliation: the supplier ledger total agrees to the control account, with any difference itemised automatically, per 2.12.1.
2. Supplier statement reconciliation: a statement received from the supplier is compared with the ledger and the differences classified — invoices not received, invoices not on the statement, payments in transit, credit notes outstanding, disputed items.
3. Accrual processing: goods and services received but not invoiced accrued automatically from open receipts and open orders, and reversed when the invoice arrives.
4. Prepayment amortisation released for the period.
5. Foreign currency revaluation of all open balances, per 2.5.12.
6. Outstanding liability review: aged items with no activity, debit balances on supplier accounts, and long-outstanding advances each reported for decision.
7. Ageing recalculated and the period's ageing retained as reported.
8. Each step is a task on the close checklist in 2.2.8, owned, dated and signed off, and every approved adjustment posts automatically.

2.5.15 Dashboard and reports

Dashboard

Total outstanding payables and its ageing; upcoming payments by due date; overdue payables; cash requirement forecast; top suppliers by balance and supplier concentration; supplier advances and retentions outstanding; unallocated payments and credit balances; goods received not invoiced; foreign currency exposure; withholding and input tax arising from payables; invoices blocked by exception. Every tile reads live and drills to the documents behind it; the executive view is in 2.15.4.

Standard reports

Report	Report	Report
Supplier ledger	Ageing analysis	Supplier statement
Open invoice report	Unpaid invoice report	Payables reconciliation
Payment register	Supplier balance report	Credit note register
Advance and retention report	Cash requirement forecast	Goods received not invoiced
Withholding tax report	Foreign currency revaluation	Supplier analysis
Matching exception report	Working capital report	Bank detail change report

Each is filterable by any dimension in 2.5.10 and drillable to source. Custom reports are built under 2.13.2 and 2.13.3.

2.5.16 Payables assistant

Produces	Basis
Cash requirement forecast	Open invoices by due date, instalments, retentions due for release and commitments from approved orders, feeding the forecast in 2.6
Payment prioritisation	Due date, discount available, supplier criticality and the cash position — a ranked proposal, not a selection
Duplicate invoice detection	Beyond exact matching: near matches on amount, date, reference and supplier, including the same invoice received by two routes
Early settlement discount optimisation	Discount available against the cost of paying early, per supplier and per invoice
Supplier payment behaviour	Days to pay against terms, by supplier and entity, and the trend
Working capital observations	Days payable outstanding against days sales outstanding and stock days, with the effect of a change quantified

Foreign currency exposure on payables	Net exposure by currency and the effect of a stated movement
Questions in ordinary language	"supplier invoices overdue by more than 60 days", "what payments are due next week", "identify duplicate supplier invoices", "forecast cash requirements for the next 30 days", "top suppliers by outstanding balance"

1. Every output names the figures behind it and drills to the suppliers and invoices concerned. An observation that cannot be traced to data is not made.
2. A duplicate finding is a flag for review with both documents shown side by side, never an automatic block of a genuine second invoice.
3. The assistant selects no payment, releases no run, approves no invoice, changes no bank detail and clears no exception. Everything it produces is a proposal a user acts on.
4. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.5.17 Governance, workflow and audit

Workflow	Configurable by
Supplier creation and master amendment	Entity, business unit, supplier category
Supplier bank detail change	Always two approvers plus call-back confirmation, regardless of value
Requisition and purchase order approval	Value, entity, department, cost centre, business unit
Invoice approval	Value, entity, supplier category, risk rating
Credit note and debit note approval	Value, entity
Advance payment approval	Value, entity, supplier risk rating
Payment run approval and file release	Value, entity, bank — held as separate permissions
Supplier reactivation and hold release	Risk rating, entity
Payables period close	Entity

1. Every change to a supplier record, bank account, payment term, risk rating, tolerance or approval route is recorded with the user, date and time, the value before and after, the reason and the approval reference.
2. These records cannot be edited or deleted by any user, including an administrator, and every one is drillable to the transaction it affected.
3. Bank detail changes, large payments, manual journals touching the payables control account, credit note adjustments, period reopenings and tax configuration changes appear to management on the governance panel in 2.15.8 without anyone being asked to report them.
4. Related party suppliers are monitored as their own population: their balances, payments and terms are reportable separately for disclosure and for review.
5. Segregation of duties: the user who maintains the supplier master cannot approve a payment; the user who approves an invoice cannot release the payment file; and no user both creates a supplier and pays it.

2.5.18 Acceptance tests

1. An invoice for more than was received is blocked and cannot reach the payment run, and the exception names the quantity difference.
2. A bank detail change is refused without the second approval and the call-back confirmation, and appears on the change report; a payment to an account changed two days ago requires a further confirmation.
3. Withholding tax deducted across a month agrees to the return schedule and to the control account.
4. The same invoice arriving by email and by scan is detected as a duplicate and cannot be posted twice.
5. An advance paid against an order is offered for set-off when the invoice is matched, and is not applied without confirmation.

6. A payment run excludes disputed, held and unmatched invoices and states why each was excluded.
7. The user who approves the run cannot release the payment file.
8. A foreign-currency invoice settled at a different rate posts the realised difference automatically, and an unsettled one revalues at period end and reverses the following period.
9. Goods received not invoiced at period end equals the open receipts not yet matched, and the accrual reverses when each invoice arrives.
10. A supplier statement reconciliation classifies each difference by cause rather than returning one net figure.
11. Irrecoverable input tax is added to cost and does not appear as a recoverable asset.
12. The assistant's duplicate finding shows both documents and leaves the decision to a user.

2.6 Bank, cash and bank reconciliation

Every movement of money passes through this module: bank and cash accounts, transfers, treasury positions, statement import, reconciliation and the posting rules that turn a statement line into an accounting entry. The rules engine specified here is the one the whole system posts through, not a bank-only facility.

2.6.1 Bank and cash accounts

Account type	Treatment
Current and operating accounts	The ordinary transacting accounts, one control account each
Multi-currency accounts	Held in their own currency, revalued under 2.6.9
Virtual accounts	Sub-accounts of a physical account used to identify payers; balances roll up to the physical account
Loan and borrowing accounts	Liability balances with their repayment schedule, per 2.6.7
Credit card accounts	Liability balances with statement import and reconciliation like any bank account
Escrow and restricted accounts	Flagged as restricted so the balance is excluded from available cash
Investment and deposit accounts	Short-term deposits with maturity and interest terms, per 2.6.7
Intercompany accounts	Used for group funding, matched to the counterparty under 2.14.4

Held on every bank account	Note
Bank, branch and address	With the entity that owns the account
Account number, IBAN, SWIFT or BIC	Format-validated; used on payment files and remittances
Currency and account type	Currency fixed after the first transaction
General ledger control account	One per bank account; no two accounts share a control
Authorised signatories and limits	Who may authorise, to what value, and in what combination, each effective-dated
Approval limits and permitted users	Who may post to it and who may release payments from it, held separately
Statement source	Feed, host-to-host, file or manual upload, with the schedule
Online banking credentials	Held encrypted, never displayed, with access and use logged; credentials are not visible to any user including an administrator
Status	Active, dormant or closed; a closed account retains its history and cannot be transacted on

Cash accounts

Cash in hand, petty cash, branch cash, project cash, imprest accounts and foreign currency cash are each held as their own account with their own control account, custodian and location, and reconcile exactly as a bank account does. There is no limit on the number of accounts of any type.

Petty cash and floats

1. A float is established per custodian and location, with its amount, its control account and its approver recorded.
2. Expenses are recorded against the float with the receipt attached, coded to account and dimension at the point of entry.
3. Replenishment is requested when the float falls below a threshold, shows the expenses since the last replenishment, and is approved before payment; the float returns to its established amount rather than to an arbitrary figure.
4. Advances to employees from petty cash are held as receivable until acquitted with receipts, and are aged.
5. Reconciliation of the float — cash counted plus unreplenished vouchers equals the float — is performed on a schedule and on any custodian change.
6. Surprise counts are supported: a count initiated without notice, recorded with the counter, the custodian and the result, with any difference posted only under approval.

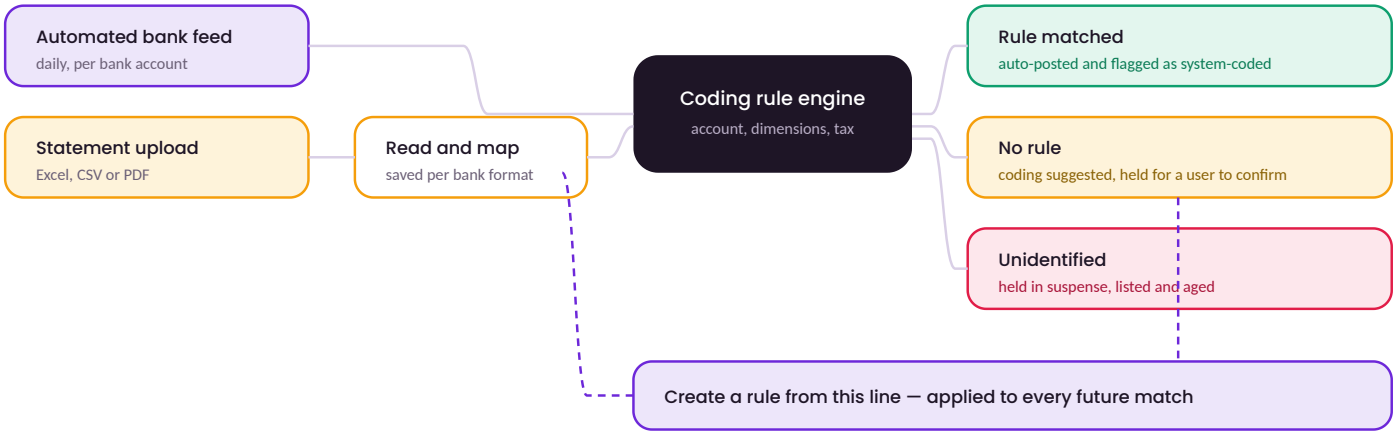
The opening of a bank or cash account, and any change to its signatories, limits or control account, requires approval under 2.6.16.

2.6.2 Bank transactions and transfers

Receipts	Payments	Transfers
Customer receipts	Supplier payments	Bank to bank, same entity
Interest income	Payroll payments	Cash to bank and bank to cash
Loan proceeds	Tax payments	Intercompany transfers
Investment income and maturities	Utility and recurring payments	Foreign currency transfers
Insurance claims	Loan repayments	Treasury transfers to and from deposits
Intercompany receipts	Employee reimbursements	Transfers between entities of the group
Miscellaneous receipts	Capital expenditure payments	Sweeps under a pooling arrangement

1. A transfer is a single transaction with two legs, so it can never be recorded on one side only; where the legs clear on different dates, the difference sits in a transfer-in-transit account that is aged and must clear.
2. A cross-currency transfer records the rate applied on each leg and posts the difference arising as an exchange gain or loss.
3. An intercompany transfer raises the matching entry in the counterparty entity under 2.14.4.
4. Transfers and payments follow the approval matrix in 2.6.16, and releasing a payment is a separate permission from approving it.
5. Payments originating in payables, payroll or tax are initiated in those modules and appear here as bank transactions; they are not re-keyed.

2.6.3 Bank connectivity and statement import



Both routes end in the same rule engine. A line coded by hand once can be turned into a rule, so the same payment never needs coding twice.

Channel	Requirement
Open banking API	Direct connection where the bank publishes one, with consent and token renewal managed by the system
Direct bank integration	A bank's own interface for statements and payment files
Host to host	Scheduled exchange for entities with volume
Secure file transfer	Collection from an SFTP location on a schedule
Online banking download	A file retrieved by a user and uploaded, per 2.6.4

Statement formats accepted: MT940, CAMT.053 and CAMT.054, BAI2, CSV, Excel, and any bank-specific format configured as a mapping template rather than as development.

1. Statements are imported automatically on a schedule, for many accounts at once, with the schedule set per account.
2. Every imported line carries date, value date, amount, direction, running balance, narrative, counterparty name, counterparty account and the bank's own reference.
3. Duplicate protection: a line already imported is never imported twice, identified by bank reference or by a hash of date, amount and narrative. A re-import of an overlapping date range brings in only what is new.
4. Imported transactions are validated before they are accepted — the statement's own opening balance, movement and closing balance must agree, and a gap in statement sequence is reported.
5. Every imported line passes through the posting rules engine in 2.6.10. A line matching a rule is auto-coded, auto-posted and flagged as system-coded, so auto-posted entries can be listed and reviewed separately.
6. A line with no rule is held with a suggested coding for a user to confirm. It is not posted silently and it is not discarded.
7. A line that can be neither matched nor identified is posted to a suspense account, listed on an exception report and aged. Suspense must be nil before a period can be closed.
8. Statement history is retained in full, with the original file attached, so any past statement can be reproduced as received.
9. The feed reports its own health: last successful pull per account, lines received, lines posted, lines pending, and any failure raised to [role] rather than failing quietly.

2.6.4 Manual statement upload — Excel and PDF

Where a feed is unavailable, delayed or covers only some accounts, the same processing must be available from an uploaded statement.

Capability	Requirement
Formats accepted	Excel (.xlsx, .xls), CSV, and PDF statements, including a scanned PDF read by optical character recognition

Reading the data	The system extracts date, description, reference, debit, credit and balance columns from the file, rather than requiring a user to retype them
Column mapping	On first upload the user maps the file's columns to the system's fields; the mapping is saved as a named template per bank and per format and reused automatically thereafter
PDF handling	Table structure recognised across page breaks; multi-line narratives joined to the correct transaction; a confidence indicator shown per line
Validation before posting	Opening balance plus movement must equal the closing balance on the statement, and the file's own totals must agree, or the upload is rejected with the failing line identified
Duplicate control	Overlapping dates with lines already imported by feed or by an earlier upload are detected and excluded, with a report of what was skipped
Correction	A misread line can be corrected on screen before posting; the original file is retained as an attachment to the import batch
Reversal	An entire upload batch can be reversed before reconciliation, in one action, leaving an audit trail

2.6.5 Coding suggestions and rules

1. For every uncoded line the system proposes a general ledger account, the required dimensions, the tax treatment and, where relevant, the customer or supplier — based on the narrative, the counterparty, the amount and how similar lines were coded before.
2. The suggestion is shown with the reason for it, so the user can see why a line was proposed rather than accepting a black box.
3. From any confirmed line the user can create a rule in one action, without leaving the screen and without vendor involvement.

Rule element	Requirement
Conditions	Narrative contains, begins with or matches a pattern; counterparty name or account; amount, exact or within a range; direction; bank account; combinations joined by and / or
Actions	Set the account, every dimension, the tax code, the customer or supplier, the description written to the ledger, and whether to split across accounts by fixed amount or percentage
Behaviour	Auto-post, or propose and hold for confirmation — set per rule
Priority and testing	Rules ordered, with the ability to test a rule against the last [n] months of statement lines before activating it
Governance	Rules created and amended under maker–checker; every rule change is logged; a report lists rules by frequency of use and rules never used

1. Standing items — bank charges, interest, loan instalments, standing orders, salary transfers — are expected to be fully automated by rule within [3] months of go-live.
2. Receipts from customers are matched to open invoices from the narrative or reference, and the suggested allocation is presented for confirmation.

2.6.6 Reconciliation

Match type	Basis	Handling
One to one	Statement line to a single ledger entry on amount, date window and reference	Auto-matched
One to many	One statement line against several invoices or receipts	Auto-proposed, user confirms

Many to one	Several statement lines against one ledger entry	Auto-proposed, user confirms
Unpresented	Ledger entry with no statement line, such as an uncleared cheque	Carried forward and aged
Unrecorded	Statement line with no ledger entry	Coded and posted through the rule engine

Automatic matching

Lines are matched on amount, date and value date within a window, reference number, narrative text, cheque number, and the customer or supplier invoice or payment reference — singly or in combination, with the rules and their tolerances configurable per bank account.

How every line is classified

Category	Meaning
Fully matched	Statement line and ledger entry agree and are cleared together
Partly matched	Matched on some criteria, with a difference that must be explained before it clears
Unmatched	No counterpart found, in either direction
Duplicate	The same transaction appearing twice, in the statement or in the ledger
Outstanding deposit	Recorded as received, not yet on the statement
Outstanding payment	Issued, not yet presented — an uncleared cheque or transfer
Timing difference	Both sides present, in different periods, with the expected clearing date shown
Bank error	A line the bank has posted in error, pending correction, with the claim reference recorded

Manual intervention

1. An authorised user may match manually, split one statement line across several ledger entries, merge several statement lines into one match, and reverse a match that was made in error.
2. A difference that is genuinely the entity's own — a bank charge not yet recorded, an error in coding — is resolved by creating the adjustment entry from the reconciliation screen, under approval, rather than by forcing a match.
3. Every manual action records who did it, when, and why, and manual matching activity is reportable as its own population.

1. The reconciliation screen shows, at any chosen date, the statement closing balance, the ledger balance, and every reconciling item with its age and its owner.
2. Reconciliations are per bank account, per period, and carry a status of in progress, prepared, reviewed or approved, with preparer and reviewer being different users unless that separation has been released under 2.1.2.
3. The bank statement file, the reconciliation working and any correspondence attach to the reconciliation record itself.
4. A period cannot be hard-closed while a bank reconciliation for that period is unapproved or shows an unexplained difference.
5. An approved reconciliation cannot be edited; a correction requires it to be reopened by [role], which is logged and reported to management under 2.15.8.

2.6.7 Treasury and liquidity

Instrument or activity	Requirement
Cash pooling	Physical sweeps or notional pooling across accounts and entities, with the intercompany position arising recorded and interest allocated on the configured basis
Short-term investments and fixed deposits	Principal, rate, placement and maturity dates, with interest accrued to each period end and the maturity shown in the cash forecast

Loans and borrowings	Facility, drawdowns, repayment schedule, interest basis and covenants; instalments split between principal and interest automatically
Bank guarantees	Beneficiary, value, commission, issue and expiry dates, with expiry alerts; disclosed as a contingent liability rather than posted
Letters of credit	Value, terms, documents required, expiry and the related purchase order, with the margin held and released on settlement
Funding and borrowing management	Available facilities against drawn amounts, headroom by entity and in total

1. Liquidity position: available cash by entity, currency and bank, with restricted balances and undrawn facilities shown separately from freely available funds.
2. Treasury forecasting projects the position forward from the forecast in 2.6.8, showing where a shortfall or a surplus arises and when.
3. Every treasury instrument carries its documents, its approval and its maturity, and raises an alert ahead of each date.

2.6.8 Cash flow forecasting

Input	Source
Expected collections	Open receivables by due date, adjusted for observed payment behaviour, per 2.3.15
Payments due	Open payables, instalments and retentions, per 2.5.16
Payroll commitments	The next runs at their current establishment, per 2.10
Tax commitments	Filings and payments from the tax calendar, per 2.7.7
Project and capital expenditure	Commitments from approved orders and the capital budget, per 2.8.11
Treasury movements	Deposit maturities, loan instalments and facility drawdowns, per 2.6.7
Recurring items	Standing orders, rent, utilities and other known regular movements

1. Short-term forecasting: the daily cash position, a weekly forecast and a monthly forecast, each by entity, currency and bank account, and consolidated for the group.
2. Long-term forecasting: annual cash flow, capital expenditure, loan repayment, tax and payroll forecasts over any horizon the entity sets.
3. Every forecast line states the source it was built from and drills to the underlying documents.
4. Scenarios are supported — a delay in collections, a drawdown, a deferred capital spend — without altering the base forecast.
5. Forecast against actual is reported each period, so the forecast's own accuracy is measurable rather than assumed.

2.6.9 Multi-currency banking

1. Bank and cash accounts are held in their own currency, with the balance reported in that currency, the entity's functional currency and the group reporting currency, per 2.2.9.
2. Realised exchange differences arise on settlement and on cross-currency transfer, computed from the rate on each leg, and post automatically.
3. Unrealised differences are computed on every foreign-currency bank and cash balance at period end, posted, and reversed in the following period.
4. Revaluation runs across all accounts, per currency, with the workings reportable per account.
5. Foreign currency balances and exposure feed the treasury view in 2.15.3.

2.6.10 Accounting posting rules engine

One engine generates the accounting entries for every module. It is configured by the entity, held as data, and changed without a release.

What posts through it

Receivables, sales and billing, payables, procurement, inventory, fixed assets, payroll, bank and cash, treasury, tax, project accounting and group consolidation. The entry each transaction raises is specified in that module's own entry table; this section specifies how those entries are produced.

What a rule can be configured by

Dimension of the rule	Dimension of the rule	Dimension of the rule
Entity	Country	Transaction type
Business unit	Department	Cost centre
Profit centre	Project	Location
Customer group	Supplier group	Inventory category
Asset category	Tax type	Currency

1. Rules are created and amended by the entity without source code changes, under maker–checker, with a version history and an effective date.
2. Where more than one rule could apply, priority is explicit and the rule that fired is recorded on the posting, so a question about why an entry went where it did is answered from the transaction rather than from the configuration.
3. A rule can be tested against historical transactions before it is activated, showing what would have posted differently.
4. A posting rule with no account configured raises an exception at set-up, not a suspense posting at month end.
5. Dimensions are inherited automatically from the source transaction — the order line, the employee, the asset, the item, the customer — rather than defaulted blindly, and the rule states which source each dimension comes from.
6. Every entry posted carries the rule and version that produced it.

2.6.11 Validation, exceptions and suspense

Validated before anything posts

Check	Check	Check
Period open for that module	Account exists and accepts postings	Account mapped for consolidation
Cost centre valid for the entity	Profit centre valid	All mandatory dimensions present
Tax code valid and applicable	Currency and rate present	Entry balances by entity and currency
Intercompany counterpart identified	User authorised for the action	Budget available, where the entity enforces it

1. A transaction failing validation does not post. It is routed to an exception queue with the specific failure named, an owner and an age — never rejected silently and never forced through.
2. Exception types are distinguished: failed posting, missing account mapping, invalid or missing dimension, unbalanced entry, duplicate transaction, reconciliation exception and authorisation failure.
3. The exception queue is a work list: each item is resolved by correcting the data or the rule and reprocessing, with the resolution recorded.
4. Suspense accounts are used only where a transaction must be recorded before it can be identified — an unidentified bank receipt being the main case. Every suspense posting is listed, aged and owned.
5. Clearing a suspense item requires approval and a reason, and the correcting entry references the original.
6. Suspense must be nil, or every remaining item explained and approved, before a period can be hard-closed.
7. Failed and pending auto postings are visible to management on the governance panel in 2.15.8 without anyone being asked to report them.

2.6.12 Period-end automated posting

The following are generated and posted by the system on a schedule rather than raised by hand: bank charges and interest accruals; foreign currency revaluation; accrual and prepayment releases; depreciation; payroll accruals; revenue recognition releases; tax adjustments; and, at group level, consolidation and elimination journals.

1. Each is scheduled daily, weekly, monthly, quarterly or annually, per entity, and appears on the close checklist in 2.2.8.
2. Each run previews before it posts, showing the total and the movement against the prior period.
3. Where the entity requires it, a run is reviewed and approved before it posts; where it does not, it posts on completion. Which applies is configurable per run type and entity.
4. A failed scheduled run is reported immediately with the reason, and is never left to be noticed at the close.

2.6.13 System-generated accounting entries

Transaction	Entry the system auto-posts
Customer receipt identified from a statement line	Dr Bank · Cr Trade receivable, allocated to the matched invoices
Supplier payment identified from a statement line	Dr Trade payable · Cr Bank
Cash deposited to bank	Dr Bank · Cr Cash in hand
Cash withdrawn from bank	Dr Cash in hand · Cr Bank
Transfer between bank accounts	Dr Bank, receiving · Cr Bank, sending; with Dr or Cr Transfer in transit where the legs clear on different dates
Bank charges, coded by rule	Dr Bank charges, by dimension · Cr Bank
Interest received	Dr Bank · Cr Interest income
Interest accrued on a deposit	Dr Interest receivable · Cr Interest income
Loan drawdown	Dr Bank · Cr Loan liability
Loan instalment	Dr Loan liability · Dr Interest expense · Cr Bank
Petty cash replenishment	Dr Expense, by dimension · Dr Input tax where claimable · Cr Bank
Cross-currency transfer	Dr Bank, receiving currency · Cr Bank, sending currency · Dr or Cr Exchange gain or loss
Foreign currency revaluation at period end	Dr or Cr Exchange gain or loss · Cr or Dr Bank or cash, reversing next period
Unidentified receipt or payment	Dr or Cr Bank · Cr or Dr Suspense, listed and aged until cleared
Suspense cleared	Dr or Cr Suspense · Cr or Dr the identified account, referencing the original
Cash count shortfall	Dr Cash shortage · Cr Cash in hand

Drill-down runs from the financial statement line, to the ledger balance, to the journal, to the bank transaction, to the statement line and its imported file, to the audit trail.

2.6.14 Dashboard and reports

Dashboard

Current bank and cash balances by account, entity and currency; the daily liquidity position with restricted balances separated; foreign currency balances; the cash flow forecast; treasury position with deposits, loans and facilities; outstanding deposits and outstanding payments; unreconciled transactions by age; reconciliation status by account and entity; large cash movements; and short-term funding needs. Every tile reads live and drills to the transactions behind it; the executive view is in 2.15.3.

Standard reports

Report	Report	Report
Bank reconciliation	Bank statement report	Cash book
Daily cash position	Cash flow forecast	Outstanding deposits
Outstanding payments	Treasury report	Liquidity analysis
Foreign currency exposure	Foreign currency revaluation	Bank charges analysis
Loan and financing	Petty cash report	Auto-posting exceptions
Suspense account listing	Posting audit trail	Auto-coded versus manually coded

Each is filterable by entity, bank account, currency and any dimension, and drillable to source. Custom reports are built under 2.13.2 and 2.13.3.

2.6.15 Banking and treasury assistant

Produces	Basis
Reconciliation recommendations	Proposed matches for lines the rules did not clear, each with the evidence for the match shown
Cash position forecast	The inputs in 2.6.8, adjusted for observed timing behaviour
Liquidity risk analysis	Forecast position against committed outflows and available facilities, by entity and currency
Unusual transaction detection	Value, counterparty, frequency, timing or account outside the established pattern — raised for review, never as an accusation and never blocking a payment
Cash shortage and surplus alerts	A forecast shortfall within a stated horizon, or an idle balance beyond a stated threshold
Treasury observations	Surplus placement, facility use and pooling efficiency, with the benefit quantified
Reconciliation exception analysis	Which accounts persistently fail to match and why, by cause
Questions in ordinary language	"unreconciled transactions older than 30 days", "forecast cash position for the next 90 days", "explain significant cash movements this month", "show failed auto postings", "identify unusual banking transactions"

1. Every output names the figures behind it and drills to the accounts and transactions concerned. An observation that cannot be traced to data is not made.
2. A proposed match is a proposal: it is confirmed by a user, and the assistant reconciles nothing on its own.
3. The assistant initiates no payment, releases no file, moves no funds, approves no reconciliation, clears no suspense item and changes no posting rule.
4. A forecast states its assumptions and is presented as a forecast, not as a committed figure.
5. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.6.16 Governance, workflow and audit

Workflow	Configurable by
Bank or cash account creation	Entity — always requiring two approvers
Account amendment, signatories and limits	Entity, bank account, risk category

Payment and fund transfer approval	Value, entity, business unit, department, bank account
Payment file release	Held as a separate permission from approval
Treasury transactions — placements, drawdowns, guarantees	Value, entity, instrument type
Reconciliation approval and reopening	Entity, bank account
Adjustment and suspense clearing journals	Value, entity
Posting rule creation and amendment	Entity — maker–checker always
Bank and cash period close	Entity

1. Every change to a bank account, signatory, limit, exchange rate source, treasury configuration, posting rule or account mapping is recorded with the user, date and time, the value before and after, the reason, the approval reference and any supporting document.
2. These records cannot be edited or deleted by any user, including an administrator, and every one is drillable to the transaction it affected.
3. Account and signatory changes, reopened reconciliations, large manual journals touching a bank control account, failed auto postings and suspense transactions appear to management on the governance panel in 2.15.8.
4. Segregation of duties: the user who maintains a bank account cannot approve a payment from it; the user who approves a payment cannot release the file; and the user who prepares a reconciliation cannot approve it.

2.6.17 Acceptance tests

1. A month of feed lines auto-codes at least [90]% after rules are in place, and every remaining line is explained.
2. An Excel statement and a PDF statement for the same month produce identical postings.
3. Re-uploading a statement that overlaps an earlier import creates no duplicate entries.
4. A rule created from a coded line correctly codes the equivalent line in the following month without user intervention.
5. A statement whose opening balance, movement and closing balance do not agree is rejected with the failing line named.
6. A transfer between two accounts cannot be recorded on one side only, and legs clearing on different dates sit in transfer in transit until matched.
7. A transaction failing a dimension or period validation lands in the exception queue with the specific failure named, and cannot be forced through.
8. A posting rule with no account configured is reported at set-up rather than producing a suspense posting at month end.
9. Every posted entry identifies the rule and version that produced it.
10. The period cannot be closed while the bank reconciliation carries an unexplained difference or suspense carries an unexplained item.
11. An approved reconciliation cannot be edited, and reopening it is logged and reported to management.
12. A petty cash replenishment restores the float to its established amount and cannot be approved by the custodian.
13. Online banking credentials cannot be displayed to any user, including an administrator.
14. The assistant proposes a match but reconciles nothing, and initiates no payment.

2.7 Tax reporting and compliance management

The group operates in more than one jurisdiction and the taxes that apply differ by entity. The system must hold the tax rules per entity, produce each return from the ledger, and prove the return back to the accounts — without a spreadsheet standing between the two.

	Transaction tax VAT / GST	Turnover levy SSCL or equivalent	Withholding WHT on payments	Payroll tax on employment income	Corporate tax income tax return
Entity A — [country 1] registered, monthly filing	Y	Y	Y	Y	Y
Entity B — [country 2] registered, quarterly filing	Y		–	Y	Y
Entity C — [country 3] registered, monthly filing	Y	–	Y	Y	Y
Entity D — [free zone] exempt under [certificate], expires [date]	–	–	–	Y	–

Y — applies, return generated and filed by the system · — — not applicable, and the system does not produce a return for it

The tax set is a property of the entity, not of the software. Adding a country, a tax or an exemption is configuration.

2.7.1 Tax register

Each tax the group is subject to is set up once as a configurable record. No tax rule is hard-coded in the software.

Attribute	Requirement
Tax code and name	Any tax the entity is subject to — for example value added tax, goods and services tax, sales tax, service tax, a turnover levy such as SSCL, withholding tax, income tax on employment and the statutory contributions that accompany it, corporate income tax, customs and import duty, excise, stamp duty, and any further tax a country imposes
Jurisdiction	The country and, where relevant, the state or zone whose rules apply
Category	Transaction tax, turnover levy, withholding tax, payroll tax, income tax, duty
Basis	What the tax is charged on — taxable supply value, liable turnover, gross payment, employment income, taxable profit
Rates	Multiple rates per tax, each effective-dated, so a rate change is entered once with its date and applies from that date without touching history
Status	Active, suspended or withdrawn, with the date of each change — a tax abolished by statute is withdrawn, not deleted, so prior periods still report correctly
Filing frequency	Monthly, quarterly, half-yearly or annual, per tax and per entity
Due date rule	Filing and payment deadlines expressed as a rule, such as the [20th] of the following month, with weekend and public holiday handling
Rounding	Rounding direction and unit as the return requires
Return format	The statutory form the return maps to, and the electronic file format for the filing portal where one exists

What a tax rule can be configured by

A rate, an exemption, a threshold or a treatment is set against any of the following, singly or in combination, so that a rule applying to one population does not apply to another:

Configured by	Configured by	Configured by
Country	Tax jurisdiction within a country — state, province or zone	Entity
Transaction type	Product or service category	Individual item or account
Customer classification	Supplier classification	Place of supply and destination

Where more than one rule could apply, the narrowest applies, and the rule that determined the treatment is recorded on the transaction so the result can be explained rather than re-derived. The determination logic itself is set out in 2.4.2.

Maintaining tax types and rates

1. Finance can **add** a new tax type, **edit** an existing one and **withdraw** one that no longer applies, from a configuration screen, without vendor involvement and without a software release.
2. Rates are held as a dated series, not a single value. Entering a new rate with its effective date leaves every earlier rate in place, so a document dated before the change still carries the rate in force on its own date and prior returns remain reproducible.
3. A rate change announced by the authority is entered once, in advance, with the date it takes effect. The system applies it automatically from that date — no re-keying on the day, and no period during which documents carry the wrong rate.
4. Where a change is announced after its effective date, the system lists every document already issued in the affected window so the correction can be assessed, and produces the adjustment under 2.2.6.
5. Rate and tax-type changes are made under maker–checker, carry the statutory reference or circular number and its attachment, and are written to the audit log.
6. A rate history report shows every rate of every tax with its effective dates and the authority reference behind it.

Acceptance: a new tax type is added and produces a return without development; a rate entered today with a future effective date applies only from that date; a document dated before a rate change still shows the old rate when reprinted; and the rate history report shows both rates with their dates and references.

2.7.2 Entity tax profile

1. Each entity carries its own tax profile: which taxes apply, the registration number for each, the registration date, the filing frequency, the currency of the return and the responsible officer.
2. The profile is built at company set-up from the entity's jurisdiction and its industry or business activity. Selecting the industry proposes the tax types that activity is ordinarily liable for — for example a turnover levy that applies to some sectors and not others — which Finance then confirms, adds to or removes. The proposal is a starting point, never a fixed list.
3. Industry-specific rates and thresholds, where the law sets them, are held against the entity's profile rather than globally, so two entities in the same country on different rates are both correct.
4. An entity is only presented with, and only produces returns for, the taxes in its own profile. A tax applying in one country never appears on another country's entity.
5. Exemptions are held explicitly — the exemption basis, the certificate, its effective dates and its expiry. The system suppresses the tax while the exemption is in force, reports the exemption on the return where the law requires disclosure, and warns [role] in advance of expiry.
6. Registration and de-registration are effective-dated, so periods before registration and after de-registration are excluded automatically.
7. Adding a new jurisdiction, a new tax or a new rate is configuration performed by the entity, not a development request to the vendor.

2.7.3 Capture at transaction level

Tax is computed by the system wherever a transaction gives rise to it, and is never keyed by a user:

Transaction	Tax computed
Sales transactions	Output tax by rate, zero rating, exemption and place-of-supply treatment, per 2.4.2
Purchase transactions	Input tax and its recoverability, reverse charge, and withholding at payment, per 2.5.11
Payroll processing	Employment income tax and statutory contributions, per 2.10.2
Imports and exports	Customs and import duty, import tax and the reverse charge arising, with duty added to the cost of the goods through landed cost under 2.9.7; export treatment and the evidence the jurisdiction requires to support it
Fixed asset purchases	Input tax on acquisition, its recoverability, and any irrecoverable element capitalised into the cost of the asset rather than expensed, per 2.8.2
Intercompany transactions	Tax determined on each side independently from each entity's own profile, since two entities of one group may be in different jurisdictions; the treatment of each side is reported for transfer pricing under 2.7.10

1. Every transaction stores the entity, the jurisdiction, the tax code, the rate, the base amount, the tax amount and how the treatment was derived, as set out in 2.4.
2. Input tax that is not recoverable — because it relates to exempt supplies, or is blocked by law — is identified at the point of entry and charged to expense rather than to the recoverable account. Where apportionment applies, the apportionment basis and its calculation are held and applied by the system.
3. Reverse charge and import tax are supported, posting both the liability and the recoverable side with the correct return treatment.
4. Withholding tax is deducted at payment per the supplier profile as set out in 2.5.9, and the deduction feeds both the supplier certificate and the periodic return.
5. Employment income tax and statutory contributions are computed in payroll as set out in 2.10, and feed the payroll tax return schedules directly.
6. Turnover-based levies are computed on liable turnover as defined per tax, with exempt and excluded turnover identified separately rather than deducted by manual adjustment.

2.7.4 Return preparation and filing

Stage	Requirement
Workspace	One return record per tax, per entity, per period, opened automatically when the period arrives
Population	Every figure drawn from the ledger, mapped box by box to the statutory form; no figure is typed in
Drill-down	Each box opens the transactions behind it, and each transaction opens its supporting document
Adjustments	Credit notes, bad debt relief, apportionment, prior-period corrections and rounding entered as identified adjustment lines with a reason and an attachment, never as an unexplained override
Validation	Return total agreed to the tax control account, compared with the prior period and with the same period last year, with a variance beyond [x]% requiring an explanation before submission
Workflow	Prepared, reviewed and approved by different named users, each stamped with date and time
Filing	Electronic file produced in the portal's format where one exists; the filing acknowledgement and the payment confirmation attach to the return record
Locking	An approved and filed return is locked. Any later movement affecting that period is reported and handled through the prescribed correction route, not by editing the filed return

2.7.5 Returns to be supported

Return	Built from	Output
VAT or GST	Output tax on sales documents, input tax on purchases, adjustments and apportionment	Return by box, output and input listings, control account reconciliation, e-filing file
Turnover levy such as SSCL	Liable turnover per the definition held on the tax record, with exempt and excluded turnover shown separately	Levy computation, supporting turnover schedule, payment schedule
Withholding tax on payments	Deductions made in the payment runs, by supplier and by category	Periodic return schedule, deduction certificates to suppliers, remittance listing
Employment income tax	Payroll runs for the period, including supplementary runs	Monthly schedule, annual reconciliation, employee certificates
Statutory fund contributions	Employee and employer contributions computed in payroll	Contribution schedules and remittance advice
Corporate income tax	Accounting profit adjusted as set out in 2.7.6	Tax computation, instalment schedule, annual return pack
Other duties	Stamp duty, import duty and any levy defined in the tax register	Schedule and payment record

2.7.6 Corporate income tax

1. Each general ledger account carries a tax treatment tag — allowable, disallowable, capital or partly allowable — so the computation starts from accounting profit and adjusts automatically rather than being rebuilt each year.
2. A capital allowance register runs alongside the fixed asset register, using the tax rates and lives of the entity's jurisdiction, independent of book depreciation as set out in 2.8.
3. Tax losses are held by year of origin with their expiry, and utilisation is tracked against them.
4. Deferred tax is computed from temporary differences between the book and tax bases, posted by journal with the working attached, and reconciled period to period.
5. Instalments, estimates and payments on account are scheduled, tracked against the eventual liability, and reported as due.
6. An effective tax rate reconciliation is produced for each entity and for the group, explaining the difference between the statutory rate and the rate actually borne.

Event	Entry the system auto-posts
Current tax charge for the period	Dr Income tax expense · Cr Income tax payable
Instalment or payment on account	Dr Income tax payable · Cr Bank
Deferred tax movement	Dr or Cr Deferred tax expense · Cr or Dr Deferred tax liability or asset
Turnover levy accrued	Dr Levy expense, by dimension · Cr Levy payable
Withholding tax deducted from a supplier	Dr Trade payable · Cr Withholding tax payable
Remittance of any tax to the authority	Dr the relevant tax payable account · Cr Bank
Penalty or interest on late filing or payment	Dr Penalties and interest, flagged as disallowable · Cr Bank or the tax payable account

1. Every tax posting carries entity, department, cost centre, profit centre, business unit, location, project and any entity-defined dimension, inherited from the transaction that produced it, so tax cost is reportable on the same cuts as every other cost.
2. A separate control account is held per tax and per entity, so no two taxes share a balance and each reconciles to its own return.

2.7.7 Tax compliance dashboard and calendar

A single screen showing every tax obligation of every entity, what stage it has reached, when it must be filed and paid, and whether the evidence of filing and payment has been received. No obligation in any jurisdiction is tracked outside the system.

Tax compliance dashboard — Entity [A] · period October 2026 · 2 overdue, 3 due this week

Tax type	Period	Filing due	Payment due	Amount	Status	Evidence
VAT / GST	Sep 2026	20 Oct	20 Oct	1,284,500	In preparation	— · —
WHT on payments	Sep 2026	15 Oct	15 Oct	186,200	Overdue	— · —
SSCL	Sep 2026	20 Oct	20 Oct	342,800	In preparation	— · —
EPF — employee and employer	Sep 2026	30 Oct	30 Oct	468,900	Reviewed	sch · —
ETF	Sep 2026	30 Oct	30 Oct	87,900	Reviewed	sch · —
Payroll income tax	Sep 2026	15 Oct	15 Oct	212,400	Filed & paid	ack · slip
Corporate income tax — instalment	Q2 2026/27	15 Nov	15 Nov	2,750,000	Not started	— · —
Stamp duty	Sep 2026	15 Oct	15 Oct	24,000	Filed & paid	ack · slip

One row per tax obligation per period. Tax types shown are illustrative; the set comes from each entity's tax profile in 2.7.2. "ack" is the filing acknowledgement and "slip" the payment receipt, both held against the row.

What the dashboard shows, per obligation

Column	Content
Entity and jurisdiction	Which company and which country the obligation belongs to; filterable to one entity or viewed across the group
Tax type	Drawn from the tax register in 2.7.1 — for example VAT or GST, withholding tax on payments, SSCL or similar turnover levy, payroll income tax, EPF and ETF or equivalent retirement fund contributions, stamp duty, corporate income tax and instalments, and any further tax the entity configures
Period	The return period — monthly, quarterly, half-yearly or annual, per the filing frequency on the tax record
Filing deadline	Calculated from the due-date rule, adjusted for weekends and public holidays of that jurisdiction
Payment deadline	Held separately from the filing deadline, since the two frequently differ
Amount	The computed liability, drawn from the ledger; shown as provisional until the return is approved
Preparation schedule	The supporting schedule the return requires, where one exists — output and input listings, turnover schedule, deduction listing, contribution schedule, tax computation
Status	Not started · in preparation · prepared · reviewed · approved · filed · paid · closed
Owner	The named person responsible for that obligation, and the reviewer
Evidence	Filing acknowledgement and payment slip — present or outstanding, with the file openable from the row
Days remaining	Colour-coded: on track, due within [7] days, overdue

Calendar and reminders

1. A forward calendar per entity and per tax shows every filing and payment obligation for the [12] months ahead, generated from the tax register so a newly configured tax appears without further set-up.
2. The obligation record is opened by the system when the period arrives, assigned to its owner, and appears on the dashboard from that moment.

3. Reminders are raised [n] days before each deadline to the owner, again at [n] days, and escalate to [role] when a deadline passes without a filed return or a recorded payment. Reminder intervals are configurable per tax.
4. Deadlines account for weekends and the public holidays of each jurisdiction, maintained as a holiday calendar per country.
5. A calendar view and a list view of the same data, exportable to Excel and subscribable as a calendar feed.

Supporting documents held against each obligation

Document	Required before	Note
Preparation schedule or working	Review	Produced by the system from the ledger, or uploaded where prepared outside it
The return as filed	Marking filed	The submitted form or electronic file, exactly as lodged
Filing acknowledgement	Marking filed	The authority's receipt or reference; the obligation cannot be marked filed without it
Payment slip or bank confirmation	Marking paid	Matched to the bank payment in 2.6, so the amount paid is verified against the amount declared
Assessment or correspondence	As received	Assessments, queries, objections and their outcomes, held against the same period
Penalty or interest notice	As received	Posted separately and tagged disallowable, so the cost of late compliance is visible

1. Documents are uploaded by drag and drop, by email to the module address, or by mobile photo, in PDF, image or Excel format, and are held under 2.11 with versioning and no deletion once the obligation is closed.
2. An obligation cannot move to filed without its acknowledgement attached, or to paid without its payment evidence, unless [role] records an override with a reason.
3. Each tax control account remains within the reconciliation scope of 2.12, and its balance must agree to the returns filed and not yet paid.
4. A compliance history view per tax shows every period, its dates, amounts and attachments, so a query about a period two years ago is answered from one screen.
5. Returns, schedules, acknowledgements and payment evidence are retained for the period each jurisdiction requires and export as an indexed pack for a tax audit.

Acceptance: the dashboard lists every tax in the entity's profile with its own filing and payment deadlines; a deadline falling on a public holiday is moved correctly; an obligation cannot be marked filed without an acknowledgement attached, or paid without payment evidence; a missed deadline escalates to [role]; the amount paid is matched against the amount declared and any difference reported; and the group view shows obligations across all entities and jurisdictions on one screen.

2.7.8 Tax reconciliation and audit

Every tax figure in the accounts is proved against the return that declared it and the payment that settled it, continuously rather than at the point a query arrives.

Reconciliation	Requirement
Tax ledger reconciliation	Each tax control account agreed to the returns filed, the returns prepared but not filed, and the payments made, at any date. The difference is itemised by cause, not shown as a single figure, and the reconciliation is within the scope of 2.12
Output tax against input tax	Output tax declared agreed to the sales listing, input tax claimed agreed to the purchase listing, and the net position agreed to the return and to the control account, for any period
Withholding tax reconciliation	Deductions made in payment runs agreed to the certificates issued to suppliers, to the periodic return schedule and to the amount remitted, by supplier and in total

Payroll tax reconciliation	Employment income tax and statutory contributions computed in payroll agreed to the schedules filed and the amounts remitted
Declared against paid	The amount declared on each return compared with the amount actually paid, with any difference reported and owned until cleared
Turnover reconciliation	Turnover declared for a levy or a return agreed to revenue in the ledger for the same period, with exempt, excluded and out-of-scope turnover identified separately

Adjustments and amendments

1. Every adjustment to a tax figure — apportionment, bad debt relief, a prior-period correction, a rounding difference, a credit note after filing — is an identified line carrying its reason, its period of origin and its supporting attachment. No tax figure is changed by an unexplained override.
2. An amended return is held as its own version alongside the original, with what changed, why, who approved it and the acknowledgement of the amendment. The original as filed is never overwritten.
3. Adjustments are reportable by type, period and entity, so the pattern of corrections is visible rather than buried in the returns.

Audit trail and audit support

1. Every tax transaction retains the entity, jurisdiction, tax code, rate, rate version, base, tax amount and the rule that determined the treatment, so a figure from any past period is explained without re-computation.
2. Every change to tax configuration — a tax type added or withdrawn, a rate, a threshold, an exemption, a registration, a return mapping, a due-date rule — is recorded with the user, date and time, the value before and after, the reason, the statutory reference and the approval reference, and cannot be edited or deleted by anyone including an administrator.
3. Configuration changes affecting tax appear to management on the governance panel in 2.15.8 without anyone being asked to report them.
4. A tax audit pack is produced on request for a selected tax, entity and period range: the returns as filed, their acknowledgements, the computations and schedules behind them, the transaction listings supporting each box, the payment evidence, the reconciliations, the rate history applied and every adjustment, delivered as an indexed set.
5. An authority's assessment, query, objection or appeal is recorded against the period it concerns, with its documents, its owner, its deadline and its outcome, and remains open and visible until it is settled.

2.7.9 Tax reports

Report	Report	Report
VAT or GST return	Sales tax and service tax returns	Withholding tax return and certificates
Output tax listing	Input tax listing	Input tax recoverability and apportionment
Tax reconciliation	Declared against paid	Turnover levy computation
Payroll tax schedules	Corporate tax computation	Deferred tax and effective rate
Tax transaction listing	Cross-border and import duty	Statutory compliance status
Tax audit pack	Rate history and configuration changes	Adjustments and amendments

1. Every report is produced per entity, per jurisdiction and per tax, and consolidated for the group where the figure is meaningful at that level.
2. Each is filterable by period, dimension, customer, supplier, item category and tax code, and drillable to the transaction and its supporting document.
3. Each is exportable in the format the authority requires where one is prescribed, and in Excel, PDF and CSV otherwise.
4. Custom tax reports are built in the report builder under 2.13.2, within the same access rules.

2.7.10 Group tax view

1. The dashboard in 2.7.7 viewed across all entities, showing every tax, its current period status and the amount payable, so no obligation in any country is invisible at group level.
2. Intercompany transactions listed by counterparty, type and value for transfer pricing purposes, drawn from 2.14, with the supporting documentation attached and the tax treatment applied on each side shown.
3. Group effective tax rate reconciliation, and a summary of tax payable and paid by jurisdiction.
4. Consolidated tax disclosures for the financial statements, including current and deferred tax by entity.

2.7.11 Acceptance tests

1. Two entities in different countries produce different sets of returns, each with only the taxes in its own profile.
2. An entity holding an exemption produces no return for the exempted tax while the certificate is in force, and the system warns before the certificate expires.
3. A rate change entered with an effective date applies only from that date, and a return covering the change splits correctly between the two rates.
4. Each return box, opened on screen, lists the transactions behind it and reaches the underlying document.
5. The VAT or GST return for a full month agrees to the tax control account to the cent, and any difference is itemised.
6. The turnover levy computation excludes exempt turnover automatically, without a manual adjustment line.
7. Withholding deducted across a month agrees to the supplier certificates issued and to the return schedule.
8. A filed return cannot be edited; a later transaction affecting that period is reported for correction through the prescribed route.
9. A new tax is added to a new jurisdiction and produces a return without vendor development.
10. Output tax declared, input tax claimed and the net position each agree to their listings and to the control account for a full period, with any difference itemised by cause.
11. The amount declared on a filed return is matched against the amount paid, and a short payment is reported and owned until cleared.
12. An amended return is held alongside the original, which is not overwritten, and both carry their own acknowledgement.
13. Import duty on a consignment reaches the cost of the goods, and irrecoverable input tax on an asset purchase reaches the cost of the asset, neither being expensed.
14. Two entities of one group in different jurisdictions determine tax independently on the two sides of the same intercompany transaction.
15. A tax audit pack for one tax, one entity and a twelve-month range exports with every return, acknowledgement, schedule, listing, payment slip and adjustment present and indexed.

2.8 Fixed assets

One register holds every asset of every entity from acquisition to disposal. Depreciation is calculated by the system from the policy held on the asset's category, posted by the system, and never maintained in a spreadsheet alongside it.

2.8.1 Asset register

Held on every asset	Note
Asset code and description	Code system-generated by category series; never reused
Category, group, class and type	Category carries the depreciation policy and the accounts, per 2.8.3
Serial number, barcode or QR code	Used for physical verification under 2.8.10; links to the stock movement where the asset came from inventory
Manufacturer, model and specification	With supplier, purchase reference and warranty dates
Custodian and owner	The person responsible for it and the function that owns it, each effective-dated
Location	Country, site, building and room, effective-dated so a relocation is a dated event

Dimensions	Entity, branch, department, cost centre, profit centre, business unit, project and any entity-defined dimension — these drive where the charge posts
Financial attributes	Acquisition date, date in use, cost, acquisition currency, useful life, residual value, method and book values per depreciation book
Parent and components	A component belongs to a parent asset and is depreciated in its own right
Documents	Invoice, delivery note, title deed, insurance policy, valuation report and photographs attached under 2.11
User-defined fields	Further fields the entity defines, reportable and searchable like any other

Asset categories

Categories are configured by the entity, not fixed by the vendor. At minimum the following are supported, and further categories are added as configuration:

Category	Category	Category
Land	Buildings	Leasehold improvements
Machinery and equipment	Motor vehicles	Furniture and fittings
Office equipment	Computer hardware	IT and network equipment
Software and intangibles	Telecommunications equipment	Construction assets
Right-of-use assets	Capital work in progress	Entity-defined categories

1. A category that is not depreciated — land, and capital work in progress until commissioning — is flagged as such and no charge arises for it.
2. Intangible assets are held in the same register and amortised by the same mechanism, with the statements distinguishing them from tangible assets.
3. An asset carrying history is disposed or written off, never deleted.

2.8.2 Acquisition and capitalisation

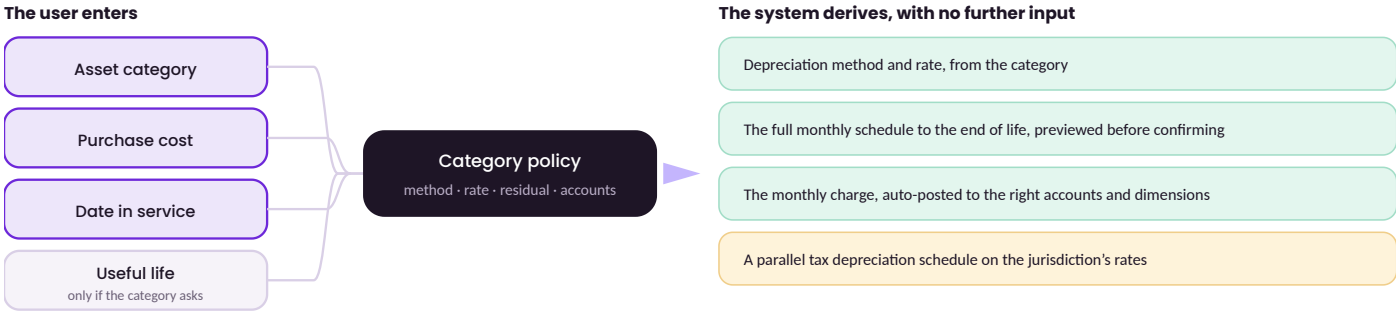
Acquired through	Behaviour
Approved supplier invoice	Capitalised from the payables document, carrying its reference and attachment, per 2.5
Purchase order and goods receipt	Receipt of an asset item creates the asset record at receipt, per 2.9.1
Capitalisation from inventory	Stock issued to capital use moves from inventory to the register at its stock cost
Capitalisation from a project	Costs accumulated against a project under the project dimension are capitalised on commissioning
Manual creation	For assets acquired outside the purchase flow, with the evidence attached
Bulk upload	Many assets from a file, validated in full before anything is created
Transfer from another entity	Creates the asset in the receiving entity carrying the original cost and accumulated depreciation for group purposes, per 2.8.6
Migration from a legacy system	Opening cost, accumulated depreciation and remaining life loaded and reconciled, per 2.16.2

1. Installation, delivery, testing and other directly attributable costs are added to the same asset rather than expensed, and the component they came from is identifiable.

2. Capital work in progress accumulates against a project or an individual asset under construction, is reported as its own balance, and is not depreciated. Commissioning transfers it to the asset and starts the schedule from the date of commissioning.
3. A single asset with components of different useful lives is held as component records under one parent, each with its own schedule, reported together and disposed together or separately.
4. Group capitalisation is supported where many like items are acquired together — a batch of laptops, a set of fittings — with one record per unit or one group record, as the entity chooses, and the choice recorded.
5. Capitalisation passes an approval workflow by value band before the asset becomes live, under 2.1.2, and the approval is held with the asset.
6. Capitalisation against a capital budget is checked at the point of approval, and an acquisition beyond the approved budget is reported, per 2.8.11.

2.8.3 Depreciation policy and system calculation

Depreciation must be auto-calculated by the system, not by a spreadsheet. The person capitalising an asset enters its category, its purchase cost and the date it came into use. The method, the rate, the residual value, the accounts and the posting dimensions all come from the category.



Three fields at capitalisation. Everything that follows comes from the category the asset belongs to.

Methods supported

Method	Basis
Straight line	Cost less residual value spread evenly over the useful life
Reducing balance	A percentage of the written-down value each period
Declining balance at a multiple	Reducing balance at a stated multiple of the straight-line rate, with a switch to straight line where the policy provides for it
Units of production	Charge per unit, hour or kilometre, from usage recorded against the asset
Sum of years' digits	Accelerated charge derived from the remaining life
Entity-defined method	A formula the entity configures, using the asset's cost, life, residual value, usage and age — added without development

The category carries the policy

Held on the asset category	Requirement
Depreciation method	Any of the methods above, selected per category and per book
Rate or useful life	Either an annual percentage or a useful life in years or months — whichever the entity's policy states for that category. Where a life is held, the system derives the rate; where a rate is held, it derives the life
Residual value	A percentage of cost or a fixed amount, defaulted from the category and overridable per asset
Depreciation start rule	Pro-rata by days from the date in use, full month in the month of purchase, or from the following month — set per category

Charge frequency	Monthly, quarterly, half-yearly, annual or daily, set per category and book
General ledger accounts	Asset cost, accumulated depreciation and depreciation expense accounts, so the user never selects an account
Dimensions	Cost centre, profit centre, department, business unit, location and project taken from the asset record, so the charge lands where the asset is used
Tax policy	The tax method and rate for the same category in that country, held in the tax book and applied independently of the financial book
Effective dating	A change in policy applies from its effective date to new assets, and to existing assets only prospectively

Policy can be set at category, group, class, individual asset, entity, country and book level. Where more than one level carries a value the narrowest applies, and which level supplied it is visible on the asset.

What the system must do on capitalisation

1. On entering category, cost and date in use, the system applies the category policy and auto-calculates the complete depreciation schedule to the end of the asset's life, without further input.
2. The schedule is shown for review before the asset is confirmed: period by period, with opening written-down value, the charge, accumulated depreciation and closing written-down value, and the final period landing exactly on the residual value.
3. Where the category is defined by useful life, the user may enter a life that differs from the category default; the entry is flagged as a departure from policy and requires approval by [role].
4. Additions to an existing asset — installation, upgrade or a late landed cost — are added to cost and the remaining schedule is recalculated over the remaining life, without touching charges already posted.
5. Assets with components of different lives are held as separate component records under one parent, each with its own schedule, and reported together.
6. A capital work in progress item is not depreciated; the schedule starts on the date of commissioning.

Worked example

Category [Office equipment], straight line, [20]% per year, residual [0], start rule pro-rata by days. The user enters cost [1,200,000] and date in use [1 October]. The system produces:

Year	Opening value	Charge for the year	Accumulated	Closing value
Year 1 — three months	1,200,000	60,000	60,000	1,140,000
Year 2	1,140,000	240,000	300,000	900,000
Year 3	900,000	240,000	540,000	660,000
Years 4 and 5	660,000	240,000 each	1,020,000	180,000
Year 6 — final nine months	180,000	180,000	1,200,000	nil

Figures are illustrative. The point of the requirement is that the user supplied three values and the system produced every line, every posting and the stopping point on its own.

2.8.4 Depreciation books

An asset is depreciated in more than one book at once, each book being a complete independent schedule on the same asset record.

Book	Purpose
Financial reporting	The book that posts to the general ledger and produces the statutory note
Tax	The allowance basis of each country, used for the tax computation and the deferred tax calculation in 2.7.6

Management	An internal basis — economic life or replacement cost — reported but not posted
Group	The group's own policy where it differs from an entity's local policy, feeding consolidation under 2.14.7
Local statutory	Where a jurisdiction prescribes a method or rate that differs from the group's

1. Each book holds its own method, useful life, residual value, start rule, charge frequency, posting rule and accounts.
2. Only the books configured to post reach the ledger; the others are reporting bases, and which books post is set per entity.
3. The difference between the financial and tax books is reportable per asset and in total, and is the basis of the deferred tax movement.
4. A new book can be added and populated for existing assets from a stated date without restating the books already in use.

2.8.5 Running and controlling the charge

1. The depreciation run covers every asset in the entity at the configured frequency, and posts a single journal summarised by account and dimension with the asset-level detail retained and drillable.
2. Runs can be scheduled, and the schedule is part of the period-close checklist in 2.2.8.
3. The run is previewed before posting, showing the total charge, the movement against the prior period and any asset whose charge changed, with the reason.
4. Where the entity requires it, the run is reviewed and approved before it posts; where it does not, it posts on completion. Which applies is configurable per entity.
5. An asset fully depreciated stops charging at residual value without intervention and can never be taken below it, or below nil where residual is nil.
6. A disposal part-way through a period charges depreciation to the date of disposal before the disposal entry is calculated.
7. A change in useful life, rate, residual value or method is applied prospectively over the remaining life from the effective date, and never restates charges already posted.
8. An asset may override its category policy only with approval by [role], and an exception report lists every asset not following its category policy.
9. A posted run can be reversed and recalculated only within an open period, by [role], with a reason, and the reversal and the replacement are both retained.
10. A re-run of a posted closed period is blocked; a correction is made by amendment under 2.2.6 or by an adjusting journal with the working attached.
11. Catch-up depreciation for an asset capitalised late is auto-calculated from the date in use and posted in the current open period, identified separately on the run.
12. Future depreciation is forecastable for any horizon, for the existing register and including planned acquisitions from the capital budget, per 2.8.11.
13. Every run is logged with who ran it, when, for which entity, period and book, the asset count and total charge, its approval, and any asset it failed on; a failed or pending run is reported rather than left unnoticed.

2.8.6 Lifecycle events and transfers

The register records every event in an asset's life, each dated, each attributable, and each retained as history: acquisition, capitalisation, transfer, relocation, enhancement, revaluation, impairment, maintenance, retirement from use, disposal and write-off.

Transfer between	Effect
Departments, cost centres, profit centres or business units	No value entry; the depreciation charge posts to the new dimension from the effective date
Locations and sites	Location history retained; the asset remains the same record
Projects	Charge follows the receiving project from the effective date

Legal entities and countries	Disposal in the sending entity and acquisition in the receiving entity, with the original cost and accumulated depreciation carried for group purposes, matched under 2.14.4 and the unrealised gain eliminated under 2.14.6

1. A transfer carries an effective date, a reason, an approval and the custodian handover, and appears in the asset's history.
2. Retirement from use holds the asset in the register at nil or residual value until it is disposed of, so an idle asset is not lost from the record.
3. Disposal and write-off require approval by value band, carry evidence of the proceeds or the reason for the write-off, and calculate the gain or loss by the system rather than by the user.

2.8.7 Revaluation and impairment

1. Revaluation upward and downward is supported per asset or per class, from a fair value, a market value or an independent valuation, with the valuer, the valuation date and the report attached.
2. A revaluation adjusts cost and accumulated depreciation on the basis the policy states, recalculates the remaining schedule over the remaining life, and posts to the revaluation surplus — with a downward movement charged to profit or loss to the extent it exceeds any surplus held on that asset.
3. Impairment testing is supported per asset or per cash-generating unit, with the recoverable amount, the basis and the working attached.
4. Impairment is recognised against accumulated impairment, and depreciation continues on the impaired carrying amount over the remaining life.
5. Impairment reversal is supported, limited to the carrying amount that would have been held had no impairment been recognised, with the limit computed by the system rather than asserted.
6. Revaluation surplus and accumulated impairment are reported per asset, per class and in total, and the movement for the period is reconciled.
7. Every revaluation and impairment posts its ledger entries automatically and is approved before it posts.

2.8.8 Lease accounting — right-of-use assets

Leases that give rise to a right-of-use asset are held in the same register and depreciated by the same mechanism, with the liability maintained alongside.

1. A lease record holds the term, the payment schedule, the discount rate, options to extend or terminate, and the contract as an attachment.
2. On commencement the system computes the lease liability as the present value of the payments and the right-of-use asset, and posts both.
3. An amortisation schedule for the liability and a depreciation schedule for the asset are produced to the end of the term and shown before confirmation.
4. Each period the system posts the depreciation of the right-of-use asset, the interest on the liability, and the reduction of the liability on payment.
5. Re-measurement on a change in payments, index, rate or term recalculates the liability, adjusts the right-of-use asset and reschedules both from the effective date.
6. Lease modifications — extension, reduction in scope, termination — are supported as dated events, with the resulting gain or loss computed by the system.
7. Short-term and low-value exemptions are configurable, with those leases expensed and reported separately.
8. The lease liability is reported by maturity band for the disclosure note and for the cash commitment view in 2.15.3.

2.8.9 Maintenance

1. Preventive maintenance on a schedule per asset or category, and corrective maintenance recorded against the event that caused it.
2. Service schedules, maintenance contracts, warranty periods and the vendor responsible are held on the asset, with reminders raised ahead of each due date and on warranty expiry.

3. Maintenance cost is recorded against the asset and posted to expense, or capitalised where it meets the entity's capitalisation rule — the decision recorded, not assumed.
4. Maintenance history is part of the asset record and informs the replacement planning in 2.8.11.

2.8.10 Physical verification

1. Assets are identified by barcode, QR code or RFID tag, scanned on a mobile device, with the verification recorded against the asset and the verifier.
2. Verification types: full annual verification, periodic counts by location or category, and spot checks.
3. The system reconciles what was found against the register and reports: assets not found, assets found but not recorded, assets in a different location from the register, and assets with a different custodian.
4. Each variance carries an owner and remains on the exception report until it is resolved, by locating the asset, correcting the register, or writing it off under approval.
5. No adjustment to the register posts from a verification without authorisation by [role].
6. Verification history is retained, showing who verified, when, and what was resolved.

2.8.11 Capital budgeting and planning

1. Capital expenditure budgets are held per entity, dimension and category, in versions, and approved like any other budget under 2.14.11.
2. Planned acquisitions are recorded against the budget, and commitments from approved orders are visible against it before the spend occurs.
3. Capital expenditure against budget is reported continuously, with commitment, actual and remaining shown separately.
4. Replacement planning identifies assets approaching the end of their useful life or their maintenance threshold, with the expected replacement period and cost.
5. Lifecycle forecasting projects the register forward: depreciation charge, net book value, disposals and planned additions, for any horizon.
6. Capital investment requests pass an approval workflow before they become budget, with the business case attached.

2.8.12 Multi-entity, group and currency

1. Each entity holds its own register; the group register is the sum of them, reportable consolidated or per entity, per country and per category.
2. Asset categories and depreciation policy can be set at group level and inherited by entities, with a local override recorded as a departure.
3. Intercompany asset transfers are handled under 2.8.6 and consolidate under 2.14.
4. Four currency levels are held: the acquisition currency of the purchase, the entity's functional currency in which the asset is carried and depreciated, the reporting currency, and the group consolidation currency, translated under 2.14.8.
5. An asset acquired in a foreign currency is carried at the functional-currency cost at the rate on the acquisition date; subsequent rate movements do not restate it.
6. Group depreciation reporting is produced on the group book where one is configured, per 2.8.4.

2.8.13 System-generated accounting entries

Event	Entry the system auto-posts
Acquisition from a supplier invoice	Dr Asset cost, by dimension · Dr Input tax where claimable · Cr Trade payable
Cost accumulated in capital work in progress	Dr Capital work in progress · Cr Trade payable, Inventory or Project cost
Capitalisation on commissioning	Dr Asset cost · Cr Capital work in progress
Depreciation or amortisation run	Dr Depreciation expense, by dimension · Cr Accumulated depreciation
Transfer between dimensions or locations	No value entry; the dimension on future depreciation changes from the effective date

Transfer to another entity	Disposal entry in the sending entity, acquisition entry in the receiving entity, matched under 2.14.4
Revaluation upward	Dr Asset cost · Cr Revaluation surplus
Revaluation downward	Dr Revaluation surplus to the extent held, then Dr Revaluation loss · Cr Asset cost
Impairment	Dr Impairment loss · Cr Accumulated impairment
Impairment reversal	Dr Accumulated impairment · Cr Impairment reversal, capped at the unimpaired carrying amount
Disposal	Dr Bank or receivable · Dr Accumulated depreciation · Cr Asset cost · Dr or Cr Loss or gain on disposal
Write-off	Dr Accumulated depreciation · Dr Write-off expense · Cr Asset cost
Lease commencement	Dr Right-of-use asset · Cr Lease liability
Lease period charge	Dr Depreciation expense · Cr Accumulated depreciation; Dr Interest expense · Cr Lease liability
Lease payment	Dr Lease liability · Cr Bank
Maintenance cost	Dr Repairs and maintenance, by dimension · Cr Trade payable; or Dr Asset cost where capitalised

1. Which account each event uses is configurable per category, entity and book, held as data and maintained under maker–checker.
2. Drill-down runs from the financial statement line, to the ledger balance, to the asset register, to the asset transaction, to the supporting document.
3. The asset register total agrees to the fixed asset control accounts continuously, per 2.12.1, and the movement schedule matches the format of the financial statement note.

2.8.14 Dashboard and reporting

Dashboard

Gross asset value and net book value; value by category, location and entity; accumulated depreciation; the charge for the period and the forecast; capital expenditure summary against budget; additions, disposals and transfers for the period; capital work in progress balances and their age; maintenance status and overdue services; asset utilisation where recorded; and assets approaching replacement. Every tile reads live and drills to the assets behind it; the executive view of these figures is in 2.15.6.

Standard reports

Report	Report	Report
Asset register	Movement schedule for the note	Depreciation schedule by asset
Depreciation forecast	Net book value by category	Additions and disposals
Capital work in progress ageing	Capital expenditure against budget	Book versus tax difference
Revaluation and impairment	Lease liability and maturity	Maintenance and warranty due
Physical verification variance	Assets by custodian and location	Policy exception report

Each is filterable by entity, country, category, book and any dimension, and drillable to source. Custom reports are built under 2.13.2 and 2.13.3.

2.8.15 Governance and audit

Recorded for	With
Asset creation and every amendment	User, date and time, the field changed, its value before and after, the reason and the approval reference
Useful life, rate, residual value and method changes	The same, plus the effective date and the effect on the remaining schedule
Category and depreciation policy changes	The same, plus which assets the change reaches and from when
Each depreciation run and its postings	Who ran it, when, period, book, totals, approval, and any failure
Transfers, revaluations, impairments, disposals and write-offs	Preparer, approver, reason, supporting document and the entry raised

1. These records cannot be edited or deleted by any user, including an administrator, and are retained for [7] years.
2. The fixed asset period close status, and any failed or pending depreciation posting, are visible to management on the governance panel in 2.15.8 without anyone being asked to report them.
3. An asset's full history — every event, every value change, every approval and every document — is produced for an auditor as one pack.

2.8.16 Acceptance tests

1. Entering only category, cost and date in use produces a complete and correct schedule without any other entry, and the final period lands exactly on residual value with no rounding remainder.
2. An asset bought mid-period is charged according to the category's start rule.
3. A change in useful life affects only future periods and never restates a posted charge.
4. The periodic run posts to the right accounts and dimensions with no manual journal, and the asset register total agrees to the control accounts after every run.
5. One asset carries a financial and a tax schedule simultaneously, each on its own method and rate, and the difference between them reports as the deferred tax base.
6. Capital work in progress is not depreciated, and commissioning starts the schedule from the commissioning date.
7. An asset transferred between cost centres charges to the new cost centre from the effective date with no value entry.
8. An impairment reversal is capped at the carrying amount that would have been held had no impairment been recognised, and the cap is computed by the system.
9. A lease produces its right-of-use asset and liability on commencement, posts depreciation and interest each period, and re-measures correctly on a change in term.
10. A physical verification reports assets missing, unrecorded and in the wrong location, and no register adjustment posts without authorisation.
11. A posted depreciation run cannot be re-run for a closed period, and a reversal within an open period retains both the reversal and the replacement.
12. Drill-down reaches the asset's purchase invoice and its attachment from the depreciation line on the income statement.

2.9 Inventory management

This module is activated only for entities whose business profile in 2.1.7 is inventory-based or mixed. A service-based entity does not use it, and none of the stock documents, balances or postings below arise for that entity.

Stock quantity and stock value are one record. Every movement updates the balance and raises its accounting entry at the same moment, so the stock ledger and the inventory control account agree continuously rather than being reconciled at each close.

2.9.1 Item master

Item types

Type	Behaviour
Inventory item	Quantity and value tracked; all stock postings arise
Non-inventory item	Purchased and sold but not stocked; expensed on receipt
Service item	No quantity; used on sales and purchase documents alike
Raw material	Consumed into production under 2.9.8
Semi-finished and work in progress	Held at accumulated cost until the next stage
Finished goods	Received from production at production cost
Spare parts · consumables · packaging	Stocked and issued, usually to an expense or production account rather than to cost of sales
Fixed asset item	Capitalised on receipt and passed to the asset register under 2.8.2, never to cost of sales
Project-specific item	Issued to a project, carrying the project dimension to the posting

Item attributes

Field	Mandatory	Rule or validation
Item code and description	Yes	Unique; description prints on the invoice, and is translatable under 2.1.8
SKU	Where used	Held alongside the item code where the entity uses a separate selling identifier
Barcode or QR code	Where scanned	Unique; several per item permitted, including one per unit of measure
Category and brand	Category yes	Category drives the costing method, the GL accounts and reporting
Base unit of measure	Yes	Fixed after the first transaction
Alternate units	No	With a conversion factor; purchase, stock and sale units may differ, and the conversion is applied by the system not the user
Tracking type	Yes	None, batch or serial; fixed once stock exists
Shelf life and expiry control	Batch items	Drives the expiry date and first-expired-first-out issue
Country of origin	For imports	Carried to the batch and to customs documentation
HS or tariff code	For imports	Used for duty and customs documentation
Tax class	Yes	Standard, zero, exempt; drives 2.4
Product specification	No	Technical attributes, dimensions, weight and volume — weight and volume also drive landed cost apportionment
Reorder level and quantity	Yes	Per warehouse, not only company-wide
User-defined attributes	No	At least [10] further fields the entity defines, named, typed and validated by it, reportable and searchable like any other field

1. Item master is held once for the group and shared across entities; stock balances, costs and reorder levels are per entity and per warehouse.
2. An item carrying history is blocked, never deleted.
3. Items can be created and maintained in bulk from a file, validated in full before anything is applied.

2.9.2 Warehouse structure

Level	Requirement
Entity and branch	Stock belongs to one entity; a branch is a reporting location within it
Warehouse	No limit on the number; each with its own address, owner and default accounts
Storage location within a warehouse	Zones or areas, for picking and for reporting
Rack, shelf and bin	Bin-level balances held and reported, with an item permitted in more than one bin
Virtual warehouse	A non-physical holding — consignment, quarantine, inspection, customer-held or returns pending — valued and reported but not available for sale unless flagged
Transit warehouse	Stock dispatched but not yet received, held and aged in its own right

1. Balances are held and reportable at every level, from entity down to bin.
2. Stock availability distinguishes physical quantity, reserved quantity, quantity on order and quantity available to promise.
3. Warehouse-to-warehouse transfer within an entity is two-step: issue creates stock in transit, receipt clears it. Stock in transit is visible, aged and reconcilable.
4. Intercompany stock transfer raises the matching document in the receiving entity under 2.14.4, carries the original cost for group purposes, and the unrealised profit is eliminated on consolidation under 2.14.6.
5. Negative stock is blocked. Where a receipt is late, the issue waits; it is not posted against a negative balance.

2.9.3 Stock transactions

Group	Transactions
Receipts	Supplier goods receipt against a purchase order, receipt without an order where permitted, production receipt of finished goods, customer return, transfer received, and receipt into a virtual warehouse
Issues	Sales dispatch against a delivery order or invoice, production consumption, internal consumption to an expense account, issue to a project, sample issue, and disposal of damaged stock
Transfers	Bin to bin, warehouse to warehouse, branch to branch, entity to entity, and movement between virtual and physical warehouses
Returns	Return to supplier against a receipt, customer return into stock or into quarantine, and return from a project or production
Adjustments	Write-off, write-down to net realisable value, quantity adjustment from a count, stock reclassification between items or categories, and valuation adjustment

1. Every movement records the item, quantity, unit of measure, warehouse and bin, batch or serial, date, reason, the user, and the dimensions it carries to the ledger.
2. Every movement raises its accounting entry at the moment it is confirmed, per 2.9.12. A movement that cannot produce a complete entry is refused at source.
3. Adjustments and write-offs require approval by value band before they post, under the matrix in 2.1.2, and carry a reason and a supporting attachment.
4. A posted movement is not edited or deleted. A correction is a reversing movement referencing the original, per 2.2.6.
5. Reclassification between items or categories moves quantity and value together, and the value moved is the value held, not a re-entered figure.

2.9.4 Batch, lot, serial and expiry

1. Batch and serial numbers are captured at receipt and carried through transfer, issue, return, production and count.

2. Each batch holds its manufacturing date, expiry date, country of origin, supplier, receipt reference and cost.
3. Full trace in both directions: from a batch to every customer document that received it, and from a customer document back to the batch and the supplier receipt that produced it.
4. Issue defaults to first-expired-first-out for batch-controlled items. Issuing an expired batch is blocked except by [role] with a reason recorded.
5. Recall: a batch can be put on hold across every warehouse and entity in one action, which blocks further issue, lists the stock still held and the customers already supplied, and produces the recall notification list.
6. Serial numbers identify an individual unit through its whole life — receipt, sale, warranty period, return, repair and disposal — with its warranty start and end dates held and the current holder known.
7. Where a serialised item is capitalised as a fixed asset, the serial number links the asset record in 2.8 to the stock movement that created it.

2.9.5 Procurement integration

Document	Behaviour
Purchase requisition	Raised by the requesting department with its dimensions; approved by value band before it becomes an order
Request for quotation	Issued to selected suppliers from the requisition, with the responses recorded against it
Supplier quotation	Price, lead time and terms held and comparable side by side; the selected quotation and the reason for selection are recorded
Purchase order	Created from the requisition or quotation, approved under 2.5.5, and sent from the system; open order quantity is visible to stock availability
Goods received note	Receipt against the order, in full or in part, recording quantity accepted, quantity rejected and the reason; over-receipt beyond tolerance is blocked
Supplier return	Return against a receipt, reducing stock and raising the debit note to the supplier
Supplier invoice	Matched to the order and the receipt before approval, per 2.5.6

1. Three-way matching — purchase order, goods received note and supplier invoice — is performed by the system, with tolerances on quantity and price set by the entity.
2. A match failure is an exception with its reason named — price difference, quantity difference, receipt not made, order not found, duplicate invoice — routed to an owner and reported until cleared. It is not approved around.
3. Where the inventory module is not active for an entity, matching falls back to two-way, per 2.5.6.
4. Receipt without a prior order is permitted only where the entity allows it, and is reported as an exception with the receiver named.
5. Goods received but not invoiced is held as a liability from the moment of receipt, and the balance is aged and reconciled to open receipts.

2.9.6 Sales integration

1. Sales order reserves stock without moving it, and the reservation is visible in availability.
2. Delivery order or dispatch note moves the stock and raises the cost of sales entry; the sales invoice raises the revenue and tax entries, per 2.3 and 2.4.
3. Where dispatch and invoice are separate events, the cost of sales and the revenue are matched to the same period, and any unbilled dispatch is reported.
4. Customer return brings stock back at the cost it left at, not at a re-entered cost, and the credit note reverses revenue and tax, per 2.3.2.
5. Returned stock is received into quarantine or into saleable stock as the user determines, and the choice is recorded.
6. Stock is updated by the sales transaction itself; no user re-enters a movement to reflect a sale.

2.9.7 Valuation and landed cost

Method	Requirement
First in, first out	Cost layers held per item, warehouse and batch, consumed in receipt order
Weighted average	Recalculated at every receipt, per item and warehouse
Standard cost	A set cost per item with purchase price and usage variances posted separately as they arise; the standard is versioned and effective-dated
Specific identification	For serialised and high-value items, each unit carrying its own cost

1. The method is selectable by item category and, where the entity requires it, by item; it is fixed once stock exists and is shown on every valuation report.
2. Valuation is real time: the stock value at any moment equals the sum of the movements to that moment, and the valuation report can be produced as at any past date without restating today.
3. Stock is valued in the entity's functional currency, with the transaction currency and rate of an imported receipt retained, per 2.2.9; the group value follows the translation in 2.14.8.
4. Landed cost — freight, import duty, clearing, insurance, handling and any other charge — is allocated onto item cost by value, by weight or by volume, selectable per shipment.
5. Landed cost received after the goods is applied to the original receipt, with the share relating to units already sold posted to cost of sales rather than to inventory.
6. Write-down to net realisable value is supported per item, batch or category, with the basis recorded and the provision reportable separately from cost.
7. Manual revaluation is permitted only by [role], with a reason, and always posts to a nominated account.
8. Every unit of stock can be traced to the cost that was applied to it and the document that set it.

2.9.8 Manufacturing and production

Specified here for entities that manufacture or assemble. An entity that does not activates none of it, and no production document, balance or posting arises.

Element	Requirement
Bill of materials	Components, quantities, scrap or yield allowance and operations per finished item; multi-level, versioned and effective-dated, with the version used by a production order retained
Production order	Quantity to produce, planned start and finish, the BOM version applied, and the warehouse that issues and receives
Material consumption	Components issued to the order — by backflush against the BOM or by explicit issue — moving cost from raw material to work in progress
Work in progress	Accumulated material, labour and overhead on open orders, reportable per order and reconciled to the WIP control account
Finished goods receipt	Output received into stock at accumulated cost, or at standard with the variance posted
Production variance	Material usage, material price, yield and scrap, each identified and posted to its own account rather than absorbed into cost
By-products and scrap	Received at a stated value where the entity recovers them

1. A production order is closed only when its output is received and its remaining WIP is accounted for; an order left open with a WIP balance is reported.
2. Material requirement planning computes net requirement per item and warehouse: demand from sales orders, production orders and forecast, less stock on hand, open purchase orders and open production, adjusted for safety stock and supplier lead time.

3. Planning produces suggested purchase requisitions and production orders. A suggestion is a proposal: it is reviewed and approved before it becomes a document, and the system raises no order of its own.
4. The planning run shows its workings — the demand, supply and lead time behind each suggestion — so a suggestion can be judged rather than taken on trust.

2.9.9 Stock counting and verification

1. Count types supported: full stock count, cycle count on a schedule, spot check of selected items or bins, and blind count.
2. Count sheets generated by entity, warehouse, location, bin, category or item range, with a freeze on movement for the counted range or a snapshot-based count that allows trading to continue.
3. Blind entry: the counter cannot see the system quantity. A second count is required for lines outside a variance threshold.
4. Cycle counting on a schedule, so that every item is counted at least [n] times a year without a full stop-count.
5. Reconciliation compares physical against system quantity by item, batch, serial and bin, and reports variance by quantity and by value.
6. No adjustment posts without authorisation by [role] against the variance report; the authorisation, the reason and the counter are all recorded.
7. Count history is retained, showing who counted, who recounted, who authorised and what moved.

2.9.10 Reorder and inventory planning

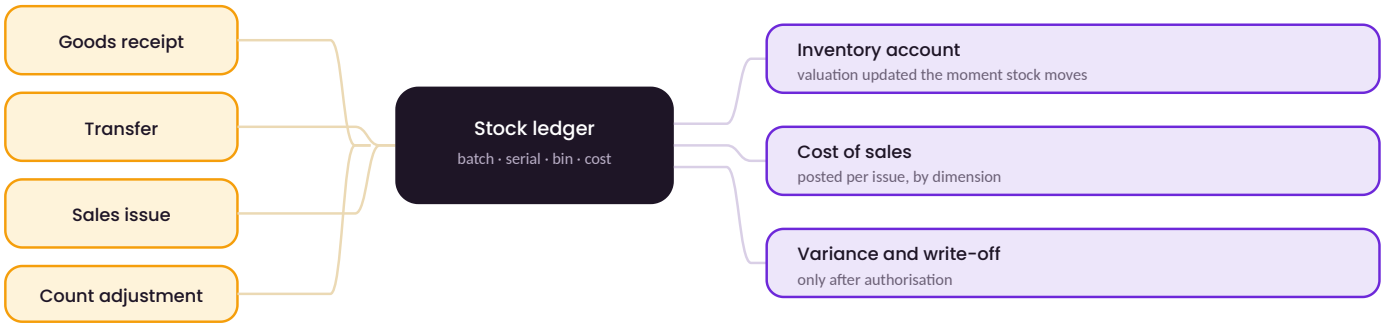
Held per item and warehouse	Use
Minimum stock level	Below it, a low-stock alert is raised
Maximum stock level	Above it, an overstock alert is raised
Reorder level and reorder quantity	Trigger and suggested order size
Safety stock	Buffer held against demand and lead-time variability
Supplier lead time	Used by planning and by the reorder trigger

Alerts are raised for low stock, stock-out, overstock, items approaching expiry, and slow-moving items, each configurable by threshold and routed to a named owner. An alert names the items and quantities behind it and opens the list; it raises no order on its own.

2.9.11 Inventory dimensions

Every inventory transaction carries and is reportable by entity, branch, warehouse, storage location and bin, department, cost centre, profit centre, business unit, project, product category, and any entity-defined dimension under 2.2.3. Dimensions default from the item, the warehouse or the document and are carried to the ledger posting, so inventory reporting and financial reporting cut the same way.

2.9.12 System-generated accounting entries



Stock and the ledger move together: one transaction updates the stock balance and raises its accounting entry at the same moment, with no end-of-month reconciliation between them.

Transaction	Entry the system auto-posts

Goods receipt against a purchase order	Dr Inventory · Cr Goods received not invoiced
Landed cost applied	Dr Inventory, units in stock · Dr Cost of sales, units already sold · Cr Landed cost clearing
Issue against a delivery note or invoice	Dr Cost of sales, by dimension · Cr Inventory
Sales return	Dr Inventory · Cr Cost of sales
Return to supplier	Dr Goods received not invoiced or Trade payable · Cr Inventory
Transfer, issue leg	Dr Stock in transit · Cr Inventory, sending warehouse
Transfer, receipt leg	Dr Inventory, receiving warehouse · Cr Stock in transit
Production consumption	Dr Work in progress · Cr Inventory, raw material
Finished goods received from production	Dr Inventory, finished goods · Cr Work in progress
Production variance	Dr or Cr Usage, price, yield or scrap variance · Cr or Dr Work in progress
Internal consumption	Dr Expense, by dimension · Cr Inventory
Issue to a project	Dr Project cost, by project dimension · Cr Inventory
Damage or write-off	Dr Inventory write-off · Cr Inventory
Count adjustment, surplus	Dr Inventory · Cr Stock variance
Count adjustment, shortfall	Dr Stock variance · Cr Inventory
Write-down to net realisable value	Dr Inventory write-down · Cr Provision for slow-moving stock
Item received as a fixed asset	Dr Asset under construction or Fixed asset · Cr Goods received not invoiced, passing to 2.8.2

1. Which account each posting uses is configurable per item category, warehouse and transaction type, held as data and maintained under maker–checker.
2. Drill-down runs from the financial statement line, to the general ledger balance, to the inventory transaction, to the source document and its attachment.
3. The inventory control account equals the stock valuation report at every date, continuously, per 2.12.1.

2.9.13 Dashboard and reports

Inventory dashboard

Total inventory value; value by entity, warehouse and category; stock movement trend; fast-moving items; slow-moving and obsolete stock; inventory turnover and days of cover; inventory ageing; stock approaching expiry; top items consumed and top items purchased; and stock variance from the latest counts. Every tile reads live and drills to the transactions behind it, and the executive view of these figures is specified in 2.15.6.

Standard reports

Report	Report	Report
Inventory valuation	Stock movement	Inventory ageing
Batch and lot tracking	Serial number tracking	Inventory reconciliation
Warehouse performance	Reorder report	Slow-moving inventory
Obsolete inventory	Goods receipt report	Goods issue report
Inventory adjustment report	Inventory cost analysis	Inventory turnover

Each is filterable by any dimension in 2.9.11 and drillable to source. Custom inventory reports are built in the report builder or by written instruction, under 2.13.2 and 2.13.3.

2.9.14 Inventory assistant

Produces	Basis
Forecast demand and future stock requirement	Consumption and sales history, seasonality, open orders and lead time, by item and warehouse
Suggested reorder quantities	The forecast against stock on hand, open supply, safety stock and lead time
Slow-moving and obsolete stock	Movement history against thresholds the entity sets, with the value at risk and the provision indicated
Unusual stock movements	Quantity, value, timing, user or frequency outside the established pattern — raised for review, never as an accusation and never blocking a movement
Shortage and excess	Items forecast to run out within the lead time, and items held beyond the maximum
Optimisation suggestions	Reorder points, order sizes and stock placement, with the saving or the risk quantified
Draft commentary and performance insight	A written draft explaining the period's inventory movements, for review

1. Every statement names the figures behind it and drills to the items, batches and transactions concerned. An observation that cannot be traced to data is not made.
2. A forecast states the history it was built on, its period and its assumptions, and is presented as a forecast rather than as a fact.
3. The assistant posts nothing and raises no order or requisition. Everything it produces is a proposal that a user reviews and approves.
4. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.9.15 Acceptance tests

1. The total of the stock valuation report at any date equals the inventory control account at that date.
2. A batch can be traced from receipt to every customer document within [2] minutes, on screen, and a recall holds that batch across every warehouse in one action.
3. Freight applied a week after a receipt allocates correctly across the units still in stock and those already sold.
4. An issue that would take stock negative is refused, naming the item and the warehouse.
5. A supplier invoice differing from the receipt beyond tolerance is held as a match exception with its reason named, and cannot be approved until it is resolved.
6. A production order consumes its components, accumulates WIP, receives finished goods at accumulated cost, and leaves a nil WIP balance on closure; a yield shortfall posts to the variance account rather than into the finished goods cost.
7. A blind count variance beyond threshold requires a second count, and no adjustment posts without authorisation.
8. Stock transferred to a fellow entity raises the matching document there, and the unrealised profit is eliminated on consolidation.
9. A service-only entity completes quotation to receipt with no inventory screen, report or posting anywhere in the flow.
10. A forecast or reorder suggestion creates no document until a user approves it.

2.10 Payroll and workforce

Payroll is native to the system. A third-party payroll product synchronising by file transfer is not acceptable, because it breaks the audit trail between the payslip and the ledger.

The module is global by configuration. Every tax band, contribution rate, entitlement rule and statutory scheme is effective-dated data that the entity maintains, so a new country is brought on by configuring a rule set, and a rate change by the government is a configuration change with an effective date. No country's rules are written into the software.

2.10.1 Employee master

Field	Mandatory	Rule or validation
Employee number	Yes	System-generated; never reused, including for rehires
Entity and country of employment	Yes	Determines which statutory rule set applies, per 2.10.2
Employment type	Yes	Permanent, fixed-term contract, probation, part-time, shift, casual or project-based; drives entitlement rules
Employee category or group	Yes	The level at which labour law and benefit rules are applied under 2.10.3
Grade and pay structure	Yes	Defaults the pay components
Pay basis	Yes	Fixed salary, hourly, daily, shift-based or output-based; determines whether attendance is required for this employee, per 2.10.4
Department, cost centre, project and other dimensions	Yes	Drives the cost posting in 2.10.10; an employee may be split across dimensions by percentage
Residency status for tax	Yes	Resident or non-resident, effective-dated, driving the tax treatment applied
Bank details and payment currency	Yes	Change requires maker–checker and appears on a change report; more than one account per employee permitted with a split
Tax file and statutory scheme numbers	Yes	Format-validated per country, with the schemes the employee is enrolled in and the date of each
Joining, confirmation and leaving dates	Yes	Drive pro-rating, entitlement, service-based benefits and final settlement
User-defined fields	No	Further fields the entity defines, reportable like any other

Every change is effective-dated. A mid-period change pro-rates automatically; a back-dated change generates arrears in the next run under 2.10.7 rather than altering a closed payslip.

2.10.2 Statutory and tax configuration

A country rule set is a body of configuration, not code. It is created, versioned and effective-dated by the entity, and a country with no rule set simply cannot be run until one is configured.

Configurable	Requirement
Tax structure	Progressive with any number of bands, flat rate, or a combination; bands by amount or percentage, cumulative or period-based
Tax credits, reliefs and exemptions	Per employee, per category or per component, with eligibility conditions and limits
Residency treatment	Separate rates, bands and reliefs for resident and non-resident employees
Employee contributions	Any number of schemes, each with its own base, rate, ceiling, floor and rounding
Employer contributions	Likewise, charged as employer cost rather than deducted from the employee
Scheme types	Social security, provident and pension funds, retirement schemes, employment levies, insurance contributions, government benefit schemes, labour welfare funds, union contributions and any other statutory deduction
Contribution base	Defined per scheme from the pay components, since schemes in the same country often use different bases

Remittance	Due date, frequency, payee, reference format and the return schedule each scheme produces

1. The schemes an entity actually operates — a provident fund, a trust fund, a withholding scheme, a national insurance or social security scheme, whatever the local names — are configured instances of the types above, not features built into the product.
2. Every rate, band, ceiling and threshold is effective-dated. A payroll for a past period computes on the version in force then, and a rate change never restates a closed period.
3. A rule set is versioned, with who changed it, when, what changed, the reason and the approval reference, and it is maintained under maker–checker.
4. A rule change is testable before it is applied: a run can be previewed on the new version and compared with the current one, employee by employee, before the version is made effective.
5. Statutory returns and filing schedules produced by payroll feed the tax calendar in 2.7.7, so a payroll liability appears alongside every other filing obligation.
6. An employee working across countries, or transferring between them, is handled by the rule set of each period of employment, with both reportable.

2.10.3 Labour law and employment rules

Rule	Requirement
Working hours and shift rules	Standard hours, shift patterns, night and rest-day definitions, and the limits that apply
Overtime	Qualifying conditions, rate multipliers by day type and hour band, caps, and whether it is paid or taken as time off
Public holidays	Holiday calendar per country and region, and the treatment of work performed on one
Leave entitlements	Annual, sick, maternity, paternity, adoption, compassionate, study and unpaid, each with accrual basis, carry-forward, encashment and expiry rules
Minimum wage	By country, category and effective date, with a payroll below it blocked and named
Severance, gratuity and end-of-service	Formula by length of service and final pay, accrued through the year and settled on leaving
Contract and casual workers	Contract dates, renewal and expiry alerts, and a distinct entitlement and statutory treatment

Every rule above is configurable by country, entity, employee category or employee group, and is effective-dated. Where two levels both carry a rule, the narrowest applies, and which level supplied the rule is visible on the calculation.

2.10.4 Leave, attendance and time capture

Leave is maintained for every entity. Attendance and time capture are activated per entity and per employee group: many entities pay a fixed salary and never record attendance, and for those nothing in the attendance clauses below arises.

Pay basis

Basis	What drives pay	Attendance needed
Fixed salary	The contracted amount for the period, pro-rated for joiners and leavers	No. Only approved leave and any recorded absence affect pay
Fixed salary with variable elements	Contracted amount plus overtime, shift or allowance claims that are entered and approved	No, unless the entity chooses to source those claims from a device
Hourly, daily or shift-based	Hours, days or shifts worked in the period	Yes — attendance is the basis of pay and the run cannot proceed without it

Output or piece-based	Units produced or tasks completed, recorded against the employee	No, but the output record is required in its place

1. The pay basis is held on the employee, defaulted from the employee category, and determines whether attendance is required for that employee at all.
2. An entity may run both bases together — salaried staff with no attendance record alongside hourly staff whose pay is calculated from it — in the same run.

Leave — maintained for every entity

1. Leave types are defined by the entity: annual, casual, sick, maternity, paternity, compassionate, study, unpaid and any custom type, each with its own entitlement, accrual, approval route, documentation requirement and payroll effect.
2. Leave balances accrue by the configured basis, are visible to the employee and the manager, and are valued for the leave provision in 2.10.10.
3. Leave is applied for and approved through self-service under 2.10.11, or entered by payroll on the employee's behalf where the entity does not use self-service.
4. Approved unpaid leave, and absence recorded as unapproved, convert to a no-pay deduction by rule, not by a user keying one. Where an entity does not record absence at all, no no-pay deduction arises and the fixed salary is paid in full.

Attendance and time capture — where activated

1. Attendance is taken from biometric devices, time and attendance systems, mobile attendance applications and workforce management systems through the integration in 2.1.6, or entered on screen where no device exists.
2. Imported attendance is validated before it reaches payroll — missing punches, impossible durations, duplicate records and unapproved overtime are reported as exceptions and do not silently become pay.
3. Overtime, shift premiums and allowances claimed from attendance are approved by the manager before they reach the run, under the rules in 2.10.3.
4. Timesheets, where used, carry the dimensions that the labour cost posts to, so time booked to a project reaches that project's cost. A timesheet may be used for cost allocation alone, without driving pay.
5. Where attendance is not activated for an entity or an employee group, no attendance screen, import, exception or validation arises for them, and the payroll run does not wait on one.

2.10.5 Benefits administration

Benefit	Handling
Medical and life insurance	Policy, cover level, premium split between employer and employee, dependants, and renewal dates
Retirement and pension plans	Scheme, contribution rates, vesting and the employer liability arising
Company vehicle and housing	Benefit value computed by the configured basis and treated as taxable or exempt per the country rule set
Stock options and long-term incentives	Grant, vesting schedule, exercise and the charge arising in each period
Employee welfare programmes	Cost recorded and allocated to the dimensions of the employees covered
Flexible benefits	A value the employee allocates across available benefits, within rules the entity sets

1. A benefit in kind is valued, taxed and reported according to the country rule set, and appears on the payslip whether or not it is paid in cash.
2. Employer benefit cost posts to the same dimensions as the employee's salary, so the cost of a department includes its benefits.
3. Benefit eligibility is driven by employee category, grade or service length, and is effective-dated.

2.10.6 Pay components

Component	Type	Basis	Treatment
Basic salary	Earning, fixed	Grade and contract	Taxable; base for statutory contributions
Allowances	Earning, fixed or variable	Per allowance rule	Taxable or exempt per the country rule set, flagged per component
Overtime	Earning, variable	Hours from attendance where it is activated, otherwise from an approved claim, × the rate multiplier per 2.10.3	Taxable
Benefit in kind	Notional earning	Valuation rule per benefit	Taxable where the rule set says so; not paid in cash
No-pay deduction	Deduction	Unapproved absence days ÷ working days	Reduces gross and the contribution base
Income tax withholding	Statutory deduction	Bands or table from the rule set	Remitted with the periodic return
Employee scheme contribution	Statutory deduction	Percentage of the base defined for that scheme	Remitted with the employer share
Employer scheme contribution	Employer cost	Percentage of the base defined for that scheme	Expense, not a deduction from the employee
Loan instalment	Deduction	Schedule on the loan record	Clears the staff loan balance
Union and welfare contributions	Deduction	Per scheme rule	Remitted to the named payee

Components, their formulas, their bases and their order of calculation are configurable by the entity. A component can be added without development. No tax band, contribution rate, ceiling or threshold is written into the software: every one is dated configuration held in the country rule set under 2.10.2, so a rate change announced by a government is applied by amending that rule set with an effective date, and payrolls already run on the earlier rates are untouched.

2.10.7 Payroll runs and calculation

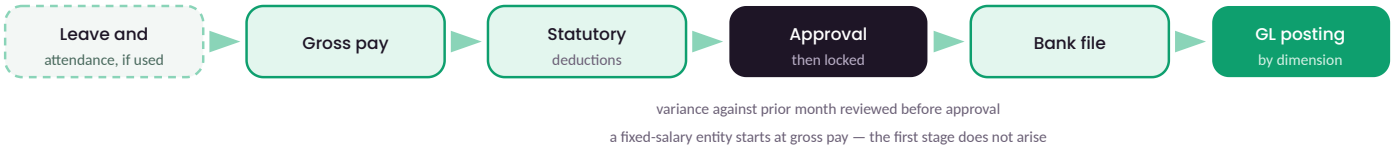
Frequencies

Monthly, fortnightly, bi-weekly, weekly, daily and project-based payrolls are supported, running concurrently within one entity where different employee groups are paid differently. Each frequency has its own calendar, cut-off and approval route.

Calculation sequence

1. Confirm leave for the period and, where attendance is activated, import or confirm attendance and overtime, with exceptions cleared first. For an entity that does not record attendance, the run begins at the next step.
2. Compute gross: fixed earnings pro-rated for joiners and leavers, or earnings calculated from hours, days, shifts or output where that is the pay basis, plus variable earnings and benefits in kind, less no-pay.
3. Apply each scheme's contribution base and compute employee and employer contributions.
4. Compute income tax on the taxable portion, cumulative or period-based as the country rule set requires, applying credits, reliefs and exemptions.
5. Apply voluntary and recovery deductions, respecting any minimum net pay rule.
6. Produce the variance report against the prior period, itemising every employee whose net pay moved by more than [x]% or [amount].

7. Approve, lock, then produce the bank file, payslips and statutory schedules.



variance against prior month reviewed before approval

a fixed-salary entity starts at gross pay — the first stage does not arise

Adjustments and special runs

Type	Requirement
Retroactive adjustment	A back-dated change recalculates the affected past periods on the rules in force then, and the difference is paid as arrears in the current run, itemised by period
Correction	Raised against an approved run as an adjustment; a closed payslip is never edited
Back payment	Paid in the current period with the period it relates to shown, so the tax treatment follows the rule set
Bonus and incentive run	Off-cycle, with its own tax treatment where the rule set provides one
Increment and mass revision	Applied to a selected population from an effective date, previewed in full before it is committed, and approved as one change
Final settlement	Notice, leave encashment, gratuity or end-of-service benefit, outstanding loans and statutory dues in one calculation
Multi-currency payroll	An employee paid in a currency other than the entity's functional currency is calculated and paid in that currency, with the cost posted in the functional currency at the rate in force under 2.2.9

2.10.8 Run control and approval

1. A run can be previewed and rolled back any number of times before approval, and not at all after it.
2. Approval is by a user who cannot also edit employee master data or release the bank file.
3. On approval the run is locked: its payslips, calculations and the rule set version used are fixed and reproduce exactly on demand.
4. Off-cycle and supplementary runs each produce their own payslip, bank file and statutory schedule, and are reportable separately from the regular run.
5. The payroll period is closed independently of the ledger period, per 2.2.8, so payroll can be finalised ahead of the close.
6. A run cannot be approved while a blocking exception stands: an employee below minimum wage, a missing bank account, a missing statutory number, a missing rule-set version, or — where attendance is activated for that employee group — unvalidated attendance.

2.10.9 Banking and payment

1. Bank payment files are produced in the format each bank and country requires, configurable per bank without development.
2. More than one bank is supported within an entity, with employees allocated to the bank that pays them, and more than one account per employee with a split.
3. Direct credit, local transfer and international payment are supported, with the charges basis and intermediary details where required.
4. Payment in a currency other than the entity's functional currency is supported, with the rate used retained on the payment.
5. The bank file total equals the net pay payable of the approved run, and release of the file is a separate permission from approving the run.
6. A returned or rejected payment is recorded against the employee and reconciled, rather than left as an unexplained bank item.

2.10.10 System-generated accounting entries

Transaction	Entry the system auto-posts
Payroll approved	Dr Salary and wages, by dimension · Dr Employer contribution expense · Dr Benefit expense · Cr Net pay payable · Cr Income tax withheld payable · Cr Scheme contributions payable · Cr Staff loan receivable, for recoveries
Payroll accrual, period not yet run	Dr Salary and wages, by dimension · Cr Payroll accrual, reversing in the following period
Net pay released	Dr Net pay payable · Cr Bank
Statutory remittance	Dr Income tax withheld payable · Dr Scheme contributions payable · Cr Bank
Gratuity or end-of-service provision	Dr Gratuity expense, by dimension · Cr Gratuity provision
Leave encashment provision	Dr Leave expense · Cr Leave provision
Staff loan granted	Dr Staff loan receivable · Cr Bank
Employee reimbursement or claim	Dr Expense, by dimension · Cr Net pay payable or Bank

1. Payroll postings carry cost centre, profit centre, department, business unit, branch, location, project and any entity-defined dimension, taken from the employee record or from the timesheet where labour is booked to work.
2. Where an employee is shared across dimensions, the cost is split by the percentages held and the split is visible on the posting.
3. Which account each component posts to is configurable per component, entity and country, held as data and maintained under maker–checker.
4. Drill-down runs from the statement line to the ledger balance to the payroll journal to the run, subject to the confidentiality rules in 2.10.14.

2.10.11 Employee and manager self-service

Employee	Manager
Payslips, current and historical	Team payroll cost review, at the level their role permits
Tax documents and annual statements	Leave approvals, with balance and conflict visible
Leave application and balance	Timesheet and overtime approvals
Claim and reimbursement submission with attachment	Employee cost analysis by dimension
Personal information update	Workforce reports — headcount, movement, absence
Payroll history and benefit statements	Contract expiry and confirmation due alerts

1. A personal information change that affects pay — bank account, tax status, dependants — is a request requiring approval, not a direct update, and appears on the change report.
2. An employee sees only their own record. A manager sees only their own reporting line, and the hierarchy is maintained in the employee master rather than assumed from the department.
3. Self-service is available in the employee's language under 2.1.8, and payslips are produced in the language and currency the employee is paid in.
4. Every self-service access to a payroll record is logged under 2.10.14.

2.10.12 Reporting and analytics

Standard reports

Report	Report	Report
Payroll summary	Payroll register	Earnings analysis
Deduction analysis	Tax reports	Statutory filing schedules
Employee cost report	Leave report	Overtime report
Benefit report	Headcount and movement	Payroll reconciliation

1. Every report is filterable by entity, country, dimension, employee category and period, and is produced at the level of aggregation the user's role permits.
2. Management analysis: employee cost by department, cost centre and entity; payroll trend over time; workforce cost forecast; statutory liability outstanding; headcount analysis; and payroll against budget.
3. These figures are presented to executives on the dashboard in 2.15.6, which reads this module rather than recalculating it.
4. Custom payroll reports are built in the report builder or by written instruction under 2.13.2 and 2.13.3, within the same confidentiality rules.

2.10.13 Payroll assistant

Produces	Basis
Validation and error detection before approval	Net pay movement beyond tolerance, a component missing against the prior period, a contribution outside its expected range, an employee paid twice, a leaver still paid, a joiner not paid
Unusual payroll transactions	Value, timing, bank account, approver or frequency outside the established pattern — raised for review, never as an accusation and never blocking an individual's pay on its own
Labour cost trend analysis	Cost by dimension over time, decomposed into headcount, rate and overtime effects
Payroll forecast and budget support	Committed cost from the current establishment, plus stated assumptions on recruitment, increments and attrition
Compliance monitoring and risk alerts	A filing or remittance approaching its due date, a rule set not updated against a known effective date, minimum wage breaches, contracts expiring
Cost optimisation observations	Overtime concentrated in particular areas, leave liability building, benefit take-up against cost — each with the figures and the population named
Questions in ordinary language	"payroll cost by cost centre for the last twelve months", "employees with significant overtime increases", "payroll against budget by department", "explain the increase in payroll expense this month"

1. Every observation names the figures behind it and opens the records concerned. One that cannot be traced to data is not made.
2. The assistant corrects nothing. A validation finding is routed to payroll for a decision; no payslip, component or rate is changed by it.
3. It posts nothing, approves no run and releases no payment.
4. Answers honour payroll confidentiality exactly as a report does: a user not entitled to individual salary receives aggregates, and the assistant does not disclose through a narrative what a report would withhold.
5. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.10.14 Confidentiality, security and audit

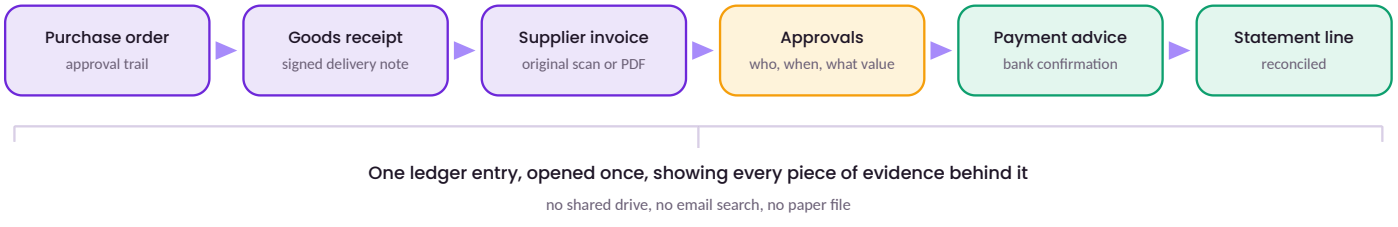
1. Payroll amounts are visible only to named payroll users and [role]. General finance users see the control totals and the departmental cost, never an individual salary.
2. The payroll journal posts summarised by dimension to the ledger; employee-level detail stays inside the payroll module.
3. Every access to an individual payroll record, including read access and access through self-service, a report, an export or the assistant, is logged.
4. Segregation of duties is enforced: the user who maintains employee master data cannot approve a run, and the user who approves a run cannot release its bank file.
5. Approval workflows are configurable by entity, country and value, under 2.1.2.
6. An approved run is locked and its payslips are immutable; a correction is a new adjustment referencing the original.
7. Payroll history is retained in full for [7] years, with the rule set version, rates and calculations that produced each run, so any past payslip can be re-explained.
8. A compliance and audit pack is produced on request: the run, its workings, the rule set version applied, the approvals, the bank file and the statutory schedules.

2.10.15 Acceptance tests

1. A mid-period joiner and a mid-period leaver are both pro-rated correctly in the same run.
2. A back-dated pay rise recalculates the affected past periods on the rules in force then and produces arrears in the next run, itemised by period, without reopening a closed payslip.
3. The payroll journal for a period agrees to the sum of the payslips and to the bank file, to the cent.
4. A general finance user cannot retrieve an individual salary through any screen, report, export or assistant question.
5. A new country is brought live by configuring a rule set alone, with no change to the software and no vendor release.
6. A statutory rate changed with an effective date applies from that date and leaves prior periods computing on the previous version.
7. Two employee groups on different frequencies are paid in the same month from the same entity, each on its own calendar and approval route.
8. An employee paid in a second currency is calculated and paid in that currency and costed in the functional currency at the rate in force.
9. A run with a missing bank account or a below-minimum-wage employee cannot be approved, and the reason is named; where attendance is activated, unvalidated attendance blocks the run on the same basis.
10. The user who approves a run cannot release its bank file.
11. An entity that does not record attendance completes a full payroll run with no attendance screen, import or exception anywhere in the flow, and the fixed salary is paid in full.
12. Salaried employees with no attendance record and hourly employees paid from attendance are processed in the same run, each on its own pay basis.
13. A payslip from three years ago reproduces exactly, on the rule set version that produced it.

2.11 Supporting documents and audit evidence

Every figure in the financial statements must be traceable, on screen, to the document that supports it and to the working that produced it. This is a functional requirement of the system, not a filing habit.



2.11.1 Where documents attach

Attached to	Examples of evidence held there
Master records	Customer and supplier registration documents, tax registration certificate, bank detail confirmation, signed contract, price agreement, employee contract
Transaction header	Supplier invoice scan, signed delivery note, customs entry, insurance certificate, quotation received
Transaction line	Item specification, batch certificate, weighbridge slip, calculation for a single line
Approval step	Email approval, board minute extract, written waiver of a control
Journals	The working that produced the figure: depreciation schedule, accrual computation, provision matrix, allocation workbook
Reconciliations	Bank statement, third-party confirmation, sub-ledger extract, supporting schedule
Payroll	Appointment letter, salary revision approval, loan agreement, final settlement calculation
Fixed assets	Purchase invoice, commissioning certificate, valuation report, disposal approval

2.11.2 Capture

1. Drag and drop from the desktop, and upload of multiple files at once.
2. A dedicated email address per module, so a supplier invoice emailed in arrives as a draft transaction with the file already attached.
3. Mobile photo capture, with the image straightened and compressed, for expense receipts and signed delivery notes in the field.
4. Optical capture that reads a supplier invoice and pre-fills supplier, date, number, value and tax for review — the user confirms rather than types.
5. Attachment through the API, so documents arriving from an integrated system land on the right transaction.
6. Accepted formats at minimum: PDF, JPG, PNG, TIFF, XLSX, DOCX, EML and MSG, each up to [25] MB.

2.11.3 Mandatory evidence rules

The system blocks the transaction where the required evidence is absent. The rules are configurable by the entity.

Document	Evidence required before	Behaviour if missing
Supplier invoice	Approval	Blocked
Manual journal above [amount]	Posting	Blocked
Credit note	Issue	Blocked
Supplier bank detail change	Taking effect	Blocked
Stock count adjustment	Authorisation	Blocked
Fixed asset capitalisation and disposal	Posting	Blocked
Expense claim	Approval	Blocked
Balance sheet reconciliation	Review	Blocked

2.11.4 Handling, search and retention

1. Each file carries metadata: document type, date, uploaded by, upload date, source (screen, email, mobile, API), file size, and the transaction it belongs to.
2. Full-text search across attachments, and search by any metadata field, returning the document and the transaction together.
3. Versioning: replacing a document keeps the earlier version, with the reason for replacement and the user, so nothing is quietly overwritten.

4. A document attached to a posted transaction cannot be deleted by any user, including an administrator; it can only be superseded.
5. Data is held from the day the organisation starts on the system, not for a number of years. There is no age at which a period is dropped, archived out of reach or made unavailable, and no retention figure is applied by the software of its own accord.
6. A statutory retention period is a floor below which an entity may not dispose, never a ceiling at which the system disposes. Where an entity sets its own policy, it is the longer of that policy and the statutory period of every jurisdiction it operates in.
7. Documents are held in each jurisdiction whose law requires it, and included in every backup and restoration test. Nothing is deleted on reaching the end of any retention period without an approved disposal instruction from the entity.
8. Closed periods may be moved to a storage tier that costs less and answers more slowly. They stay queryable, reportable and drillable from the same screens, with no restore request, no reload and no call to the vendor. A user is told a query is reaching older data before it runs, and is never told the data is unavailable.
9. Erasure required by a privacy law is the one exception. It is a controlled, approved and recorded action against the personal data named, and it leaves the accounting record, its totals and its audit trail intact.
10. Storage is not separately metered in a way that discourages attaching evidence; the vendor states any limit and its cost.

2.11.5 Working papers

1. Any calculation behind a posted figure — accruals, provisions, allocations, depreciation, expected credit loss, gratuity — is attached to the journal that posts it, in the format it was prepared in.
2. Where the calculation is performed inside the system, the workings are retained and viewable for that period, not recalculated on the fly with current parameters.
3. Recurring calculations carry the prior period's working forward as a starting point, with the prior version retained.

2.11.6 Audit access and pack

1. A read-only auditor role with access to every module, every attachment and every audit log entry, and no ability to create or amend anything.
2. An audit pack export for a selected period: the full transaction listing, the trial balance and financial statements, all reconciliations, and every attachment, delivered in a structured folder with an index that ties each file to its transaction.
3. Sample selection support: the auditor selects transactions from a listing and exports those items with their evidence in one action.
4. Bulk document download: every attachment behind a chosen population — one account or a range of accounts, one period or a date range, one module, one customer or supplier, or a saved report's result set — is downloaded in a single archive, with an index tying each file to its transaction, account, date and value. This is produced without the vendor, is available to the auditor role, and is the normal way evidence is supplied at an annual audit.
5. A download of any size runs in the background and notifies the requester when it is ready, rather than failing on volume, and the request is logged with who asked for it and what it covered.

2.11.7 Acceptance tests

1. From a figure on the statement of financial position, a user reaches the underlying transaction and opens its supporting scan in no more than four clicks.
2. A supplier invoice cannot be approved with no document attached.
3. Replacing an attached document retains the earlier version and records the reason.
4. An administrator cannot delete an attachment on a posted transaction.
5. An audit pack for a sample of [25] transactions exports with every attachment present and correctly indexed.

2.12 Balance sheet reconciliation and period close

Every balance on the statement of financial position must be supported by a reconciliation held in the system, not in a separate spreadsheet folder.

2.12.1 System-verified sub-ledger agreement

These agreements are auto-computed by the system continuously and must be nil. A difference is an exception, reported the moment it arises.

Control account	Agrees to
Trade receivables control	Sum of open customer balances in the receivables ledger
Trade payables control	Sum of open supplier balances in the payables ledger
Inventory control — inventory entities only	Stock valuation report by item, batch and location
Fixed asset cost and accumulated depreciation	Asset register totals
Net pay, withholding tax and fund contribution payables	Payroll run totals not yet remitted
Bank and cash	Approved bank reconciliation and cash count for the period
Tax control accounts	Output and input tax listings and the filed return

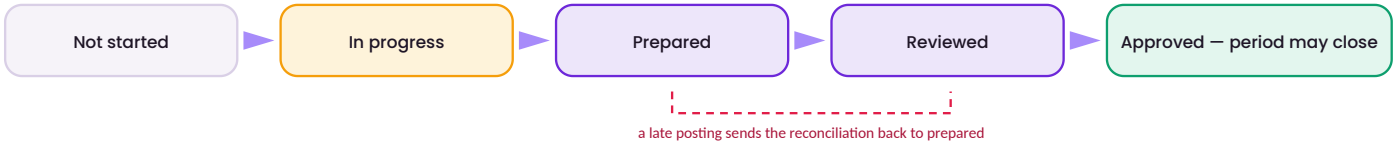
2.12.2 The reconciliation record

Field	Content
Account and period	Selected from the chart of accounts; one record per account per period
Ledger balance	Auto-populated from the general ledger at the period end date, never typed
Supporting balance	Entered, uploaded or drawn from the sub-ledger or a third-party statement
Difference	Calculated; a non-zero difference requires an explanation before the record can be submitted
Reconciling items	Listed individually with amount, date arising, expected clearance date and owner
Supporting documents	Working schedule, third-party confirmation, statement or calculation attached to the record
Preparer and reviewer	Different named users, each with a date and time stamp, unless that separation has been released for a named user as a documented exception under 2.1.2
Status	Not started, in progress, prepared, reviewed, approved, reopened

2.12.3 Rules and workflow

1. Every balance sheet account is assigned an owner, a review frequency (monthly, quarterly or annual) and the type of evidence required. Accounts with no assigned owner are reported as an exception.
2. Reconciliations are auto-created for every in-scope account when a period is opened for close, so nothing is forgotten.
3. Ageing rules flag reconciling items older than [60] days and unexplained differences of any age.
4. A reconciliation is prepared by one user and reviewed by another; self-review is blocked.
5. The ledger balance auto-refreshes if a late entry hits the account, and the reconciliation returns to prepared status so the change is seen rather than hidden.
6. A period cannot be hard-closed until every in-scope reconciliation is approved, or an exception is formally accepted by [role] with a reason recorded.
7. Reconciliations are retained for [7] years with their attachments and can be exported as a pack for the external auditor.

2.12.4 Close dashboard



The dashboard shows every account, its owner, its status and its difference, so the close is managed from one screen.

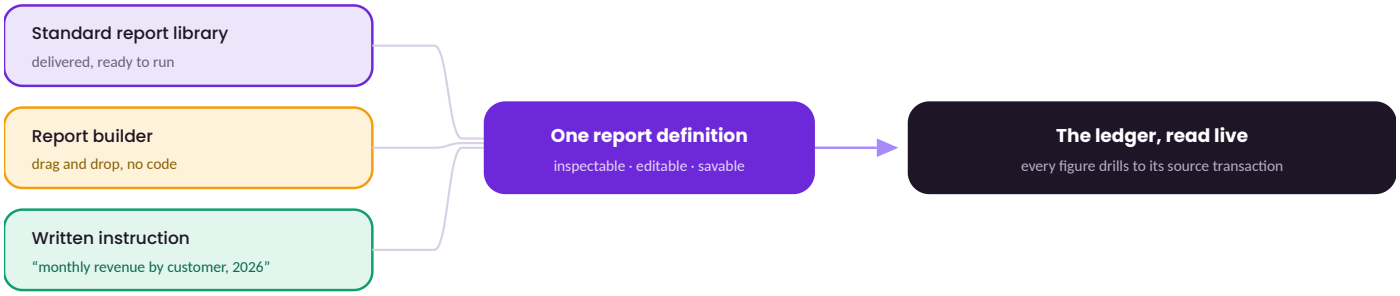
2.12.5 Acceptance tests

1. A journal posted to a reconciled account after approval changes the ledger balance on the reconciliation and reverts its status.
2. The period cannot be hard-closed while one in-scope account is unapproved.
3. A reconciliation prepared and reviewed by the same user is refused, unless that separation has been released for that user as a documented exception under 2.1.2, in which case the reconciliation is accepted and flagged as self-reviewed on the close dashboard and the exceptions report.
4. The receivables control account and the customer ledger total agree at any selected date, and any difference is itemised automatically.

2.13 Reporting and MIS

Reporting is where the rest of the system is read. A standard library covers what is needed routinely; beyond it, Finance builds what it needs itself — by hand in a report designer, or by describing the report in writing — without the vendor, without IT and without a change to the system.

Three routes to the same place



However a report was built, the figures come from the ledger. Nothing in the reporting layer calculates a number of its own.

2.13.1 Standard report library

The following are delivered configured and ready to run, each filterable by period, entity and any dimension, and each drillable to its source.

Report	Analysis available	Specified in
Statement of financial position	Entity, consolidated, comparative	2.2.10
Statement of profit or loss	Any dimension, any combination, comparative	2.2.10
Statement of comprehensive income	Entity and consolidated	2.2.10
Statement of cash flows	Entity and consolidated	2.2.10
Statement of changes in equity	Entity and consolidated	2.2.10
Trial balance	Any dimension; before adjustments, after management adjustments and after audit adjustments	2.2.8

General ledger report	Account, period, dimension, entity	2.2.4
Journal listing	Journal type, preparer, approver, date, status	2.2.5
Accounts receivable ageing	Customer, ageing band, currency, dimension	2.3.8
Accounts payable ageing	Supplier, ageing band, currency, dimension	2.5
Bank reconciliation reports	Account, statement date, unreconciled items by age	2.6.6
Cash flow forecast	Bank account, currency, period	2.6
Budget versus actual	Any dimension, against any budget version, with variance	2.2.3
Cost centre reports	Cost centre and profit centre, with allocation where used	2.2.3
Departmental and business unit reports	Department, business unit, location, project	2.2.3
Consolidated financial statements	Group, sub-group, with eliminations and translation shown	2.14
Fixed asset register and depreciation reports	Category, location, cost centre, by period and for the year	2.8
Inventory valuation and movement	Location, warehouse, category, batch, item	2.9
Multi-currency revaluation report	Currency, account, realised and unrealised	2.2.9
Tax reports — VAT, GST, WHT and others	Per tax type, per return period, per jurisdiction	2.7
Payroll summary and statutory reports	Department, cost centre, project; restricted distribution	2.10
Gross margin analysis	Product, category, customer, location	2.9, 2.13.2
Management accounts package	A defined pack produced in one run, entity or group	2.13.5
KPI and executive dashboard	Role-based, refreshed live	2.13.6
Audit pack	Full transaction listing with attachments	2.11.6

1. A standard report is a starting point: it can be copied into the report builder, amended and saved under a new name without the delivered version being altered.
2. Every standard report carries comparatives — prior period, prior year, budget — selected by the user rather than fixed in the report.
3. A statutory statement states the basis it was produced on: entity or consolidated, before or after adjustments, and the period state at the time it was run.

2.13.2 Report builder

Finance and business users build reports themselves, with no programming and no vendor involvement.

Capability	Requirement
Drag-and-drop designer	Fields, accounts, dimensions and measures placed onto rows, columns and filters by dragging, with the result previewed as it is built
Column selection	Any field of the underlying records, chosen and ordered by the user, including fields from related records such as the customer or the source document
Filters and parameters	Fixed filters set in the report, and parameters the user is prompted for at run time — period, entity, dimension, account range, currency
Grouping and summarisation	Any number of grouping levels with subtotals, counts, averages and percentages of a total
Calculations and formulas	Calculated columns and rows written by the user — ratios, variances, percentages, year-to-date, annualised figures — using fields already in the report
Pivot analysis	Rows and columns interchangeable, with expand and collapse on each level
Charts and dashboard tiles	Any report presentable as a chart or as a dashboard tile, from the same definition
Conditional formatting	Thresholds that highlight a figure — an overdue balance, a variance beyond tolerance

1. The builder works over the system's own data model: the user chooses the records to report on — ledger, journals, customers, suppliers, invoices, receipts, payments, items, stock movements, assets, employees and the rest — and relates them, without writing a query and without knowing how the data is stored.
2. A report is saved as a definition, not as a copy of its output: it re-reads the ledger each time it runs.
3. A saved definition is reusable: it is named, re-run at any time, copied as the starting point for another report, exported to another entity of the group, and carried across an upgrade without being rebuilt.
4. Saved reports can be kept private, shared with named users or roles, or published to the whole entity or group, under the owner's control.
5. A saved report can be scheduled, exported, turned into a dashboard tile, or included in a report pack.
6. Report definitions are versioned, so a change to a shared report is attributable and reversible.
7. A report cannot return data the user is not entitled to see; access rules under 2.1.2 apply to the report's output, not to the report definition, so a shared report shows each recipient only what they may see.

2.13.3 Report creation by written instruction

A user describes the report they want in ordinary language and the system builds it. This is a faster route into the report builder, not a separate reporting engine.

The user types	The system produces
Show monthly revenue by customer for 2026	Revenue accounts, grouped by customer, twelve monthly columns, with a total
Prepare a profit and loss report by business unit	The income statement layout, one column per business unit, with a group total
Generate accounts receivable ageing above 90 days	The ageing report filtered to the 90-plus bands, by customer, with contact and credit terms
Compare current year expenses against budget by department	Expense accounts by department, actual, budget, variance and variance percentage

Show inventory movement by item category	Opening, receipts, issues, adjustments and closing, by category, for the period chosen

1. The system interprets the instruction, builds the report, and states in plain words what it understood — which accounts, which dimensions, which period, which filters and which entity — before the figures are relied on.
2. The result is an ordinary report definition. It opens in the report builder, where every element can be inspected, corrected and saved like any other report.
3. The user refines by further instruction — "split that by location", "show last year alongside", "exclude intercompany" — each refinement applying to the report already built.
4. A suitable chart is proposed with the result, and can be accepted, changed or declined.
5. Where the instruction is ambiguous, the system asks rather than guessing: which revenue accounts, which entity, calendar year or financial year.
6. Every figure is read from the ledger by the generated definition. No figure is estimated, inferred or produced by the language model itself, and a report that cannot be built from the data is refused with the reason rather than returned incomplete.
7. A statutory or externally filed report is not produced by instruction alone: the definition behind it is reviewed and saved by [role] before it is used for a filing.
8. Instructions, and the definitions generated from them, are recorded under 2.1.4 with the user and the time.

2.13.4 Self-service

1. Finance and business users create and amend reports unaided. No request to the vendor, no development ticket and no system change is required for a new report.
2. Authorised users can customise financial statements, management reports, dashboards, KPI reports, regulatory report layouts and operational reports.
3. The right to create, to share and to publish a report is controlled separately, so a user may build for themselves without being able to publish to the group.
4. A delivered statutory layout can be copied and amended, but the delivered version remains available unchanged.

2.13.5 Export, scheduling and distribution

Format	Requirement
Excel	Values numeric and calculable, grouping retained, drill-down references preserved
PDF	Presentation layout with the entity, period, basis and run date on every page
Word	For reports that form part of a written pack
CSV	Raw data for onward analysis
PowerPoint	Charts and summary tables for a board or management pack

1. Any report can be scheduled — daily, weekly, monthly, on period close, or on a date — and distributed by email to named users, roles or external recipients.
2. The recipient list of a scheduled report is controlled by [role], and each recipient receives only the data they are entitled to.
3. Reports are produced in the recipient's language and presentation currency under 2.1.8 and 2.2.9, with the transaction currency retained alongside where it differs.
4. A report pack is defined once — several reports, a fixed order, one cover — and produced in a single run as one file or as a set.
5. Every production of a scheduled report is logged with its parameters, so a figure circulated last month can be reproduced exactly.

2.13.6 Drill-down and analysis

1. Drill-down runs the full chain without leaving the report: financial statement line, to general ledger balance, to journal entry, to source transaction, to the supporting document attached under 2.11.

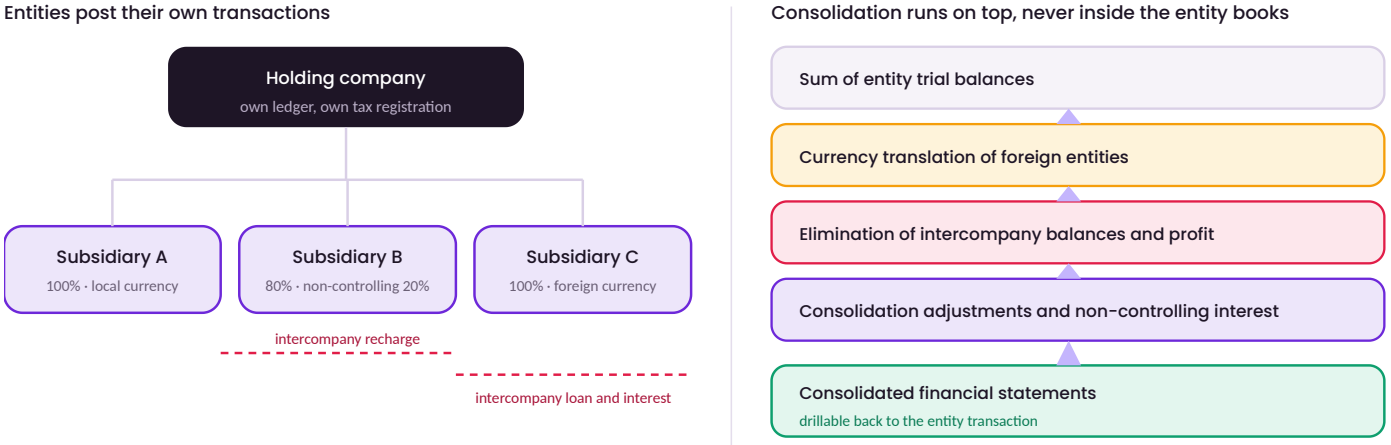
2. Reports read live data. A figure on screen reflects every entry posted up to that moment, and the run time is shown with the report.
3. Comparative analysis against any prior period, prior year, budget version or forecast, selected at run time.
4. Trend analysis across any number of periods, with the series presentable as a chart from the same definition.
5. Variance analysis showing value and percentage, with tolerance thresholds highlighted and the ability to drill into the variance itself.
6. Consolidated and entity-level reporting from the same report: a consolidated figure drills through to the entity column, the entity account and the entity transaction, per 2.14.9.
7. Dashboards are role-based, refreshed live, and every tile drills to the transactions behind it.

2.13.7 Acceptance tests

1. Finance builds a report combining two dimensions, a calculated variance column and a comparative period, unaided, within one working day.
2. A user types "show monthly revenue by customer for 2026", receives the report, sees stated which accounts and period were used, opens that report in the builder and amends it.
3. An ambiguous instruction produces a question, not a guess.
4. A shared report run by two users with different access returns different rows, from one definition.
5. Any figure on the income statement reaches its source document and attachment without leaving the report.
6. A scheduled pack is produced on period close, in the recipient's language, and re-produced identically three months later from its logged parameters.
7. An Excel export of a grouped report opens with its values numeric and its subtotals intact.

2.14 Group accounting and consolidation

The system holds [No.] legal entities under a holding company. Each entity records its own transactions and produces its own statutory financial statements; the group is reported by consolidating them, not by keeping a separate set of books. Consolidation is a layer above the entities, and nothing it does reaches back into an entity's own ledger.



Each entity keeps a complete, separately reportable set of books. Consolidation is a layer above them and never alters an entity's own ledger.

2.14.1 Group structure

The number of entities and the depth of the structure are not limited by the software.

Entity type	Default treatment	Note
Parent or holding company	Consolidates the group	A group may have more than one, where sub-groups report separately
Subsidiary	Full consolidation	With non-controlling interest where the holding is below 100%

Associate	Equity method	Share of profit taken, no line-by-line consolidation
Joint venture	Equity method or proportionate	Set per entity according to the arrangement
Branch office	Combination	Not a separate legal entity; combined with its head office, with internal balances removed
Special purpose entity	Full consolidation where control exists	Consolidated on control rather than on shareholding

Attribute	Requirement
Entity register	Legal name, registration number, jurisdiction, entity type, functional currency, financial year end, tax registration numbers and status
Ownership	Immediate parent, direct holding percentage, effective group holding through intermediate entities, and non-controlling interest percentage
Voting rights	Held separately from the shareholding, since the two can differ
Control	Control, joint control or significant influence recorded as a conclusion in its own right, with the reason where it does not follow the percentage
Consolidation method	Full, partial, proportionate, equity or combination — assigned per entity and changeable from an effective date
Effective dating	Acquisition and disposal dates held, so an entity acquired mid-year consolidates only from the date of control and a disposal only to the date of loss of control
Sub-groups	Multi-level and cross-holding structures supported, with a sub-group consolidating before rolling into the group

1. Ownership, voting rights, control conclusion and consolidation method are all effective-dated. A change part-way through a period is recorded with its date and reflected in each part of the year, not applied retrospectively to the whole.
2. The full history of the structure is retained and reportable: what the group looked like at any past date, and every change made to it, with who made it and why.
3. A prior-period consolidation reproduces on the structure and percentages in force then, not on today's.
4. The group structure is viewable as a chart showing each entity, its holding percentage, its currency and its consolidation method.

2.14.2 Entity-level accounting

Every transaction belongs to exactly one entity. There is no group-level posting of operational transactions.

Each entity holds its own	Note
General ledger and balances	Complete and separately reportable, independent of the group
Chart of accounts	Local accounts mapped to the group chart under 2.14.3
Fiscal calendar and period control	Its own year end and period states; entities of one group may have different year ends
Functional currency	Per 2.2.9, translated to the group currency on consolidation
Tax configuration and registrations	Only the taxes that entity is registered for, per 2.7.2
Statutory reporting requirements	Statement layouts and disclosures of its own jurisdiction

Bank accounts, numbering series and approvers	Per entity, under the role model in 2.1.2

Held at group level, shared	Held per entity, separate
Group chart of accounts, with local accounts mapped to it	All balances and transactions
Dimension definitions — cost centre, profit centre, department, business unit, location, project and entity-defined	Which dimension values are valid for that entity
Customer, supplier, item and employee master records	Credit limit, payment terms, tax registration, price list and bank details per entity
Approval policy and role definitions	Named approvers and value bands per entity
Document type definitions	Numbering series, tax registration shown, and invoice template per entity

1. Entity is a mandatory attribute of every transaction, defaulted from the user's current entity and never blank.
2. Users are assigned to one or more entities. A user cannot view or post to an entity they are not assigned to, and this applies to search results and reports as much as to entry screens.
3. Both operating models are supported without a change of product: a shared service centre processing for every entity from one place, and each entity processing its own, with the approval structure differing by entity.
4. Statutory financial statements are produced for each entity in its own functional currency, independently of the group, and are unaffected by anything the consolidation does.
5. A single user works across entities without logging out, with the current entity always visible on screen, and cross-entity reporting available to those permitted.
6. One entity can be closed for a period while another remains open.

2.14.3 Group chart of accounts and mapping

1. A standard group chart of accounts is maintained centrally and is the basis of every consolidated statement.
2. Each entity's local chart is mapped to it. An entity may keep the local accounts its jurisdiction or its auditors require while still consolidating without manual restatement.
3. Mapping is many-to-one: several local accounts may map to one group account. One local account mapping to more than one group account is supported only with a stated split basis.
4. Account hierarchies are maintained for the group chart — statement line, grouping and sub-grouping — and the hierarchy drives the consolidated statement layout.
5. Mapping is effective-dated and version-controlled. A change produces a new version with who changed it, when, what it was before, the reason, and the approval reference, and the prior version remains in force for prior periods.
6. An unmapped local account carrying a balance is reported as an exception and blocks the consolidation run rather than defaulting to a suspense line.
7. A mapping change that alters how a statement is produced is reported to management under 2.15.8, with the statement lines affected and the date from which.
8. Mapping can be loaded and maintained in bulk from a file, validated in full before it is applied.

2.14.4 Intercompany transactions

1. Entities within the group are flagged as intercompany counterparties, and the accounts used between them are marked as intercompany accounts so that balances can be paired automatically.
2. An intercompany transaction is identified by the system from the counterparty on the document, not by the user remembering to mark it.

3. When one entity raises an intercompany document, the system auto-creates the matching entry in the counterparty entity, carrying a shared intercompany reference. Whether the counterpart auto-posts or is created as a draft for the other entity to accept is set per transaction type.
4. Both sides carry the same reference, the same date and the same value, so a matching report can pair them without manual reconciliation.
5. Transaction types supported: intercompany sales and purchases, management fees and recharges, expenses paid on behalf of another entity, intercompany loans and the interest on them, transfers of stock and of fixed assets, and dividends.
6. Transfers of stock and fixed assets between entities carry the cost to the receiving entity, and retain the original cost and accumulated depreciation for group purposes so that unrealised profit can be eliminated.
7. Where the two entities have different functional currencies, each side records the transaction in its own currency and the difference arising is identified and reported rather than absorbed silently.
8. Intercompany pricing and the mark-up applied are held with the transaction, so the unrealised profit elimination in 2.14.6 is calculated from the data rather than estimated.

Intercompany transaction	Entity raising it	Counterparty entity
Management fee charged by the holding company	Dr Intercompany receivable · Cr Management fee income	Dr Management fee expense, by dimension · Cr Intercompany payable
Expense paid on behalf of a subsidiary	Dr Intercompany receivable · Cr Bank	Dr Expense · Cr Intercompany payable
Intercompany loan advanced	Dr Intercompany loan receivable · Cr Bank	Dr Bank · Cr Intercompany loan payable
Interest on an intercompany loan	Dr Intercompany receivable · Cr Interest income	Dr Interest expense · Cr Intercompany payable
Stock sold to a fellow entity	Dr Intercompany receivable · Cr Revenue · Dr Cost of sales · Cr Inventory	Dr Inventory · Cr Intercompany payable
Dividend declared by a subsidiary	Dr Retained earnings · Cr Intercompany payable	Dr Intercompany receivable · Cr Dividend income
Intercompany settlement	Dr Bank · Cr Intercompany receivable	Dr Intercompany payable · Cr Bank

2.14.5 Intercompany reconciliation

1. Balances are matched automatically between every pair of entities, by counterparty, account and reference, at any date and without waiting for the close.
2. A reconciliation dashboard shows, per entity pair: the balance each side reports, the difference, the matched and unmatched items, and the age of each unmatched item.
3. Differences are classified by cause where the system can determine it — timing, currency, value, missing counterpart, wrong counterparty, duplicate — rather than presented as one unexplained figure.
4. Every unmatched or mismatched item carries a named owner and an age, and appears on an exception report until it is cleared.
5. An adjustment raised to clear a difference passes through an approval workflow, carries a reason and a supporting attachment, and is listed separately from ordinary postings.
6. The reconciliation must be nil, or every remaining difference explained and approved, before a group close is permitted; the consolidation run states this as part of its readiness check.
7. Reconciliation status by entity pair is reportable over time, so a pair that is persistently out is visible rather than cleared and forgotten each month.

2.14.6 Eliminations

Eliminations post in a separate consolidation ledger. They never touch an entity's own books, and an entity's statutory statements are unaffected by them.

Elimination	Basis
Intercompany receivables and payables	Paired by counterparty and reference; any difference reported before elimination rather than forced
Intercompany sales and purchases	Revenue and the corresponding cost removed in full, so group revenue is external revenue only
Intercompany income and expense	Recharges, management fees and service charges removed in full
Intercompany loans and interest	Loan balances removed against each other; interest income removed against interest expense
Unrealised profit in closing stock	Mark-up on goods bought from a fellow entity and still held at period end, calculated from the transfer price and the original cost
Unrealised profit on transferred fixed assets	Gain removed and depreciation adjusted back to the original cost basis
Investment in subsidiary against equity acquired	Cost of investment set against the share of equity at acquisition, with the difference recognised as goodwill
Intercompany dividends	Dividend income in the parent removed against the distribution in the subsidiary

1. Recurring eliminations are set up once and repeat every period without re-entry, with the amounts recalculated from that period's data rather than carried forward.
2. Manual elimination journals are supported for anything the rules do not cover, require approval, carry a narrative and a supporting attachment, and are listed separately from system eliminations on the consolidation worksheet.
3. Non-controlling interest is calculated from the holding percentage in force, presented within equity, and allocated its share of profit or loss and of other comprehensive income — including its share of any unrealised profit eliminated.
4. Goodwill arising on acquisition is held per entity, carried in the consolidation ledger, and supports an annual impairment assessment with the workings attached.
5. Every elimination carries a reference back to the transactions or balances that produced it, and is drillable to them.
6. An elimination that cannot be computed from the data — because a counterpart is missing or a mark-up is not recorded — is reported rather than estimated.

2.14.7 Consolidation adjustments

Adjustments made at group level, above the entity ledgers, are each held as their own type so that what they do to the group figures is separable at any time.

Adjustment type	Purpose
Topside adjustment	A group-level entry that belongs to no entity's books, posted in the consolidation ledger alone
Consolidation journal	Group entries other than the standard eliminations
Reclassification	Moving a balance between statement lines for group presentation, without changing any entity's ledger
Audit adjustment	Arising from the group audit, held in the audit adjustment period so pre-audit and post-audit group figures are both producible
Year-end adjustment	Group closing entries dated at the year end

IFRS or GAAP adjustment	Where an entity reports locally under one framework and the group under another, the bridging entry is held separately and is reportable on its own

1. Every adjustment carries its type, period, preparer, approver, reason and supporting attachment, and is approved by someone other than its preparer.
2. The consolidation worksheet shows each adjustment type in its own column, so the group figures can be read before and after any one of them.
3. A group figure can be reported on any basis: entity figures as filed, after eliminations, after management adjustments, after framework adjustments, and after audit adjustments.
4. An adjustment is never posted into an entity's books to achieve a group result. Where an entity's own ledger is wrong, it is corrected in that entity under 2.2.6.
5. Recurring adjustments can be scheduled, and reversing adjustments reverse automatically in the following period.

2.14.8 Currency translation

Item	Rate applied
Income and expenses of a foreign entity	Average rate for the period, or the rate at transaction date where material
Assets and liabilities	Closing rate at the reporting date
Share capital and pre-acquisition reserves	Historic rate at the date of the transaction
Specified items	A user-defined rate where the group determines one, recorded with the reason it was used
Resulting difference	Taken to the foreign currency translation reserve within other comprehensive income, not to profit or loss

1. Three currency levels are carried throughout: the transaction currency, the entity's functional currency and the group reporting currency, each stored rather than derived later.
2. The translation reserve movement for the period is reported and reconciled, and its calculation is visible line by line rather than presented as a single balancing figure.
3. Realised and unrealised exchange differences arising within an entity stay in that entity's profit or loss under 2.2.9; only the translation of the entity as a whole goes to the reserve.
4. On disposal of a foreign entity, the translation reserve attributable to it is identified for recycling, with the amount and its build-up shown.
5. Rates used by a consolidation run are retained with the run, so re-opening a prior consolidation does not re-translate it at today's rates.
6. A missing rate for any currency pair or rate type blocks the run and is named, rather than being substituted silently.

2.14.9 The consolidation run

1. Run for the group or for any sub-group, in the group reporting currency, with multi-level structures consolidating from the bottom up.
2. Frequency is the group's choice: monthly, quarterly, annually, or ad hoc at any date for a management or due diligence purpose.
3. The run has states — draft, run, reviewed, approved, locked — with review and approval by different users, and can be re-run in draft any number of times before it is committed.
4. The run reports its own readiness before it starts: entities not yet closed, intercompany differences outstanding, unapproved reconciliations, unmapped accounts and missing exchange rates. It does not proceed past a blocking exception.
5. Any posting made in an entity after a run is detected, the affected consolidation is flagged as stale, and the figures are not quietly left out of date.
6. A consolidation worksheet is produced showing a column per entity, then translation, then eliminations, then each adjustment type, then the consolidated total, so every movement between the entity figures and the group figures is visible on one page.
7. Drill-down runs from any consolidated figure to the entity column, to the account, to the transaction and to its attachment.

8. Outputs: consolidated statement of financial position, income statement, statement of comprehensive income, statement of cash flows, statement of changes in equity, consolidated trial balance and the consolidated management pack — each with comparatives and with the notes that require group figures.
9. Prior-period consolidations are retained exactly as approved, with the structure, mapping version and rates used, and cannot be silently recomputed.

2.14.10 Group reporting and comparison

Reported at	Note
Group and sub-group	Any node of the structure, consolidated in its own right
Region and country	Entities grouped by geography, with the grouping maintained by the entity not the vendor
Entity	Each entity on its own, before and after group adjustments
Segment	Operating segments as the group defines them, built from dimensions rather than from a separate structure
Business unit, cost centre, profit centre	Consolidated across entities, so one business unit spanning three companies reports as one

1. Comparative analysis across the group: actual against budget, actual against forecast, current year against prior year, and entity against entity on a common basis.
2. Group KPIs are defined once and computed consistently for every entity and for the group, with the definition visible on the report.
3. Executive and board presentation of these figures — group revenue, EBITDA, net profit, working capital, cash by entity, debt, return on investment, return on equity and entity rankings — is specified in 2.15, which reads this module rather than recalculating it.
4. Dimension values are consolidated across entities only where they are mapped to a common group value, and an unmapped value is reported rather than merged by name.

2.14.11 Group budgeting and forecasting

1. Budgets are prepared at group level, at entity level, or both, against the group chart of accounts and any dimension.
2. Entities submit their budgets through a controlled submission: a version, a submitter, a submission date and an approval, with the group able to see what has been submitted and what is outstanding.
3. Submitted budgets roll up to the group automatically, translated at the rate the group sets for budgeting, with intercompany budgeted transactions eliminated on the same basis as actuals.
4. Multiple versions and scenarios are held side by side — original, revised, best case, worst case — and any version can be the comparative on a report.
5. Forecasts roll up the same way, with actuals to date plus forecast for the remainder of the year.
6. What-if simulation: a stated change in a driver — volume, price, rate, headcount, exchange rate — is applied to a scenario and its effect on the group result and position is shown, without altering any approved version.
7. A simulation is a scenario, never a posting. Nothing a simulation produces enters the ledger.

2.14.12 Consolidation assistant

The system examines the group data each period and reports what a reviewer would otherwise have to find by hand.

Raised	Basis
Unreconciled intercompany balances	Every pair out of agreement, ranked by value and age, with the probable cause classified
Unusual consolidation adjustments	An adjustment outside the pattern of prior periods by value, type, account or preparer
Material variances between entities	Entity results decomposed against prior period, budget and the rest of the group

Issues ahead of the close	Readiness exceptions surfaced before month end rather than at the run: entities not closed, mappings missing, rates absent, reconciliations unapproved
Group performance summary	A summary of the group result and position for executive and board reporting
Draft management commentary and consolidation notes	A written draft explaining the period's movements, for Finance to review and amend

1. Every statement the assistant makes names the figures behind it and drills to the entities, accounts and transactions concerned. An observation that cannot be traced to data is not made.
2. It decomposes and ranks movements; it does not assert a cause it cannot evidence, and where a movement is not explained by the data it says so.
3. The assistant posts nothing, approves nothing and changes no mapping, rate or adjustment.
4. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.14.13 Audit and governance of the group layer

Recorded for	With
Each consolidation run	Who ran it, when, for which period and structure, the mapping version and rates used, its state, who reviewed and who approved it
Each elimination	Whether system-generated or manual, its basis, its source transactions, and its approver where manual
Each group adjustment	Type, preparer, approver, reason, supporting document, and the period it belongs to
Each mapping change	Version, before and after, effective date, reason, approval reference and the statement lines affected
Each ownership or structure change	Percentage and control before and after, effective date, reason, approval reference and supporting document
Each translation adjustment	The rates applied, their source and the reserve movement they produced

1. These records cannot be edited or deleted by any user, including an administrator, and are retained for [7] years.
2. An approved consolidation is locked: its figures, structure, mapping version and rates are fixed and reproduce exactly on demand.
3. A group audit pack is produced on request containing the worksheet, every elimination and adjustment with its workings and attachments, the intercompany reconciliation, the translation calculation and the structure in force.
4. Every change in this module is visible to management on the governance panel in 2.15.8 without anyone being asked to report it.

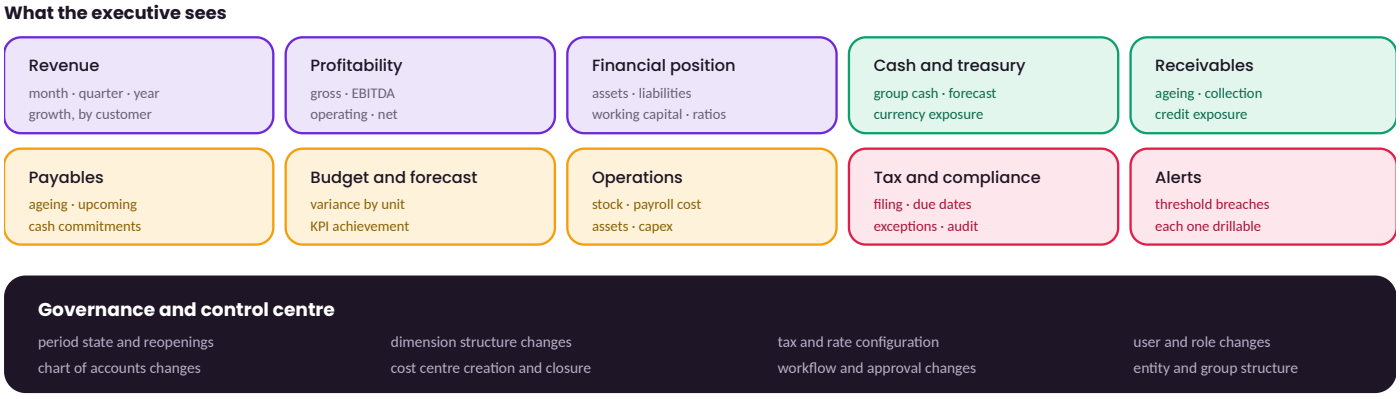
2.14.14 Acceptance tests

1. A management fee raised by the holding company creates the matching expense in the subsidiary with a shared reference, and both appear on the intercompany matching report as paired.
2. The intercompany reconciliation returns nil, and a deliberately mismatched pair is reported with its cause classified rather than eliminated.
3. Stock sold between entities at a mark-up and still held at period end has its unrealised profit eliminated, the group inventory figure equals original cost, and the non-controlling interest share of that elimination is allocated.
4. A subsidiary held at 80% shows the correct non-controlling interest in equity and the correct share of profit.
5. An associate is equity accounted, a branch is combined with its head office, and both treatments are produced from the entity's recorded type without a manual journal.
6. A foreign subsidiary translates with income at average rate and balances at closing rate, and the translation reserve equals the difference, explained line by line.
7. An entity acquired mid-year consolidates only from the date of control, and a prior-year consolidation reproduces on the structure in force then.

8. A local account left unmapped blocks the run and is named; it does not fall into a suspense line.
9. A mapping change produces a new version, leaves prior periods on the old version, and appears on the governance panel with its reporting impact.
10. Entity budgets submitted by three entities roll up to the group with intercompany budget eliminated, and a what-if scenario changes no approved version and posts nothing.
11. A journal posted in an entity after the consolidation run marks that run as stale.
12. Each entity's own statutory statements are unchanged by any elimination or group adjustment.
13. A user assigned to one entity cannot see another entity's transactions through any screen, report, search or export.

2.15 CFO and executive dashboard

A dedicated dashboard for the CFO, chief executive, directors and country heads: one place to read performance, cash, exposure, compliance and the changes made to the system's own financial structures. It is a reading surface, not a second set of books — every figure is the ledger's, drawn live, and every figure leads back to the transaction that produced it.



Every panel reads the ledger live. The dashboard holds no figures of its own, so there is nothing for it to hold out of date.

Every change shown below the line carries who, when, before, after, reason and approval reference.

2.15.1 Access and dashboard structure

1. Dashboard access is role-based under 2.1.2. An executive sees only the entities, dimensions and data their role permits; a panel they are not entitled to is absent rather than shown empty.
2. Layout is configurable by the user: panels, tiles, KPIs, thresholds, charts and their arrangement, saved per user and shareable as a standard executive view.
3. Every view can be produced consolidated for the group, for a sub-group, for a country, or for a single entity, with the basis stated on the view.
4. Multi-company, multi-country, multi-currency and multi-language throughout: figures are presentable in the group currency or the entity currency under 2.2.9, and labels follow the user's language under 2.1.8.
5. The dashboard stores no balances of its own. Each tile is a report definition under 2.13.2 reading the ledger at the moment it is opened, and the tile shows the time it was read.
6. Any tile can be exported, scheduled or circulated under 2.13.5, and a scheduled executive pack is produced on period close.
7. The dashboard is available on a tablet and a phone, with the same figures and the same access rules.

2.15.2 Financial performance

Panel	Content
Revenue	Revenue by month, quarter and year; growth trend against prior period and prior year; revenue by customer, product, business unit, country and entity
Profitability	Gross profit, EBITDA, operating profit and net profit, each with its margin; profitability by entity, department, project, customer and product

Financial position	Total assets, total liabilities and equity; working capital; debt ratios; liquidity ratios — each ratio showing the figures it was computed from

1. Every measure states its definition — which accounts it includes and excludes — and the definition is configurable by the entity, not fixed by the vendor. EBITDA in particular is defined once, visibly, and used consistently everywhere it appears.
2. A figure can be shown against prior period, prior year, budget or forecast, selected on the tile.
3. Where a period is not yet closed, the tile says so, so a month under preparation is never mistaken for a final figure.

2.15.3 Cash flow and treasury

1. Current cash position, by bank account, by currency, by entity and consolidated for the group, as at the last feed under 2.6.3 with the time of that feed shown.
2. Cash flow forecast, with the receivables collection forecast and the payables payment forecast that make it up, each drillable to the invoices behind it.
3. Short-term and long-term liquidity analysis, against the facilities and commitments recorded.
4. Foreign currency exposure by currency — monetary assets and liabilities held in each — and realised and unrealised exchange gain and loss under 2.2.9.
5. Sensitivity: the effect on the group position of a stated movement in a currency, calculated from the exposure shown rather than estimated.

2.15.4 Receivables and payables exposure

Receivables	Payables
Ageing by band, entity and currency	Ageing by band, entity and currency
Overdue customer balances, oldest first	Upcoming supplier payments by due date
Collection trend — days sales outstanding by month	Outstanding liabilities, including accruals and retentions
Credit limit use and breaches, per 2.3.5	Supplier exposure — concentration by supplier
Top outstanding customers by value and by age	Future cash commitments from approved orders
Bad debt and expected credit loss exposure	Payment run value awaiting release, per 2.5.9

Each figure drills to the customer or supplier, then to the document, then to the attachment.

2.15.5 Budget, forecast and performance

1. Budget against actual and forecast against actual, by entity, department, cost centre, profit centre, business unit and project, with value and percentage variance.
2. Variance thresholds are configurable, and a breach is highlighted on the tile rather than left to be noticed.
3. Performance by responsibility unit — department, cost centre, profit centre, project — against the budget version in force, with the owner named.
4. Strategic KPI tracking against targets set by management, with the target, the actual, the gap and the trend; a KPI reads from the ledger or from a figure the entity maintains, and its source is stated on the tile.

2.15.6 Inventory, payroll and fixed assets

Area	Content
Inventory	Valuation by location and category; slow-moving and obsolete stock by age band; inventory turnover and days of stock — available only where 2.9 is activated

Payroll	Employee cost by department, cost centre and entity; headcount and cost trend; cost per head — presented at the level of aggregation the executive's role permits, per 2.10.14
Fixed assets	Register summary by category and location; capital expenditure against the approved budget; additions, disposals and depreciation for the period; asset utilisation where the entity records it

2.15.7 Tax and compliance

1. Status of each tax the group is registered for — VAT or GST, withholding, turnover levies, payroll taxes and corporate tax — per entity and jurisdiction, drawn from the tax calendar in 2.7.7.
2. Filing status and payment due dates, with what is prepared, what is filed, what is paid and what is overdue distinguished.
3. Compliance exceptions: returns not filed, payments not made, acknowledgements not uploaded, and reconciling differences between the return and the ledger.
4. Regulatory reporting progress against the obligations recorded for each entity.
5. Audit findings and open issues, with owner, due date and status, so what the auditor raised is visible until it is closed.
6. Tax payable and tax recoverable balances by tax, entity and jurisdiction, with the net position and what falls due in the next period.
7. Tax payment obligations ahead, by due date and by entity, feeding the cash commitment view in 2.15.3.
8. Tax exposure and risk indicators: unfiled returns, unpaid assessments, exemptions approaching expiry, registrations not yet obtained in a jurisdiction being traded in, reconciling differences unresolved beyond a threshold age, and penalties and interest incurred.
9. Outstanding tax audits, assessments, queries and objections, with their value at stake, owner, deadline and stage, per 2.7.8.
10. Tax variance analysis: the charge and the effective rate against the prior period, the prior year and the statutory rate, by entity and for the group, with the movement decomposed.

2.15.8 Governance and configuration control

The dashboard is also a control centre. The structures that decide how the group reports — periods, dimensions, cost centres, the chart of accounts, tax configuration, approval workflows and access — can be changed by people inside the business, and the executive sees those changes without asking for them.

Period control

1. Current state of every accounting period by entity and by module — open, soft closed, hard closed or audit locked, per 2.2.8.
2. Periods opened, closed and reopened in the year, with who did it, when, the reason recorded and the approval reference.
3. Every posting made while a period was reopened, listed separately.
4. Upcoming month-end and year-end closures, outstanding closing tasks with their owners, and the approval status of each close.

Financial structure changes

Structure monitored	Shown on the dashboard
Business units · departments · projects	Created, modified, deactivated — with the effective date
Profit centres · cost centres · locations	Created, modified, closed or merged
Entity-defined dimensions	Added, renamed, restructured, withdrawn
Chart of accounts	Accounts created, reclassified, blocked or renamed, per 2.2.2
Reporting structures	Statement layouts and consolidation mappings amended
Legal entities and group structure	Entities added, ownership changed, consolidation method changed, per 2.14.1

1. A reporting impact statement accompanies any structural change: which reports, statement lines and comparatives are affected, and from which date.
2. Comparatives remain on the basis in force at the time unless a restatement is approved, and a restated comparative is marked as such wherever it appears.

Cost centre governance

1. Active, inactive, newly created, modified, and closed or merged cost centres, with the owner of each.
2. Budget utilisation and actual against budget per cost centre, with profitability where the cost centre carries revenue.
3. Cost centre trend over the year, and performance against the manager responsible.
4. A cost centre carrying history is closed, never deleted, and its history stays reportable under the structure in force at the time.

Configuration change alerts

The dashboard alerts on, and gives audit visibility of, changes to:

Area	Area	Area
Chart of accounts	Cost and profit centres	Financial dimensions
Accounting periods	Tax configuration and rates	Exchange rate source
Approval workflows	User access and roles	Reporting structures
Legal entities	1	Numbering series

What every change record carries

Held against the change	Requirement
Who made it	Named user, not a generic account
When	Date and time to the second, and the effective date if different
Previous value	As it stood before
New value	As it stands after
Reason	Mandatory, entered by the user making the change
Approval reference	Who approved it and under which rule
Supporting document	Attached where the change requires evidence, per 2.11

1. These records are the audit log of 2.1.4 read through an executive lens; they are not a separate log and cannot be edited or deleted by any user, including an administrator.
2. Every change on the dashboard is drillable to the full record and, where it affected postings, to the transactions concerned.
3. A configuration change made without an approval reference where one is required is itself reported as an exception.

2.15.9 Alerts and executive questions

Alerts raised by the system

Raised on	Basis
Revenue movement beyond tolerance	Against prior period, prior year or forecast, at a threshold the entity sets
Significant expense increase	By account, dimension or supplier, against the comparative chosen
Budget overrun	Value or percentage, by responsibility unit
Declining profitability	Margin movement by entity, product, customer or unit
Cash flow risk	Forecast position falling below a stated floor within a stated horizon
Overdue receivables and credit breaches	Ageing bands and credit limits per 2.3.5
Tax compliance risk	A filing or payment approaching or past its due date, per 2.7.7

Foreign exchange exposure	Net exposure in a currency beyond a stated limit
Transactions outside the expected pattern	Value, timing, counterparty, user or approval route differing from the established pattern — raised for review, never as an accusation and never blocking a transaction on its own
Configuration change affecting reporting	Any change in 2.15.8 that alters how a statement is produced
Reopened accounting period	Immediately on reopening, with the approver named
Master data changed outside the approval route	Bank details, credit limits, tax registration, pay rates

1. Every threshold is configurable by the entity, per alert, per entity and per role; no threshold is fixed in the software.
2. An alert names the figures behind it and drills straight to the transactions that triggered it. An alert that cannot be traced to data is not raised.
3. Alerts are delivered on the dashboard and, where the recipient chooses, by email or push, with a daily or weekly digest as an alternative to immediate delivery.
4. An alert is acknowledged, assigned or dismissed with a reason, and the disposal is recorded.
5. An alert is a prompt to look, never a conclusion and never an automatic posting, block or reversal.

Questions asked in ordinary language

The executive asks	The system returns
Why did EBITDA decrease compared to last month?	The movement decomposed by account and dimension — what rose, what fell, by how much — ranked by contribution, each line drillable
Show departments exceeding budget by more than 10%	Departments ranked by variance percentage, with value, budget version and owner
Which cost centres were modified this month?	The change records from 2.15.8, with who, when, before, after and reason
List all accounting periods reopened during the year	Each reopening, its approver, its reason and the postings made while open
Show the impact of recent dimension structure changes on reporting	The changes, the reports and statement lines affected, and the dates from which
Explain this month's cash flow movement	Opening to closing cash, bridged by operating, investing and financing movements, each drillable

1. The answer states the figures it is built on and the period and entities it covers, and opens as a report under 2.13.3 that can be inspected and saved.
2. Figures are read from the ledger. The system decomposes and ranks movements; it does not assert a cause it cannot evidence, and where a movement is not explained by the data it says so rather than offering a narrative.
3. Where a question is ambiguous — which entity, which revenue accounts, calendar or financial year — the system asks before answering.
4. The assistant rules in 2.1.9 apply in full, in addition to the above.

2.15.10 Drill-down



Seven steps, in either direction, without leaving the dashboard or asking Finance for a schedule.

1. The chain runs in full without leaving the dashboard: KPI tile, financial report, general ledger balance, journal entry, source transaction, supporting document, audit trail.
2. It runs in both directions, so a supplier invoice can be followed up to the statement line and the KPI it contributed to.
3. Consolidated figures drill through the consolidation worksheet to the entity, the entity account and the entity transaction, per 2.14.9.
4. Drill-down respects access: an executive without payroll rights reaches the payroll cost total but not the individual payslip.
5. A drill path can be exported, so the explanation of a figure can be circulated without system access.

2.15.11 Acceptance tests

1. A CFO opens the dashboard and reaches, from a revenue KPI, the invoice and its attachment in no more than six steps.
2. Two executives with different entity rights open the same shared view and see different figures, with no indication of the data withheld.
3. A period reopened by Finance appears on the governance panel within the same working day, naming the approver and the reason.
4. A cost centre closed and merged appears with its before and after values, and its prior-year figures remain reportable on the old structure.
5. A budget overrun beyond the configured threshold raises an alert that drills to the transactions that caused it.
6. The question "why did EBITDA decrease compared to last month" returns a ranked decomposition whose total equals the movement on the income statement.
7. An ambiguous question is answered with a question.
8. Every figure on the dashboard agrees to the corresponding statutory report for the same basis and date.

2.16 Non-functional, migration and acceptance

2.16.1 Performance and availability

Measure	Requirement
Standard screen response	Under [3] seconds at [Y] concurrent users
Volume	The capacity targets below, sustained without degradation at the stated concurrency
Availability	[99.5]% monthly, excluding notified maintenance windows outside business hours in each region served
Backup	Daily automated, recovery point objective [4] hours, recovery time objective [8] hours, restoration tested annually with evidence
Support	Severity-based response and resolution times stated in the SLA, with named escalation contacts
Statutory updates	Changes to tax and payroll law in every country configured, delivered as configuration or an included release, at no extra charge

Capacity targets

The system is built against the figures below and proved against the ceiling in load testing before acceptance. The targets are those of a large multinational group; a single entity is not asked to pay for capacity it does not use, and the figures scale down as readily as up.

What is counted	Single entity	Multinational group	Tested ceiling
Journal lines posted per month	200,000	25,000,000	100,000,000
Customer invoices issued per month	100,000	10,000,000	40,000,000
Supplier bills registered per month	50,000	5,000,000	20,000,000
Bank statement lines imported per month	150,000	15,000,000	60,000,000
Stock movements posted per month	500,000	50,000,000	200,000,000
Payslips produced per month	10,000	1,250,000	5,000,000
Legal entities	1	2,000	10,000
Branches, sites and locations	25	25,000	100,000
Accounts in the chart	2,000	250,000	1,000,000
Customers	5,000	25,000,000	100,000,000
Stock items on the master	250,000	10,000,000	40,000,000
Employees on payroll	2,500	500,000	2,000,000
Transaction currencies	15	180	180
Named users	125	150,000	500,000
Concurrent users at peak	50	25,000	100,000

No limit is written into the software

1. None of the figures above, and no other capacity figure anywhere in the system, is expressed as a constant in the source. Each is a configuration value with a default, an administrator-facing setting and an effective date.
2. Raising a limit takes effect without a release, a redeployment, a restart or a change to the source code, and is recorded in the audit log under 2.1.4 with who raised it, from what to what, and when.
3. Limits are set per tenant and per entity, never globally, so one group raising a limit does not alter any other.
4. The system warns at a configurable proportion of any limit — [80]% by default — naming the figure, the current level and the role that may raise it. It does not fail silently, truncate a run, or reject a posting without stating which limit was reached.
5. Every monthly figure is a peak rather than an average, and the system is sized for the close window, in which the majority of a month's postings and the heaviest reporting load fall in the last few working days.
6. Beyond the tested ceiling, capacity is a matter of infrastructure. The system scales horizontally to meet it and does not require re-architecture, re-implementation or a migration to a different edition.

Acceptance: the ceiling figures are sustained in load testing at the stated concurrency with screen response within the standard above; an administrator raises a limit and the new level takes effect without a release, a redeployment or a restart, and the change appears in the audit log with the before and after values; a limit raised for one entity leaves every other entity unchanged; and the warning at the configured proportion of a limit names the figure, the level reached and the role that may raise it.

How long data is kept

1. Every period since the organisation started on the system remains online and queryable. There is no year count at which data ages out, and growth in history is a capacity question answered by 2.11.4 and the paragraphs above, not a reason to dispose of anything.

2. History survives every close, every year end, every upgrade and every change of entity structure. A trial balance, a statement, a reconciliation or a document from the first month of use is reproducible in the form it was issued.
3. Where the volume of history makes a query slow, the answer is partitioning, indexing and storage tiering — never shortening what is held.

Going beyond the tested ceiling

No figure in this section is a licence cap, a tier boundary or a limit the software enforces against the entity that bought it. The delivered figures are where the system starts; the tested ceiling is where it has been proved. Neither is where it stops.

1. An entity that outgrows a delivered default raises it itself, as above: a configuration value with an effective date, no release, no redeployment, no restart.
2. An entity approaching the tested ceiling is told before it reaches it, not after, and a capacity review is raised naming the figure, the trend and the lead time to provision for it.
3. Beyond the ceiling the constraint is infrastructure rather than design. Capacity is added by scaling horizontally, by partitioning the transaction stores by entity and by period, and by moving closed periods to near-line storage that stays queryable under 2.11.6 — none of which changes the application, the data model or the configuration.
4. Exceeding any figure in this section never requires a re-implementation, a migration to a different edition or product, a fresh licence tier, or a rebuild of the chart, the configuration or the history.
5. Where a client needs capacity beyond the ceiling, the ceiling is re-proved at the new level by the same load tests used at acceptance, and the result is recorded against that client's environment. The tested ceiling is a statement of what has been demonstrated, and it moves as more is demonstrated.
6. No limit anywhere in the system may be implemented in a way that cannot be raised — no constant in the source, no fixed-width identifier, no counter that cannot be widened, and no index, key or partition scheme that assumes a maximum.

Acceptance: every figure in the capacity table is raised beyond its tested ceiling in a test environment and the system runs at the new level without a code change, a redeployment or a schema rebuild; an entity crossing the warning threshold receives the capacity review before the ceiling is reached; and a review of the source finds no capacity figure expressed as a constant.

2.16.2 Data migration

1. Scope: chart of accounts, opening trial balance, open receivables and payables by invoice, stock quantities and values by item, batch and location, fixed asset register with accumulated depreciation, employee master with year-to-date payroll figures, and [n] years of transaction history.
2. Every migration load is reconciled to the source and signed by Finance before the next load proceeds.
3. Migrated documents keep their original numbers, so that a pre-migration invoice can still be traced.
4. A dry-run migration into the test environment is completed and reconciled before the production load.

2.16.3 Documentation and handover

1. Solution design document and configuration workbook, kept current to go-live.
2. User manual per module, written for our processes and not a generic product manual.
3. Process flow diagrams matching the flows in this specification.
4. Training for the core team, then end users by module, with attendance and competency sign-off.

2.16.4 Acceptance protocol

1. Each module is accepted separately against the acceptance tests stated in its section above.
2. Test scripts are written from this specification, executed by our users, and results recorded with evidence.
3. No module is accepted with an open critical or high defect.
4. Final acceptance follows one full accounting cycle run in parallel, with the two sets of figures reconciled and the differences explained in writing.

2.16.5 Subscription, user licensing and entitlement

Access is sold by subscription, and how it is charged follows the shape of the organisation. The model below is a requirement on the system as much as a commercial arrangement: the system has to count entitlement correctly, show it honestly, and never hold the accounting record to ransom for it.

How the subscription is charged

Organisation	Charged	Requirement
Single entity	Per user	Each user is licensed individually and the entity pays for the users it has. Adding or removing a user changes the subscription by one user, with no block to buy into and no minimum beyond the first
Multi-entity, group, consolidated or multinational	User pack	Users are licensed in packs. A pack covers a stated number of users across every entity in the group, not per entity

1. A user who works in more than one entity consumes one licence, not one for each entity. A group accountant with access to forty entities is one user. Any other treatment makes group working unaffordable and is not acceptable.
2. A pack is consumed across the group as a whole. Part-used packs are visible, so an entity can see how many licences in the current pack are unassigned before it buys another.
3. Adding a pack takes effect on purchase, not at renewal. Reducing takes effect at renewal.
4. Moving from per-user to pack charging as the organisation grows carries the existing users across; it is not a new subscription and does not interrupt access.

What consumes a licence

Type	What the user can do	Licence
Full user	Enter, post, approve and configure, within the limits of their role under 2.1.2	Consumes one
Limited user	Approve, enquire, attach documents and run reports, but not post	A lighter licence; the vendor states the ratio in Annexure A
Read-only and auditor	View, report and take the audit pack in 2.11.6	Does not consume a full licence; the vendor states how many are included
System or integration account	API and scheduled integration under 2.1.6, with no interactive sign-in	Not licensed as a user, and not charged
Vendor support account	Vendor-side access for support, under 2.1.3	Not charged to the entity, time-boxed, and every session recorded in the audit log

1. Licences are named rather than concurrent unless the vendor states otherwise in Annexure A, and which it is must be stated plainly rather than left to be discovered at renewal.
2. Deactivating a user frees the licence at the moment of deactivation, not at the next renewal. The freed licence is immediately assignable.
3. The system shows consumption live to the administrator: licensed, assigned, active in the last [90] days, and free, per entity and for the group.
4. Dormant accounts are reported, with the date each last signed in, so an entity is not paying for leavers nobody deactivated.
5. A user's licence type can be changed without the account being recreated, and the change is effective immediately.

What a licence limit may never do

1. It may never block a period close, a statutory return, a tax filing, an audit access request or a data export. These are obligations the entity owes to someone other than the vendor, and a commercial dispute is not a reason to prevent them.
2. It may never degrade, throttle or slow the system, and may never withhold, hide or delete data already posted.

3. Assigning a user beyond entitlement either warns and permits, up to a stated grace, or is refused naming the number of free licences — the vendor states which in Annexure A, and the behaviour is the same every time rather than varying by screen.
4. An auditor, a regulator or an administrator reaching the audit pack is never blocked by the user count.
5. Read access to an entity's own data survives the end of a subscription for a stated period, and export of the full data set in an open format is available at any time, including after termination, under 2.16.2.

Licensing is separate from capacity

1. The figures in 2.16.1 are technical capacity, not commercial entitlement. Entities, transactions, accounts, documents, storage and history are not metered as a means of charging, and none of them is a licence cap.
2. Where the vendor meters anything at all beyond users, it is named in Annexure A with its unit and its price. An unstated meter is not payable.
3. Modules are licensed separately under 2.1.7 and that basis is stated per module. Switching a module off releases its licence at renewal and leaves its data intact and readable.
4. The administrator can see the entitlement, its consumption and what it will cost at renewal, from within the system and without asking the vendor. Every change to entitlement is written to the audit log with the user, the date and the before and after values.

Acceptance: a user granted access to forty entities consumes one licence and the counter shows one; deactivating a user frees a licence immediately and the counter shows it free; an integration account and a vendor support session consume none; a period close, a tax return, an audit pack and a full data export all complete with every interactive licence assigned and the entitlement exhausted; the administrator reads licensed, assigned, active and free figures from within the system without contacting the vendor; a single entity grows into a group and its existing users carry across to pack charging without access being interrupted; and the dormant account report names every user who has not signed in within the configured period, with the date each last did.

3 Sign-off

This specification is issued for build, configuration and acceptance once signed below. Any change to a clause in Section 2 after signature is handled as a documented change request.

Prepared by · [Name, Finance Manager] · Date	Reviewed by · [Name, Internal Audit] · Date	Approved by · [Name, Managing Director] · Date

Annexure A — vendor response matrix. Every clause in Section 2 marked S standard, C configurable, X customisation with cost and effort, or N not available; and the subscription response required by 2.16.5 — the basis of charge for a single entity and for a group, the price per user and per pack, the pack sizes, the ratio for limited and read-only licences, whether licences are named or concurrent, the behaviour when entitlement is exceeded, every meter beyond users with its unit and price, the basis on which each module is licensed, and the three-year total at our stated user numbers.
Annexure B — current chart of accounts, monthly transaction volumes by module, and our existing tax invoice and non-tax invoice formats.